creaking old rotary filler with an output of no more than 150 cases a day. It would hardly be able to supply a single battalion.*

To meet the demand of the thousands of American GIs who were pouring into the city every day, Bacon figured he would need a much bigger building and new, high-capacity bottling machinery. In the suburb of Puteaux, Bacon secured the use of an old municipal garage that had been used for repairing buses. With a 55,000-square-foot concrete floor, it was perfect for the heavy equipment the company was sending. Only no one seemed to know where that equipment was. A complete bottling plant—a giant, 35-ton Meyer-Dumore soaker and a 60-spout Liquid filler, worth some $250,000—had arrived at Le Havre and promptly disappeared.

The soaker was eventually discovered sitting on the docks, where army officials had abandoned it after concluding it was too heavy to transport. Bacon arranged to borrow a tank evacuator, which proved durable enough to get the soaker to Paris, where it was lifted up on house jacks and installed in the new plant. The filler was nowhere to be found, and Bacon assigned John Talley, one of his TOs, to go to Le Havre and trace it. Talley tracked down the original cargo ship, where a mate explained that a cable had snapped during unloading, sending the crate holding the filler crashing down on the corner of a barge. The crate had split open and pitched the contents overboard. The filler was somewhere in the mud at the bottom of the harbor a quarter-mile offshore.

After several days of trying, Talley found an army crew who agreed to dive and look for the filler. Making repeated searches of the harbor floor, they reported spotting boats, tanks, Jeeps, and trucks before finally discovering the filler. One of the divers told Talley they knew when they'd found it "because it was the only thing down there that didn't look like something else." Already badly rusted, the filler was damaged further by the grappling equipment used to raise it, but eventually it was repaired and installed, and the Paris plant began production.

Around the globe, as the United States and her allies were winning the war, Coca-Cola's TOs went to remarkable lengths to make sure their soft drink was never far from the front lines. Fred Cooke shepherded a convoy of eleven army trucks that carried a complete Dixie bottling plant "over the hump" from Calcutta into Kunming, China, on the Burma and Stilwell roads, a trip that took twenty days, most of it in low gear climbing mountain switchbacks and crossing pontoon bridges. During MacArthur's return to the Philippines, Gene Braendle set out from Manila, ventured within three hundred yards of Japanese lines under intense shelling to repair a set of jungle units, and served the GIs Cokes in the midst of combat.

* As a temporary measure, Bacon set up a fountain operation at the Red Cross Rainbow Corner in the Hotel de Paris. He watched in amazement as the line of soldiers waiting for a taste of Coca-Cola grew until it wrapped all the way around the block.

Coca-Cola became a commonplace in the pugnacious narrative of war reporting. "A six-man Japanese patrol attempted to infiltrate the lines of the 383rd regiment of the 96th infantry division early today in an attempt to blow up an ammunition dump," the United Press reported from Okinawa. "They missed the ammunition but did destroy a large can of Coca-Cola syrup. Angry doughboys killed them all." A newspaper in Wheeling, West Virginia, carried the story under the headline, "NO WONDER!"

In Europe, the company's men followed the advance of the Allied troops. Brussels was liberated by English tanks on September 3, 1944, and a contingent of TOs reached Carl West a few days later. He still had fifteen cases of Coca-Cola on hand, the last of a dwindling supply he'd been doling out bit by bit to protect the trademark since the war began. With syrup provided by the TOs, he resumed production for the troops.

West reported that he hadn't seen Max Keith in several weeks, not since the German evacuation after D-Day. The Germans had pulled out of Belgium in "pitiful condition," West said, abandoning their stalled trucks and moving on in farmers' carts, on bicycles, and on foot, tugging their belongings behind them. Some had pulled children's wagons.

When the Allies crossed the Rhine, the TOs were among the first to see the destruction English and American bombers had inflicted on Germany's cities. In Frankfurt, the roofless building housing the Coca-Cola plant was the only structure left standing for blocks around. Bacon arrived to discover an army lieutenant in the basement already working on the equipment, trying to get the bottling operation up and running. In Stuttgart, bombs had blown away the side walls of the company's plant and thousands of yellow jackets were swarming around pools of spilled syrup.

Some of the heaviest bombing had been directed at Essen, home of the Krupp works and the other industries of the Ruhr Valley that formed the heart of the German war machine. When Germany surrendered and the city fell to the Allies in May 1945, Bacon, John Talley, and another TO, Ward Wells, bought an old Buick in Paris and set out to find Max Keith.

The trip took three days. The Buick conked out along the way and the party borrowed an armored command car to continue their journey. They arrived in Essen on the morning of May 18, 1945, and set out for the old Coca-Cola plant, which was in the British occupation zone. All they found standing amid the rubble was an empty door frame, with a handwritten note pinned to it directing callers to an address on the outskirts of the city. The destruction was so heavy they couldn't find their way, until a bedraggled civilian guided them to their destination in exchange for a few cigarettes.

Bacon was unsure what to expect. He had known Keith before the war. They had trained together in New Haven, learning how to load a delivery truck and work a route the company way. Bacon thought of him as a friend. Yet the home office's doubts about Keith and his wartime activities were well known to Bacon and the TOs. The army officially considered Keith one of the enemy and issued a strict order against fraternizing with him. Bacon's military supervisor, Lieutenant Colonel Robert Mashburn, the commander of the Army Exchange Service in Europe, warned him against speaking to Keith or even shaking his hand.

When Bacon and his party drove up, Keith stepped out the front door to greet them. In fluent English, he welcomed them to Essen, said it was time to forget the war and its hostilities, and invited them inside. He put out his hand. Each man stiffly shook it, but there were no pleasantries. "I told him," Bacon said, "not to think us peculiar if we acted according to our instructions." Bacon asked to see Keith's books, which showed a modest profit for each of the war years. Then the TOs had a tour of the plant and saw the bomb shelter Keith had dug into the hillside next door. Keith opened a cupboard, took out a bottle of schnapps and a set of shot glasses, and proposed a toast to his colleagues from America. The men had a drink with him but refused his offer of a place to spend the night.

Before leaving, Bacon told Keith the company would be taking over his bottling plants and rebuilding them to make Coca-Cola for the American troops. If Keith would cooperate, it would be greatly appreciated. But because he was a German, he would no longer be in charge.

Given the obvious high standing he had enjoyed in wartime Germany, Keith probably should have understood the company's caution. Instead he was angry and deeply offended, and he shrank from further contact with the TOs and Export Corporation officials who came to visit, heightening the ill will on both sides.

Jimmy Curtis made a trip to Frankfurt hoping to see Dr. Oppenhoff, Coca-Cola's German lawyer, and grew suspicious when he was unable to arrange a meeting. Curtis thought Keith and Oppenhoff might be deliberately trying to duck him.

Eventually the company sent an investigator to Germany to examine Keith's war record, and the findings came as a considerable surprise. Keith had not been a Nazi. In fact he and Oppenhoff had resisted intense pressure to join the party and had endured hardships as a result.

When the war began and the company's property came under government control, the makers of Afri-Cola had asked to be named administrators of their archrival, a move that almost certainly would have resulted in the dismantling of Coca-Cola's German operations. But Keith and Oppenhoff had stepped in and persuaded the office of the *Reichskommissar* to entrust Coca-Cola's affairs to them. They had been pressured to name top Nazi officials to the German Coca-Cola company's board of directors and had refused.

Keith could easily have manufactured Fanta in his own name and kept the profits for himself, the report concluded, yet he had conducted the business on behalf of the Coca-Cola Company. He had scrupulously protected the company's property, even to the extent of arranging storage for an evening coat with a mink collar that belonged to Ray Powers's widow.

Oppenhoff had maintained a complete set of books, which he stored underground in a bank vault in Wurzburg. Thanks to Oppenhoff's intervention, Coca-Cola's trademark had survived in every occupied country in Europe save Denmark. And, thanks to Keith, many of the Coca-Cola men in those countries had survived as well.

Almost as impressive as his loyalty was Keith's ingenuity in keeping the German bottling plants operating during the ferocious pounding of the Allied bombing runs. The Essen building alone was destroyed and rebuilt three times, and all forty-nine of the company's German plants suffered damage of some sort. Keith arranged for workers at each plant to remove one bottling machine and store it in what he called a "siding," a spot outside the center city—an old farmhouse or a dairy—that was unlikely to be hit. These reserve operations were used whenever a main plant was knocked out, and as a result the sale of Fanta was never interrupted for long.

The truth, Curtis was forced to conclude, was that at the end of the war Coca-Cola's operations in Germany were "more satisfactory than we possibly could have contemplated."

When they learned the full extent of Keith's exploits, some of the Coca-Cola men in Atlanta were embarrassed at the way he'd been treated. The company arranged to have him named civilian administrator of Coca-Cola's bottling operations during the military occupation of Germany, in effect restoring him to his previous position.

Keith went back to work with enthusiasm, repairing plants and scrounging up bottles and wooden cases and other supplies. He assigned his employees to help the TOs run the machines and stock the warehouses, and before long he was turning out thousands of cases of Coca-Cola a day, satisfying the thirst of the U.S. Army.

When the war ended, the Coca-Cola Company had sixty-three overseas bottling plants in operation, in venues as far-flung as Egypt, Iceland, Iran, West Africa, and New Guinea.

The Export Corporation had borrowed $5.5 million to pay for the venture, and in many respects it was the smartest investment the company ever made. After gulping down more than a billion servings of Coca-Cola, eleven million veterans were returning with a lifelong attachment to the soft drink. The editors of *American Legion* magazine took a survey and found that GIs preferred Coke over its nearest competitor, Pepsi, by a factor of more than eight to one. Coca-Cola's place in American life seemed as secure and tightly woven as the stars and stripes in the flag.

Yet the adventures and glories of the war years had done little to resolve the fundamental business problems that were gnawing at the company in the marketplace back home. When the Pepsi suit was lost, Bill D'Arcy wrote a letter of warning: "We are starting a new industry," he said—one that would have to compete in a modern, mass society.

Before going off to war, one of the company's brightest young men, Price Gilbert, Jr., the advertising director, wrote a long, angry report accusing Woodruff and the other elders of Plum Street of ignoring the new realities. It was sheer fantasy, Gilbert said, to think that Coca-Cola could survive the challenge of Pepsi and the other colas by sticking to the same policies that applied "before we had any real competition."

The son of one of Ernest Woodruff's original investors, Gilbert owned enough Coca-Cola stock to make him a millionaire many times over, and he vented his frustrations with an abandon born of personal wealth. From the moment Pepsi began offering twice as much for the same price, he said, Coca-Cola's share of the market had begun to shrink, and the trend was threatening to accelerate. So far, the company's only response had been to advertise Coca-Cola as a superior product. The problem was that a lot of people didn't care. They wanted a bargain.

"Everything we do helps [the] competition as much as it helps us," Gilbert argued, "because they are supplying the demand for our product at a lower cost. Every time we sell a cooler, open a new dealer, or teach a new customer to drink Coca-Cola—we help them." And that was assuming people continued to believe Coca-Cola was better. "If the day ever comes when the public says, 'I really prefer the other drink,'" Gilbert continued, toying with heresy, "then we really have something to worry about."

The company had no empathy with the American housewife, Gilbert went on. By offering exactly one package, the six-ounce bottle, Coca-Cola was telling women, "No matter how much you want, you must take it home six ounces at a time. You may want five gallons of punch for a children's party, but you will have to open a hundred bottles of Coca-Cola to get it."

Two wooden cases containing forty-eight six-ounce bottles of Coca-Cola weighed several dozen pounds, Gilbert said. The company's drivers had a hard time loading and unloading their trucks; most of them were better weight lifters than salesmen. Did the company expect homemakers to perform that sort of physical labor? Why not offer bigger bottles? Cans? "We say to the public, 'When you drink Coca-Cola you must drink six ounces, no more, no less. No matter how hot tired, and thirsty you may be.' That's not true of coffee or tea or milk or anything else, but with Coca-Cola it is six ounces, take it or leave it. Minimum quantity, maximum price, maximum trouble and inconvenience."

Gilbert's reward for his frank assessment of Coca-Cola's shortcomings, when he returned to the company after the war, was banishment to internal exile. He got an office and his old salary back but no duties, and before long he quit. Without paying the same harsh penalty, others, too, learned that there was a limit to Woodruff's tolerance for criticism and appetite for change. One of Woodruff's friends, Louis Marx, the toymaker, urged him to develop other flavor lines—"Lima-Cola," for example, or "Orana-Cola"—and Woodruff replied that he saw no reason at all to offer any new flavors. He could sell ten times as much Coca-Cola, he said, with the same effort. When Marx admonished him lightly that successful men occasionally overplayed their old, established methods, Woodruff answered him firmly, “I don’t agree with you.”

As to the larger bottle size, Woodruff was gambling that economic factors would allow him to keep selling six ounces of Coca-Cola for a nickel while Pepsi and the others began to feel the squeeze of selling twelve ounces for the same price. One afternoon toward the end of the war, driving Woodruff back to San Francisco after a round of golf at Pebble Beach, a couple of his West Coast executives summoned up their nerve and suggested going to a bigger bottle. Nonsense, Woodruff said. Pepsi and Royal Crown and the others were headed for bankruptcy.

It was not that Woodruff refused to face the future. On the contrary, he was trying as hard as ever to see over the next hill. He surprised his staff one day with a flat prediction that within twenty-five years, foreign sales of Coca-Cola would surpass those in the United States. It was a simple matter, he said, of 2 billion mouths versus 130 million. But as ever, the question of how to reach those customers provoked fierce contentiousness within the company. And as always, the disputes were resolved single-handedly, with stubborn finality, by Woodruff himself.

In 1939, with his mother dying, Woodruff had tried to relieve himself of some of his day-to-day responsibilities. He picked Arthur Acklin, the company’s top administrator, to replace him as president, only to spend the next few years second-guessing most of Acklin’s decisions as the man drank himself into a second nervous breakdown, a serious one that required a lengthy convalescence and forced him to resign. As the war ended, Woodruff found himself back in the president’s chair, still coping with the minutiae of the business. He was fifty-five years old, anxious to choose a successor, yet unwilling or unable to relinquish control.

Woodruff’s friend Mizell, the Emory business manager, warned him that he would never find a satisfactory replacement because he was looking for a younger version of himself. “I don’t understand,” Woodruff replied. “I don’t get it.” Yet in a way he did. One of the stories Woodruff enjoyed telling on himself was the time he had dinner and a few drinks with L. F. McCollum of the Continental Oil Company. Half in jest, McCollum expressed an interest in the Coca-Cola presidency. “You’re hired,” Woodruff said. Then, as McCollum described how he would make all the decisions and call all the shots, Woodruff added, “You’re fired.”

As he conducted the search for a new company president, Woodruff insisted he wanted a strong-minded, independent operator, not a puppet. No one had any idea if he meant it, with the result that some of the men jockeying for the job worked at displaying self-reliance while others played up to Woodruff and flattered him shamelessly. One, a little-known lawyer named Bill Hobbs, managed to do both, and on May 5, 1946, Woodruff stunned the Coca-Cola family by choosing him as the new president

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Hobbs's path to the top was unorthodox, to say the least.

In the late 1930s, the fertilizer and cotton oil business run by Nell Woodruff's uncles in Athens, Georgia, was losing money at a $10,000-a-month clip and falling rapidly into bankruptcy. Anxious to rescue his wife's family and preserve their livelihoods, Woodruff assigned Hughes Spalding to straighten out the company's affairs.

Joining Hodgson's, Incorporated, as an outside director, Spalding discovered a mess. A tenth of the company's stock was listed in the name of the Lord, reflecting the Hodgson family's devotion to the Baptist church, and it seemed their accounts receivable books were based on faith as well. Ned and Harry Hodgson underpriced their fertilizer, sold it on credit, and rarely managed to collect what they were owed.

With commercial banks in Athens and Atlanta refusing to renew the company's loans, Woodruff and Spalding decided the only way to keep Hodgson's going was to obtain new financing from the federal government. At Woodruff's prompting, the Hodgsons applied for a loan from the Atlanta office of the Reconstruction Finance Corporation. They were turned down. Spalding then traveled to Washington, where he encountered a bright young RFC lawyer named Bill Hobbs. In short order, Hodgson's, Incorporated, was the recipient of a five-year, $450,000 loan. As Spalding explained it to the Hodgsons, with biblical glee, "We blew the trumpets, the walls of Jericho have fallen down and we have entered into the Promised Land, overflowing with financial milk and honey."

Either out of gratitude, or more likely to ensure that the RFC loan would be renewed in the years to come, Spalding invited Hobbs to move to Atlanta and join King & Spalding as a partner, which he did. Hobbs was an engaging man, and before long Spalding developed a genuine admiration for his abilities.

King & Spalding took care of a great many chores for Coca-Cola and enjoyed a correspondingly large flow of legal fees. In hopes of bolstering the relationship, Spalding persuaded Woodruff to hire Hobbs as an assistant counsel in the company's Legal Department where, presumably, he would be able to guard the firm's flank.

Hobbs made a fine first impression, especially on the department's secretaries. He was tall and good-looking, full of charm, the sort who would break into a soft shoe and make the young women giggle. He worked his magic on Woodruff as well. "Hobbs was a great listener," recalled Howard Kurtz, Jr., who served as his aide, "and frankly he was a sycophant. Woodruff [liked] him, and Hobbs saw to it that that appeal was strengthened."

One of the lawyers in the department described Woodruff as becoming "enamored" with Hobbs. A nephew put it more bluntly: "There were people who knew how to work [Woodruff], who played on his goodwill and affection, people—real ass-kissers, to use a common term—who advanced through it." Hobbs, the nephew believed, was one of them. Within a year, Woodruff promoted Hobbs to vice president and made him manager of the Legal Department, with a mandate to reorganize the operation.

There were signs of trouble from the start. In a power play that ruffled everyone's feathers, Hobbs assigned his assistant, Kurtz, to open all of the department's mail, even letters addressed by name to the other lawyers. As deferential as Hobbs was with Woodruff, he showed a cruel streak with underlings. Ralph Hayes, who regarded Hobbs warily, nicknamed him "Legree," only partly in jest. Many of the veteran hands at Plum Street viewed Hobbs's rise with alarm, an attitude he helped inflame by referring to them collectively and dismissively as "the old farts."

In one respect, though, Hobbs succeeded quite well. His charge from Woodruff was to cut costs in the Legal Department, and he did so. In the aftermath of the Pepsi decision, Woodruff saw little point in continuing the company's policy of aggressive litigation. Not long after John Sibley resigned as general counsel, his place was taken by another King & Spalding partner, Pope Brock, who promised Woodruff he would hold down the expenses. Brock criticized his colleague Sibley for having put Coca-Cola "through what is, so far as I know, the most disastrous campaign of litigation ever experienced by any party in the history of the world." He canceled several of the company's appeals, calling them fruitless, and Hobbs saw to the resultant layoffs of staff lawyers and investigators as the Legal Department was downsized.

As Woodruff's enthusiasm for Hobbs grew, some of the company's senior men warned him to go slowly and test Hobbs's abilities more carefully. But Woodruff pushed ahead, giving Hobbs a prize stepping-stone, the presidency of the Export Corporation, in 1945. Once again there were danger signals. During an inspection tour of the company's field operations in Europe, Hobbs astonished Paul Bacon and the other technical observers by complaining that too much Coca-Cola advertising material was on display in the post exchanges and other military outlets where the soft drink was served.

Bacon, who was posted in Paris, had worked day and night installing ice coolers full of Coca-Cola in army barber shops, garages, hangars, ordnance shops, snack bars, billets, and school installations, and he'd plastered the walls with the company's signs and posters, thinking they added "a touch of home" and were good for business as well. "Mr. Hobbs saw so many signs that it was embarrassing to him," Bacon recalled later. "He felt that it was playing too big a part in the show over there and that we should soft-pedal it a bit." The criticism struck Bacon as highly peculiar, coming from a Coca-Cola man, and he refused to carry out Hobbs's orders to cull the material.

Hobbs and Bacon clashed on another matter as well. Many of the TOs wanted to remain in Europe and hoped to be awarded bottling franchises to supply the huge civilian markets that beckoned once the occupation ended and economic restrictions were lifted. Bacon had applied for the territory of Paris and its suburbs and was told he would receive consideration. But expansion was going to be monumentally expensive. Knowing how much capital would be needed, the company devised a formula calling for franchisees to put up $1 for every person in their territory, an amount far beyond the modest means of the TOs. Instead of letting Bacon down gently, Hobbs asked him coldly, "Where're you going to get six million dollars?" Bacon, who had served the company ably and at times with courage throughout the war, never forgave the slight.

Woodruff gave no evidence that he was bothered by any of these disquieting portents. When Hobbs flew back to New York from his tour of Europe in the spring of 1946, Woodruff called him on the phone and asked, "Are you ready to go to work?" Hobbs said he was. At the age of forty-two, with fewer than four years of experience in the business, none of it in marketing and sales, he became president of the Coca-Cola Company.

Aware of the resentment and apprehension the senior men felt toward Hobbs, Woodruff took steps to signal that the choice was firm and final. He made a point of leaving Atlanta for a long trip out west, so that no one could complain to him or approach him to overturn the new man's decisions. In a crafty gesture, Woodruff asked one of the company's top vice presidents, Burke Nicholson, to do a favor and find a pair of felt-sole rubber boots, size nine, that he could take along on his fishing trip. It was a way of deflating Nicholson and telling him and all the company's other doubting Thomases that Hobbs would be handling the important matters while they were reduced to running errands.

For his own part, Woodruff resisted the temptation of interfering, at least at first. Though he had "a slight touch of the jitters," as he described it to a friend, he spent the summer and most of the fall traveling while Hobbs worked to establish his authority within the company. Woodruff told the company's publicity agents to put the focus on Hobbs, saying, "I have retired, you know." An item was planted in Hedda Hopper's column calling Hobbs "Mr. Coca-Cola," a ludicrously premature declaration.

Plum Street fell into a tentative, wary mood as Hobbs and the old hands circled each other. Reporting to Woodruff after attending a budget meeting, Harrison Jones passed along the pallid reassurance that the other officers were cooperating with Hobbs "by and large," a phrase that suggested quite the opposite. Hobbs guaranteed a rocky start by ordering his colleagues to give up their company cars. He fought and lost a needless skirmish trying to cut off Pope Brock's access to the board of directors. And he failed to establish a comfortable working relationship with Archie Lee.

Sensing that Hobbs was in trouble, Woodruff took the unusual step of making, a formal speech at one of the company's sales meetings. Standing on his feet for nearly an hour in the ballroom of the Brookhaven Country Club in Atlanta, he gave an ardent pep talk about Coca-Cola and then went "off the record," as he put it, to discuss Hobbs. "Mind you," he said, "I'm not singing a swan song. I expect to be around here for a long time. I'll tell you a secret—and it's no secret to a number of you—but one of the greatest struggles I'm having is restraining myself from jumping in and trying to run the business. That job, as I've told you, has been handed to Mr. Hobbs. . . ."

Some of the listeners took Woodruff at his word, but others heard an echo of doubt. If Hobbs was doing a good job, they wondered, why did Woodruff have to speak up for him? And if Woodruff was so well pleased with Hobbs, then why was he having such a struggle letting go? The speech had a curiously contradictory effect. Though Woodruff reaffirmed explicitly that Hobbs would continue as president, he also seemed to be making an admission of sorts that Hobbs had been a flawed choice. It was an invitation for uncertainty within the company, a signal that Hobbs's authority was limited and suspect and that his decisions were open to questioning and even subversion.

Woodruff ended his period of exile and began roaming the fourth floor at Plum Street again, cigar glowing, dropping into offices and checking up on people. He presented a commanding figure—"the Boss," as he was known to one and all—whose age and experience (and absolute control over the board of directors) made Hobbs look juvenile and feeble by comparison. Soon a new office joke was making the rounds: "The trouble with Hobbs," it went, "is he thinks he's president."

Aware of the undermining effect his renewed presence had on Hobbs, Woodruff asked his friends and advisers if he was doing the right thing. Not surprisingly, they reassured him he was. After two decades, it was second nature for most of the company's executives to depend on Woodruff for guidance, and he welcomed their reliance.

"One of the mistakes that Hobbs made," recalled Joe Jones, Woodruff's chief of staff, "was he didn't check in with Mr. Woodruff. It was fine for Woodruff not to be calling him up every day, but he damn well expected to hear from Hobbs, and that didn't happen."

Eventually Hobbs grew gun-shy and began ducking decisions. Ralph Hayes went to him with an idea for an advertising campaign, for instance, and complained that he couldn't get Hobbs to give a thumbs up or down. "You are the top knocker around here," he admonished Hobbs angrily, "and I think you ought to be either for or against it, instead of just letting it get kicked up and down the hall until it's done to death."

As the months passed, Hobbs's standing with Woodruff became an open question in the company. One night on a trip to New York, Hughes Spalding watched in intense discomfort as Woodruff and Hobbs started drinking heavily at dinner and fell into an ugly argument, one that degenerated as they got progressively tipsier until Hobbs began cursing and calling Woodruff names. Spalding, who was on the wagon, feared his protegé had burned his bridges. The next morning Woodruff had trouble remembering the particulars of the spat and asked Spalding, "What did he say about me?"

Spalding replied, "I'm not telling you." An immediate firing was averted, but it was plain that Hobbs had moved permanently to Woodruff's bad side.

The simplest solution might have been to replace Hobbs. But Woodruff was reluctant to admit he'd made a mistake, especially so soon after Acklin's collapse. He hated dismissing people. And in one important respect the presence of a weakened president suited him perfectly well. It discouraged change. Woodruff wanted to keep Coca-Cola exactly the same as it had been for sixty years—same taste, size, package, price, and image. A debilitated management team was one surefire method of keeping innovation at bay. So Hobbs stayed on, hobbled.

The company slipped deeper into a state of paralysis, with painful consequences. Frustrated, feeling he'd been reduced to a vice presidency "in charge of Fourth Class mail," Ralph Hayes took Woodruff aside one morning and said he was quitting. Ben Oehlert left the company, too. Coca-Cola faced daunting challenges in production, procurement, foreign expansion, marketing, and advertising, Oehlert complained, and Woodruff's response had been to go outside the family, spurning the men who had proven themselves during the war, to bring in a new president who knew nothing about any of those things.

And there was a third resignation as well. Alfred Steele, the company's flamboyant vice president of merchandising, walked out of Coca-Cola's New York office and joined Pepsi, the enemy.

Al Steele was a showman. Everything about him seemed to be part of a costume, from his thick horn-rimmed glasses to the big boutonniere he stuck in his lapel, even the gap between his front teeth. He called people "Pal" and liked to slap them on the back, hard. In the straitlaced atmosphere of the Coca-Cola Company, his vulgarity stood out like an act of sacrilege. So did his brilliance.

Among the other jobs he'd held in a quicksilver career, Steele once worked for a circus, and he enjoyed telling the boys at Coca-Cola about all the carny tricks he learned on the midway. The reason the shelf at the ticket window was so high, he often explained, was so the customers couldn't see it. If they paid with a $20 bill, the cashier would put their tickets and small change on one side but leave the $10 they were owed a little apart, where they wouldn't feel it and might forget and leave it behind. The story struck many people as summing up Steele's business philosophy, as if he admired petty larceny as an art form.

Steele was a native of Nashville who acquired a worldly air growing up in Tokyo, Manila, London, and other cities where his father, an international secretary of the YMCA, had postings. After college, Steele tried his hand at several occupations before discovering a flair for marketing. As a young salesman for the Union Bed & Spring Company, he devised something he called a "Sono-Meter" that purported to measure the energy people lost while they tossed and turned sleeping on a bad mattress. Union's sales shot up 80 percent in the next nine months, and Steele's career was launched. He went into advertising and eventually joined the D'Arcy agency as a Coca-Cola account executive.

His work came to Woodruff's attention, and in 1943 Steele was dispatched to D'Arcy's New York office with instructions to liven up the company's perennially dreary radio advertising. One evening he wandered into the Savoy Plaza Hotel, where he discovered Morton Downey, the famous tenor, once one of the highest paid performers in the country, singing in the lounge. Obviously down on his luck, Downey was eager to accept a sponsorship from Coca-Cola, and Steele moved quickly to sign him up.

Steele drew Woodruff into the glamorous, wartime world of New York's cafe society. Woodruff and Downey and Downey's agent, Sonny Werblin, became fast friends, along with Coca-Cola's public relations man, Steve Hannagan, and his fiancée, the actress Ann Sheridan. They became fixtures on the nightclub circuit, hobnobbing with the likes of Xavier Cugat and Guy Lombardo and dropping in at Toots Shor's and the 21 Club. A photograph from the period shows Woodruff's wife, Nell, sitting primly in a booth at the Stork Club next to the stunning Sheridan, whose looks had earned her the nickname "the Oomph Girl."

Pleased with Steele's efforts, Woodruff hired him away from the D'Arcy agency and made him a vice president in Coca-Cola's New York office with responsibility over sales, merchandising, advertising, and promotions. Steele began running the company's sales meetings and bottlers' conventions, staging productions that dazzled everyone with their Broadway qualities. In Atlantic City one year he filled an exhibit hall with vignettes from an imaginary trip around the world. Travelers alighted from the Pan Am Clipper and discovered Coca-Cola in various exotic venues, including a thatched hut where pretty girls in grass skirts served Cokes while a band played island music. The awed executives from Plum Street nicknamed Steele "the Maestro," and Hannagan began calling him "Tent Pole," a tribute to his circus background (and a sly reference to his reputation as a ladies' man).

In addition to his gifts as an impresario, Steele demonstrated a solid understanding of the evolving position of soft drinks in the marketplace. The D'Arcy agency did a survey during the war and discovered that fully half of Coca-Cola's sales were now for home consumption, a sharp climb that validated many of Price Gilbert's warnings about the need to tailor the company's advertising and marketing toward housewives. The battlefields of the future, Steele recognized, would be shelf space in supermarkets, coin-operated vending machines at service stations, and cup dispensers in factories, fast-food outlets, theaters, and ballparks. Steele foresaw the social landscape of the 1950s—the rise of suburbs and shopping centers, the birth of family entertainment on television, the liberating concept of leisure time. He had bold ideas about making Coca-Cola part of it all, more ideas, an associate said, "than a dog has fleas."

But Steele was a man whose flaws were as spectacular as his talents. When it came to running an office, he was not just poorly organized and forgetful; his behavior bordered on out-and-out corruption. He liked to tell his underlings that when they filled out an expense account, they should add up all the items and then put a "1" in front of the total.

During Hobbs's troubled presidency, Woodruff decided Steele needed closer supervision and moved his office from Manhattan to Atlanta. Plum Street was not quite the informal, intimate clubhouse it had once been. There was an office manager now, a meticulous fellow named W. G. Lamb, who sent out stern memos ordering employees to "refrain from placing empty glasses on the window sills, propping your feet against the walls and radiators, placing your hands on the walls in going up and down the stairs, and striking the doors with the toes of your shoes in opening them." Workers were instructed to park neatly when they arrived and to turn off their lights and unplug their fans before they left for the day. Executives were expected to live within their budgets.

To say that Steele chafed under the tight rules and close scrutiny of the home office would be a considerable understatement. He was utterly miserable. "Pal," he complained to an old friend at the D'Arcy agency, "I've been here for a whole goddam week and I have nothing to do. I am absolutely going crazy."

With Hobbs out of the loop, the responsibility for day-to-day decisions at the company fell into the hands of Burke Nicholson, who took a dim view of Steele and made no secret of it. Nicholson was a man of breeding, a courtly, dignified Georgian who took great pride in his descent from Scottish nobility. He had held many of the top jobs in the company and was passed over for the presidency only because Woodruff thought he lacked a hard edge. Tall, slightly stooped, pipe-smoking, he looked every inch an elder statesman, which was how he was treated around the company. But he was not toothless. He thought Steele's spending was wildly extravagant—$150,000 or more for some of his stage productions—and wanted to choke it off. He got his chance when Steele slipped out of town for a few weeks to establish residency in Las Vegas and get a divorce. While Steele was gone, Nicholson slashed his budget once and for all.

Seeing a bleak future in Atlanta, Steele moved back to New York and began looking for other prospects. On a breezy day in March 1949, he accepted an invitation to have lunch in the Oak Room of the Plaza Hotel in Manhattan with four of the directors of the Pepsi-Cola Company. Over martinis and filet of sole, they offered him the executive vice presidency of their company, which he accepted. He never returned to 515 Madison Avenue.

Steele's departure from the Coca-Cola Company was not unexpected, of course, but his decision to join Pepsi shocked his old colleagues and frightened them badly. Steele carried away priceless inside information. He knew most of their secrets, all of their weaknesses. To hear him tell it, he even knew the formula. "That sweet-smelling son of a bitch," Woodruff fumed, remembering Steele's cologne.

The immediate victim of Steele's defection was Walter Mack. After running Pepsi for more than a decade, Mack had simply run out of ideas. He was still using skywriters to scrawl Pepsi's name in the skies, still holding prize contests and putting on square dances.

Of greatest concern, Mack was losing money. Woodruff's prediction of a steady postwar climb in the price of ingredients turned out to be accurate. Sugar rose from 2 cents a pound at the outset of the war to more than 8 cents afterward. Bottles, caps, and crates all went up. Wages doubled. Mack hiked the price of concentrate, and his bottlers responded by raising their wholesale prices. Retailers were forced to abandon the nickel and started charging customers 6 cents or more per bottle.

Soon the famous Pepsi jingle had to be amended: "Twice as much for a nickel, too," became an unconvincing, "Twice as much 'and better,' too." Pepsi's sales fell off, while Coca-Cola's increased. Mack was obliged to borrow money and cut the dividend on Pepsi-Cola common stock, whose value tumbled from a high of $40 a share in 1947 all the way down to $7 just two years later.

The directors who asked Steele to lunch were plotting a coup. Within months of installing him as the second in command, they booted Mack upstairs and gave Steele his job, the presidency, with a free hand to try anything he thought might reverse Pepsi's sagging fortunes. Steele began by hiring away dozens of his old colleagues from the Coca-Cola Company, promising them a relaxed, shirt-sleeves workplace, the liberation of pursuing new ideas, and, most appealing of all, far higher salaries.

Moving quickly, displaying a sense of discipline that had remained under wraps during his tenure at Coca-Cola, Steele put Pepsi's books in order, hired a biochemist to test the formula and improve quality control, and set out to win back the company's disgruntled bottlers. The inflation of the late 1940s had siphoned off the bottlers' profits, leaving them angry with Mack and distrustful of the home office. "The time has come for you to stop driving around in lousy Fords," he told the bottlers in one memorable meeting. "I'm going to put you in Cadillacs."

The underlying problem, as Steele saw it, was that Pepsi had been marketed for years as a cheaper imitation of Coca-Cola. People assumed it was inferior because Pepsi's own ads essentially said as much. Moving off the nickel had been disastrous because it removed Pepsi's only sales pitch, quantity. When "twice as much for a nickel" disappeared, so did the public's reason for buying the product. Pepsi did best with poor people—working-class whites in the big cities of the Northeast, blacks in the South, and children, the "kid trade." The reason Pepsi enjoyed strong home sales was that housewives poured it into glasses in the kitchen and then served it as Coca-Cola in the parlor.

Steele had to find a new pitch, a new reason to buy Pepsi now that it was no longer the bargain it used to be. Checking the reports of his biochemist, he discovered what most consumers already suspected: Pepsi was sweeter than Coke. It had more sugar. One reason Pepsi slipped off the nickel before Coca-Cola was that a 12-ounce Pepsi contained more than twice as much sugar as a 6-ounce Coke. Hoping to turn a negative into a positive, Steele had the inspiration of marketing the extra sugar in Pepsi as a plus for consumers. He concocted a wickedly clever ad campaign claiming that Pepsi had “More Bounce to the Ounce” than other soft drinks.

The new Pepsi campaign earned a sniffy “no comment” from the Coca-Cola Company for public consumption but provoked quite a bit of concern internally. Coca-Cola’s in-house chemists stepped up their own testing of Pepsi samples and reported finding significant fluctuations in the levels of sugar, caffeine, and phosphoric acid—results that one official said “could build up a reasonably damning indictment of the competitive product for use if. . .necessary.”

Before an escalation of the cola wars was triggered, however, the “More Bounce” campaign turned out to be a dud. Much to Steele’s surprise (and Woodruff’s), the public proved indifferent to the idea of Pepsi-Cola or any other soft drink as an energy supply. Mothers, it happened, were not looking for additional sources of sugar to feed their children, and adults seemed to appreciate soft drinks as a refreshment and a way to quench thirst, not as a source of quick calories. The way to satisfy a sweet tooth was a candy bar, they believed, not a cola.

The failure of Steele’s first advertising campaign became obvious at the end of 1950 when the annual sales figures were compiled. Pepsi brought in a meager $40 million, down almost 50 percent from three years earlier. Some of Pepsi’s bottlers went out of business. The Pepsi plant in Princeton, New Jersey, was sold and remodeled into a factory that produced Maidenform bras, leading several Coca-Cola executives to joke that now there would be even less bounce to the ounce than before.

Adding to the surge of confidence at Plum Street, Pepsi’s difficulties coincided with the remarkable burst of public affection for Coca-Cola that swept the country during the French episode, when the Communists and winemakers and intellectuals attacked the American soft drink and tried to push a ban on it through the National Assembly. In the spring of 1950, *Time* magazine ran an unprecedented cover depicting the smiling face of an animated red Coca-Cola disk with a little arm holding a bottle of Coke to the parched lips of a thirsty, grateful globe. “World and Friend” was the title of a cover story that lavished praise on the company’s efforts to expand internationally and help export the “American way of life.”

For the frustrated executives in Pepsi’s Export Sales office, the *Time* cover was the last straw. It looked to them like an issue of Coca-Cola’s in-house magazine, the *Red Barrel.* Henry Luce was favoring one of his big advertisers, they believed, and ignoring the fact that Pepsi now competed with Coke in sixty-seven foreign markets, often quite successfully. Complaining of unfair treatment, the *Bulletin*, Pepsi Export's newsletter, reprinted a snide comment from one of Walter Winchell's columns: "*Time* mag usually pummels its Front Cover subject. But Coca-Cola is given the Kid Glove Treatment. Moral: It Pays to Advertise."

The response to Pepsi's outburst was a perfect illustration of the attitude that prevailed at the Coca-Cola Company at the time. Joe Copps, one of Hannagan's top men, advised Woodruff to say nothing. "I feel we are in the role of a fine, genteel lady," Copps explained, "who must control her temper and hold her tongue, particularly when taunted by people of less breeding, position, and culture who would like nothing better than to irk her into an open street brawl, which would not reflect to her credit but rather to their dubious advantage." There was a word for such thinking: arrogance.

Woodruff remained certain that Pepsi had committed a "fatal error" at the very outset by offering a twelve-ounce drink. Pepsi's men sometimes scoffed at Coca-Cola as the "half as much for a nickel, too, crowd," but that was precisely the point. Higher ingredient prices were bleeding Pepsi to death. If the Coca-Cola Company and its bottlers could hold the nickel price, even though their own profit margins were being severely pinched, they could simply sit back and watch the Pepsi-Cola Company die. That, in a nutshell, was Woodruff's strategy. Keep selling Coca-Cola at six ounces for a nickel and not even the great Al Steele could save Pepsi.

Bill Hobbs, who had increasingly large periods of time on his hands to contemplate the economy and the changes that were taking place in American social life in the early 1950s, wasn't so sure. One morning he glanced over a newspaper clipping that described how the nickel was beginning to disappear as a familiar, independent unit of commerce. The 5-cent fare for subway rides was gone. So was the 5-cent cup of coffee. Telephone companies were beginning to charge a dime a call.

Maybe, Hobbs thought, the Coca-Cola Company was trying to hold the Alamo.

Nine

BLACK AND WHITE

For a guest at Ichauway, Robert Woodruff's plantation in southwest Georgia, a winter day would begin shortly after dawn with a sharp knock on the bedroom door. A black servant entered on cat's feet. "Mornin', suh," he said in a soft drawl, "care for a fire?" He took the tin screen off the fireplace, struck a kitchen match, and dropped it on the wad of newspapers under the dry wood. In seconds the flames leapt up with a loud whoosh and the walls of the big, cold room began dancing in orange light. The heat inched its way through the chilly air toward the bed.

A pot of hot black coffee was served while the guest hurriedly threw on his hunting clothes and headed downstairs to breakfast. In the kitchen, Mattie Heard had been up for hours, cooking. When the bell rang, the guests seated themselves around a long table in the dining room, and a line of servants in white porter's jackets filed through the kitchen door carrying platters of sizzling, crisp bacon, sausage, scrambled eggs, grits, buckwheat hoecakes with Georgia cane syrup, and biscuits with homemade mayhaw jelly. Sometimes Mattie fried up a couple of fat catfish from the black waters of the Ichauway-Notchaway Creek, the meat steaming fresh and fleecy inside the brown breading.

One small oddity of house etiquette was that Woodruff, seated at the head of the table, was always served first. He woke up hungry and liked to eat quickly and get on with organizing the day's activities. As befitted a man of wealth and power, Woodruff had several residences. He leased and later bought a duplex in the opulent River House overlooking the East River in Manhattan, owned Buffalo Bill Cody's old ranch in Wyoming, and had a fine, white-columned Georgian mansion on Tuxedo Road in Buckhead, the most exclusive section of Atlanta. Yet the place he felt truly at home was Ichauway, where he was lord and master of a 30,000-acre estate and the three hundred people, most of them black, who lived on it.

The guests gathered after breakfast on the bright green rye grass in the half-mile circle in front of the lodge, stretching and chatting under the moss-draped live oaks while the handlers finished assembling the elaborate equipment and cast of characters that went into a traditional quail hunt. Halfway around the circle, the horses were led from their stables and saddled. The bedding in their stalls was raked back so the ground could dry out during the warmth of the day.

Two big roan-colored mules in brass fittings were harnessed to the hunt wagon, a specially built dray that rolled on high iron wheels painted Coca-Cola red. Amid a chorus of yelping, the dogs were released from their kennels (where each had a bed and a dish of its own) and loaded into a set of wooden boxes with wire-mesh windows on the back of the wagon. The pointers were sleek and powerful, thanks to their feeder, Edgar Duncan, who gave them a special diet of raw meat, chopped vegetables, shredded wheat, and an occasional treat of canned salmon. If a guest asked him how many dogs Woodruff owned, Duncan always said he didn't know. "It's my job to feed 'em," he would explain, "not count 'em."

As the entourage of men and animals made its way around the circle to the lodge, the plantation overseer handed out light shotguns, mostly 20-gauge over-and-unders, to the guests who had not brought their own weapons. Everyone was given a morning's supply of shells. If a guest did not bring his own hunting clothes, he was fitted with a pair of chaps to keep the sharp brambles from tearing his pants to shreds.

Once his guests were mounted, Woodruff led the hunt party off to one of the dozen old farms that formed his property. There was not much conversation. "I never heard the Boss overtalk," one of his overseers recalled.

The best quail hunting was in fields of wiregrass, between the stands of longleaf pine, where a shin-high, gray-green carpet of foliage provided cover for the coveys. When a likely spot was reached, the handlers stopped the wagon, opened up a dog box, and let out a pair of pointers. The dogs raced ahead, crisscrossing the fields, ranging back and forth as the handlers gave them commands by blowing whistles and shouting the dogs' names—"Yaw! Sally!"—until suddenly a dog would stop and lock into a rigid point, its form utterly frozen from the sharp tip of its nose to its tail held high and straight.

In silence, the two nearest hunters would slide off their horses, load their shotguns, and tiptoe quickly through the broom sedge and scrub oak to the dog's side. When the covey broke, a hunter heard and felt the wild fluttering of wings a split second before he saw the birds explode into a mad dash for the horizon, like so many small players in an airborne game of capture the flag. The fluttering shifted seamlessly to include the hunter's own heart as he aimed instantly without thinking and fired twice, hoping for a "double"—a plump, brown bird with each shot.

It was not hard to understand why Woodruff loved the hunt so much. Simply being outdoors in the pristine air of the country was a tonic anyone could appreciate. For a man like Woodruff, who enjoyed being in command, the hunt was a grand ritual in which he got to direct traffic. Guests, servants, dogs, and horses all responded to his wishes. And he could keep score. For all its gentility, Ichauway was a highly competitive place. At the end of every day, Woodruff asked his guests the same two questions: "How many birds did you kill? How many times did you shoot?" The hunt was a test of skill and, by subtle extension, of manliness. A gifted shot himself, Woodruff often took his limit without a single wasted shell. Answering his pair of questions could be an uncomfortable exercise for those who had missed.

Finally, Ichauway allowed Woodruff to be generous and to benefit at the same time from generosity's dark cousin, the creation of a sense of obligation on the part of the recipients. Woodruff gave his visitors souvenirs of neatly cleaned filets of quail and jars of mayhaw jelly and usually sent them off with a hearty farewell, laughing and saying, "Well, you drank up all my liquor, ate all my food, and shot all my birds! Time for you to go!" It was said with a smile, but the message was plain. A trip to Ichauway was a gift, a precious gift bestowed by the owner.

One of the few guests bold enough to tease Woodruff, Max Gardner, the former governor of North Carolina, thanked him once for his "dogmatic hospitality," a nice phrase that captured the spirit of the household perfectly. Another guest recalled walking along the plantation's main road one day and finding an arrowhead. He showed it to Woodruff, who said, "If you like it, I'll give it to you."

It was at Ichauway that his friends and associates from the company could see the depths of Woodruff's innate resistance to change. For all his worldliness, his comfort walking into the Stork Club or the White House or dining at the Wilmington Club with the du Ponts, Woodruff was a native Southerner who loved the South and its ways of life. His father, Ernest, had been born during the Civil War, and in rural Georgia nearly a century later those ways had scarcely changed a bit.

After dinner most Saturday evenings at Ichauway, a choir of sharecroppers and servants would line the stairwell to the second floor of the lodge and sing spirituals for the Woodruffs and their guests. Led by the chief wagon driver, Leroy Williams, a fine tenor, they rendered slow, sweet versions of "A Closer Walk with Thee" and other gospel classics that occasionally left their listeners in tears. The black men had a baseball team, the Ichauway Crackers, whose members played in the Georgia-Florida League and got paid on the "forty-sixty" plan—40 cents if they lost, 60 if they won. The plantation provided their uniforms.

Ozzie Garrett, who started work at Ichauway in 1942, was a pitcher on the team, "pretty good at what I did," by his own account, with a curve ball that "came in and dropped down, hard to hit." Garrett worked in the stables, cleaning out the horse stalls in the morning, putting in fresh bedding, feeding the mules, hauling litter, and filling the water troughs. One morning, he recalled, Woodruff called him up to the big house. "You got my horses in pretty good shape," Woodruff told him, reaching into a pocket and handing him a crumpled $100 bill. "'Bout knocked me off my feet when I saw what it was," Garrett related, adding that he figured maybe from then on he ought to start brushing the horses' teeth.

Many years later, retired and still living on the plantation in a small one-story house on a cinder-block foundation, Garrett reflected on the question of Woodruff's paternalism. "He didn't just take it and throw it at you," Garrett said after a while. "He was one of the gentlest white men I've ever known."

Woodruff's secretary, Lucille Huffman, went to Ichauway every year and took a census, making a list of all the members of the plantation's families and their clothing sizes. At Christmas, Nell Woodruff, known to one and all at Ichauway as "Ole Miss," passed out boxes full of brand-new outfits—pants and shirts, dresses for the women, underwear, shoes, socks, gloves, coats, and caps for every adult and child living on the property. It was remarkable, old-timers agreed, how much trouble was taken to make sure all of the articles fit properly. "Mr. Woodruff," one of them said proudly, "didn't settle for 'dat'll do.'"

The reverence his black tenants felt for Woodruff was based on more than docile gratitude. In the summer of 1933, four years after he opened Ichauway, there was a lynching right outside the plantation's general store. A mob of white men marched into the little white-frame building, seized a black sharecropper, dragged him outside onto the sandy ground, shot him five or six times with a pistol, and once more with a shotgun, then strung him up on a nearby tree and left him hanging. When word of the incident reached Woodruff in Atlanta, he hired several Pinkerton detectives and dispatched them to Ichauway, where they spent the summer working undercover, posing as white farmers. They fooled no one, of course. But the news that a plantation owner would go to such lengths to prevent harm to his black people quickly made the rounds of Baker County, and Ichauway's residents were rarely harassed in the years afterward.*

Among the many things money could buy was an illusion that time stood still. Woodruff spent upward of $60,000 a year underwriting Ichauway's expenses, and in exchange he and his guests were lavished with the ministrations and deference that black servants of the old school knew how to impart with perfection. His stand against lynching, highly unusual for its time and place—a "foolish idea," in the candid assessment of one of his white deputy overseers—earned him the undying allegiance of his black tenants, who gladly indulged his baronial manner. Once, when a one-room black church on Ichauway burned to the ground, he paid to have it rebuilt on the condition that the parishioners not embarrass him by thanking him. Instead they wrote a letter thanking God and sent him a copy.

* The Pinkerton men concluded that a white bootlegger was responsible for the lynching. According to reports the detectives sent to Woodruff, a mysterious black man called Bee Aienty killed the bootlegger's brother-in-law in a dispute during a crap game near the old abandoned dam on the Ichauway-Notchaway Creek, and the bootlegger took revenge on Aienty's friends and relatives. No charges were brought, and the detectives could find no trace of Aienty, whose identity may have been nothing more than a phonetic rendering of a nickname, "Big, ain't he?"

The blacks at Ichauway forgave Woodruff his eccentricities, chief among them the cemetery he maintained for his favored hunting dogs. Woodruff's dogs were buried in caskets, under headstones that carried their photographs mounted on porcelain plates, along with their names, dates, and a sentimental inscription. Occasionally there were elaborate funeral ceremonies. When a prize setter named Lloyd George died, several dozen black mourners marched in a torchlight procession to the grave, leading the other dogs on leashes and singing "Swing Low, Sweet Chariot."

Woodruff provided his dogs with expert medical care, including surgery if they were injured, and indulged his favorites with indoor privileges and scraps from the table. "Now, chew this thoroughly," he'd say, tossing a bone to one of his Labradors. "Don't gulp it." Sometimes Woodruff asked an overseer to drive the four hours to Atlanta just to deliver a dog, so he could enjoy canine companionship when he had to be in the city.

It did not escape the notice of the blacks on Ichauway that in some respects the dogs lived better lives than they did, yet for the most part they were bemused rather than resentful. When Woodruff was away, they would invite their friends over to see the cemetery and the dining room in the kennels, and their friends would laugh and shake their heads in disbelief.

The old ways were still very much in evidence when Edgar Bergen came to visit in the late 1940s and early 1950s. The famous ventriloquist was the most recent addition to Coca-Cola's lineup of celebrities, and he was always willing to put on a show for the servants and the members of Ichauway's choir. He did routines with his puppets, Charlie McCarthy and Mortimer Snerd, but it was his magic show that fascinated the plantation audience the most.

One year the *Atlanta Constitution* carried a feature story describing Bergen's performance, how he threw his voice and made his wide-eyed listeners believe it was coming from inside the chimney. Claiming he had a "truth bell" that rang one time when people lied and twice when they told the truth, Bergen asked questions of Ichauway's staff and provoked peals of laughter sounding the bell as they answered. The next day, according to the newspaper, one of Ichauway's girls told her boyfriend, "I ain't going to listen to you no more until I get me one of them truth bells."

If, by the sensibilities that evolved afterward, it all sounded achingly outdated and paternalistic, that missed the point. No one thought so at the time. No one. The, author of the *Constitution's* account was one of Ichauway's regular guests, Ralph McGill, who loved to listen to Negro spirituals, as he called them, who found himself deeply moved when an old blind man on the plantation, Joe, no last name, would strum the guitar and sing "Yonder Comes Day," and who like almost every other Southern white man of his day thought of rural black people as subordinate and childlike—the same McGill who won a Pulitzer Prize several years later for the grace and courage of his writing in support of the civil rights movement.

McGill had no idea how far he and his friend Woodruff were about to travel in their thinking.

For Woodruff, the path started with a speech Jim Farley made in Tampa, Florida, in November 1950.

As usual, Farley was ignoring the Coca-Cola Company's business in favor of a political stemwinder, in this case an urgent appeal to President Truman to drop his fight for civil rights legislation before the Democratic Party was permanently damaged in the South.

Farley's speech came to Woodruff's attention courtesy of an organization called the National Fair Play Committee, based in Harlem, New York, which called for a boycott of Coca-Cola. The Coca-Cola bottler in New York employed not a single black salesman, distributor, clerk, or stenographer, the committee noted, an "ugly fact" that apparently reflected the attitude of Farley and the company's executives in Atlanta.

Woodruff had already begun to recognize that his company was vulnerable on the issue of race in a way that he, personally, was not. Even in the infancy of the movement, when vast numbers of white people all across the country rejected the idea of equal rights for blacks, Southerners found themselves, their region, and their institutions on the defensive, especially when lynchings and other acts of overt racial hostility grabbed the headlines. Woodruff asked his press agent, Steve Hannagan, for advice, and Hannagan warned him that the company's leaders, "by the very drop of a Southern-accented word," identified their origins and invited the assumption that they held backward views.

Assessing the situation with dry practicality, Hannagan argued that the company's officers should espouse progressive beliefs, if for no other reason than the good of the business. Any other approach, he said, putting the matter bluntly, would be "detrimental to an international product because of a sectionalism that has outlived its usefulness." Ralph Hayes, who stayed on the payroll as a part-time "special employee" after quitting as an officer of the company, and whose duties mostly included advising Woodruff on strategy, echoed Hannagan. He cautioned that Coca-Cola "has been too timid in integrating and upgrading Jewish people and colored ones in the Company's organization."

Under Woodruff's prodding, the New York bottling plant hired its first black salesman, Fred Graham, and the *New York Courier* applauded the company for having "opened its ears to the rhythm of democracy." The boycott was averted.

The pragmatism behind the company's steps was obvious. As Hayes never tired of pointing out, there were as many blacks in the United States as there were Canadians in Canada. Blacks were a huge market of more than 15 million whose patronage meant profits. Pepsi already had captured a significant share, not only by offering a cheaper product but also by embracing enlightened attitudes on race. Walter Mack made sure some of Pepsi's college scholarships were directed to black students in segregated states in the South. Calling him "a businessman with a conscience," *Pageant* magazine related an incident from 1946 in which Mack stormed out in protest when a hotel in Chicago denied lodging to a black member of Pepsi's scholarship board.

Mack hired a black sales executive and launched a "Leader in His Field" advertising promotion in which prominent blacks including Dr. Ralph Bunche were profiled in black-oriented newspapers.

Casting a wary and envious eye on the competition, Woodruff asked Hayes, who still served as director of the New York Community Trust, to begin doing "a little bit more" for blacks in the way of charity. Woodruff maintained a private account at Hayes's institution, Special Fund No. 9, which he used to make grants that were officially anonymous but whose source could be made known to the recipients. Hayes suggested setting up a $1,000 annual award for the National Urban League to give to a black honoree for distinction in music, the arts, or public service. Woodruff also. pushed his advertising department to come up with a program like Pepsi's that would attract black customers.

The problem, from the company's point of view, was that pitching Coca-Cola to blacks was not an activity that took place in a vacuum. In the South in particular, there was the very real threat of a backlash by white racists. In April 1949, the company-owned baseball team, the Atlanta Crackers, scheduled a three-game exhibition at Ponce de Leon Park against the Brooklyn Dodgers, whose star second baseman, Jackie Robinson, had broken baseball's color line two years earlier. The grand dragon of the Ku Klux Klan in Georgia responded by calling for a boycott. "The Atlanta baseball club is breaking down traditions of the South," Dr. Samuel Green warned, "and the club will pay for it".

As it happened, the games went off without incident, drawing a record gate of 49,309 fans, and the Crackers won the final game, 8-4. Robinson played safely despite the KKK's threats of personal harm. Yet the specter of retribution for racial moderation continued to haunt the company for years. Lester Maddox, a vitriolic white supremacist who chased black customers from his Atlanta restaurant wielding a pick handle (and who later embarrassed the state of Georgia by winning the governorship), once sent the Atlanta Coca-Cola bottler a warning against "weakening" in the resistance to desegregation. The name of Maddox's group, the People's Association for Selective Shopping, suggested its purpose: boycotts against companies sympathetic to civil rights.

The safest way to proceed, as Mack had demonstrated, seemed to be for Woodruff himself to get involved in charitable ventures on behalf of the black community, but for news of his gestures to be relegated to the black press, far from the eyes of whites in the South and elsewhere, who might be offended. Again relying on Hayes's connections, Woodruff arranged to join the board of the Tuskegee Institute, the Alabama school founded by Booker T. Washington, whose philosophy of social separatism for the races and vocational education for blacks found favor with many whites who liked the idea of a slow, even glacial approach to change.* The press release announcing Woodruff's membership was sent to sixty-three black publications and the beverage trade press, but not to the nation's daily newspapers.

The company began advertising in black magazines and retained a black public relations counselor, Moss Kendrix of Washington, D.C., to make the rounds of black conventions. Lionel Hampton and Graham Jackson were hired to play on Coca-Cola's behalf at various functions. When it came to hiring significant numbers of blacks as full-time employees, though, the company's policy was marked by extreme timidity. According to an in-house memo prepared late in 1951, a plan to recruit blacks was abandoned, "temporarily at least," for fear it would be interpreted by the NAACP and other black groups as a "capitulation" to the threat of a boycott.

In the meantime, Woodruff continued his efforts at personal diplomacy, occasionally with eventful results. In the late fall of 1952, as a participant in a drive to raise $25 million for the United Negro College Fund, Woodruff invited two dozen of the nation's leading bankers and industrialists and their retinues to come to Atlanta for a formal dinner before traveling overnight by private train to Tuskegee. Unfortunately, one of the arriving guests turned out to be black, and not even Woodruff could prevail on the Capital City Club to allow the group to break bread under its roof. Woodruff had to put his party on the train three hours early and feed them in the dining car as they traveled west to Alabama.

Ivan Allen, Jr., later the mayor of Atlanta, made the train trip as a young civic leader assigned to help look after the important guests, who included John D. Rockefeller III, Richard K. Mellon, and Harvey Firestone, Jr. After dinner, Allen recalled, Woodruff called on Winthrop Aldrich, the chairman of Chase National Bank, to make a brief speech. Trying to be heard over the noise and the clacking of the wheels, Aldrich grew exasperated and finally yelled at Woodruff, "Bob, I can't hear myself talk!" Woodruff ordered the train stopped on a siding, and as flagmen ran up and down the track setting out flares Aldrich finished his talk. When he was done, Wood-

* In his famous speech at the Cotton States and International Exposition in Atlanta in 1895, Washington called agitation for social equality between the races "the extremist folly," adding, "no race can prosper till it learns that there is as much dignity in tilling a field as in writing a poem. It is at the bottom of life we must begin and not the top." He called for blacks and whites to live side by side but apart: "In all things that are purely social we can be as separate as the fingers, yet one as the hand in all things essential to mutual progress." Woodruff kept a copy of the speech in his private papers. His personal view, which he once shared with Tom Glenn, was that blacks ought to be helped and built up gradually, "instead of pampering them and spoiling them with a lot of money and 'hooey.'"

ruff barked, "Start the train," and the trip was resumed. The next morning, bundled up in overcoats against an unseasonably chilly breeze, the band of millionaire businessmen carried their own bags off the train and went to tour Tuskegee.

Counting the trip a success and anxious for coverage in the black media, Woodruff had his publicity adviser, Kendrix, arrange a major story and photo spread that appeared inside the February 1953 issue of *Ebony* magazine. The cover, designed as if it were intended to capture and preserve forever the era's eager, strained attempts at racial goodwill, carried a photograph of Eleanor Roosevelt under the headline, "Some of My Best Friends Are Negroes."

One of Woodruff's best friends was William B. Hartsfield, the mayor of Atlanta. Together, the two men virtually ruled City Hall and worked successfully to prevent the kind of lurid race-baiting and violence that tore apart so many other towns in the South.

Like Woodruff, Hartsfield had a practical reason for being progressive. In 1946, eight full years before its epochal *Brown* decision, the U.S. Supreme Court outlawed the whites-only Democratic primary in Texas. Hartsfield foresaw the inevitability of voting rights for blacks, and rather than resist to the bitter end he decided to build bridges to Atlanta's black community and seek the support of its leaders. Following a philosophy loosely characterized as "go slow, go easy, but go," he reduced the size of the "WHITE" and "COLORED" signs on the restrooms at the airport until they were almost illegible, then had them removed entirely. He instructed the clerks at City Hall to address mail to blacks using the salutations "Mr." and "Mrs." instead of their first names, a small but unprecedented courtesy.

In 1948, at a time when a quarter of its members were still believed to be closet Klansmen, Hartsfield integrated the Atlanta Police Department He hired eight black officers, and while their duties were severely circumscribed—they had to change into their uniforms at the Butler Street YMCA and were not allowed to arrest whites—their appearance walking the beat in a Deep South city represented a dramatic breakthrough. Thousands of black citizens followed them around on their first day, waving and cheering. A year later 25,000 newly registered black voters helped Hartsfield win reelection.

The mayor called Atlanta "a city too busy to hate," capturing the community's appetite for growth, prosperity, and social acceptability in a fitting phrase that could easily have been modified to express the credo of the Coca-Cola Company as well.

In all of his undertakings, Hartsfield acted only after consulting Woodruff and getting his blessing. Their relationship dated back to the days when Woodruff was a salesman for the General Fire Extinguisher Company and Hartsfield, the son of a foundryman, worked as a male secretary writing up his orders. Even after Hartsfield resumed his studies, passed the bar, became a lawyer, and entered politics, he deferred instinctively to Woodruff. When a tough decision had to be made, Hartsfield would gather the city's business and political leaders in Woodruff's private dining room at Plum Street, and Woodruff would lend his authority to the course of action Hartsfield proposed. "Bill thinks he runs the city," Woodruff once told a visitor, only half-kidding. "Hell, it's my city."

Like so many others, Hartsfield was indebted to Woodruff. Not long after he won his first election as mayor, in 1936, Hartsfield turned to the Coca-Cola Company to redeem $730,000 worth of scrip the cash-strapped city had issued to its employees in lieu of real pay for the last month of the year. Thanks to Woodruff, four thousand city workers and schoolteachers could afford to enjoy Christmas, and Hartsfield took office as a hero. When Hartsfield suffered his only loss at the polls, in 1940, Woodruff quietly paid him a legal retainer that tided him over to the next election, which he won. After that, with Woodruff helping underwrite his campaigns, he carried every election until he finally retired in 1962.

Woodruff could call on City Hall for almost any favor he wanted. Atlanta's chief of police, Herbert Jenkins, patrolled Woodruff's house personally, picked out his burglar alarm system, and ran background checks on his night watchmen. When Woodruff's long-time chauffeur, Lawrence Calhoun, had a heart attack and died, Hartsfield attended the funeral, an unheard-of tribute from a Southern mayor to a black servant. Hartsfield kept a big portrait of Woodruff in his office, where he served Coca-Cola to all his visitors and often called himself the mayor of "Coca-Cola City."

What Woodruff wanted most of all, not surprisingly, was a good atmosphere for business. For all his time spent at Ichauway, Woodruff shared Hartsfield's belief that the fabled glory of the Old South, the picture drawn by Margaret Mitchell in *Gone With the Wind*, was a cruel lie. "The besotting sin of the South is worship of the South," Hartsfield once said. "So many speak of magnolias and beautiful ladies and soft nights, and so many of them had only hookworm and poverty." Woodruff believed in the idea of the "New South," not as some pallid call for regional tolerance but in the same sense meant by Henry Grady, the great editor of the *Atlanta Constitution*, who uttered the phrase for the first time in 1886, the year of Coca-Cola's birth: as an aggressive invitation to investors from the North to build their factories in the South, where low-paid, non-union workers, black and white alike, were ready to turn away from the tired soil, join the assembly line, and start punching a clock for decent wages.

Woodruff served on the boards of several major corporations and was forever browbeating his fellow directors to hold their meetings in Georgia, where he would stage elaborate welcoming demonstrations as if he were a one-man chamber of commerce. In 1950, for instance, he shanghaied the board of General Electric, took them to north Georgia to see the facilities of the Georgia Power Company, fed them an outdoor buffet, gave them a ride on the funicular at Tallulah Gorge, and didn't let up until he had elicited a public promise from GE's president Charles Wilson, that the company would build a plant in the state.

All of Woodruff's ambitions, for his company, his city, and state, the region as a whole, depended on an atmosphere of racial harmony. Every cross-burning and lynching, every whipping of a prisoner on a chain gang, every "WHITES ONLY" sign nailed up by the hammer of the Jim Crow laws, every venal attack on "the Nigra" by the likes of Georgia's father-and-son governors, Gene and Herman Talmadge, fed the image of the South as Tobacco Road and scared off investors. Woodruff wanted desperately for the region to put its best foot forward, but as Hannagan pointedly reminded him, all too often the South "put its stumpy foot forward—the one with hookworm, malaria, and bigotry."

Among his friends and associates, the prevailing view of Woodruff was that he had a sort of split personality, having inherited compassion, charitable instincts, and a keen understanding of human nature from his mother, while his father, who died in 1944, was the source of his intensity and willfulness and hunger to make a profit. For simplicity's sake, people tended to draw a line down the middle of his forehead and divide his "good" and "bad" qualities between his maternal and paternal genes. It was a convenient device (and not entirely off the mark), but it ignored the fact that those traits were inexorably mixed and inseparable within his mind. His vision of a better South, with good hospitals and fine universities, with handsome theaters and museums, public parks and gardens, and a thriving populace, depended on the money that could only come from a vigorous, competitive economy and success in the rough and tumble of capitalism.

In Woodruff's patriarchal view of things, racism was wrong because it was cruel and unnecessary, and most of all because it was bad for business.

Woodruff's drive to seize power and impose his will on Atlanta was without parallel. In no other major American city of the time could an individual businessman be found making so many decisions that affected so many aspects of the community's life.

Not only did Woodruff hold sway over the mayor and Board of Aldermen, he utterly dominated the small group of men who were pleased to call themselves the "power structure" (and who were known to others by the less flattering term "Big Mules"), the heads of the city's law firms, banks, churches, colleges, utilities, and commercial institutions. In a city with no political machine, no organized crime worthy of the name, no large industries or powerful unions, the leaders of the business community had an unusual degree of influence, and they turned to Woodruff as their unquestioned captain.

The key to his strength, of course, was the vast wealth of the Coca-Cola Company. With a market value of more than half a billion dollars, it towered like a colossus over the city's other enterprises. Even though it was a publicly held corporation with some fifteen thousand individual shareholders, Woodruff crafted a way to exercise what amounted to single-handed control over its ownership, giving himself a solitary proxy over the largest pool of capital in the South. He did so, fittingly enough, through a complicated set of arrangements that melded two of his parents' strongest traits, chicanery and charity.

Woodruff shared his mother's ambivalence toward material riches. Certainly he spent abundantly on himself, his wife, Nell, and their friends and family. Especially in Atlanta, where great estates like those of the Rockefellers and du Ponts were unknown, he seemed extravagant enough traveling among his four homes, booking suites with grand pianos on his ocean crossings, throwing lavish parties, and commandeering private railroad cars. But he was not as rich as he appeared. In the early 1950s, he personally held only $19 million worth of Coca-Cola stock, less than 4 percent of the outstanding shares. When Walter Winchell guessed in his gossip column that Woodruff was worth 800 million "bux," more than Henry Ford II, he was off by a factor of 20. With the financial burden of Ichauway, the expenses of spoiling two dozen nieces and nephews, and the drain of a top marginal income tax rate that eventually hit 92 percent, Woodruff often complained in private that he was strapped for cash and would send his secretaries scrambling through his books looking for spare funds. Once one of them found a $37,000 credit tucked away in a brokerage account. "I think you will get by all right," she said in mock seriousness. Two of Woodruff's black servants, taking his frequent expressions of anxiety to heart, put money in a small savings account for him in case he went broke.

Compared with the prodigal spending of some tycoons, Woodruff's habits were relatively modest. "I have never had any desire," he liked to say, "to have a racehorse, a yacht, or a mistress." His friends occasionally teased him, saying, "Two out of three isn't bad," but the fact was he did not indulge in those or other wildly expensive pursuits. When his father chided him for having four homes, he answered, "How many men do you know who have the same woman in each?" Louis Marx, the toymaker, who drove a brand-new Bentley, accused Woodruff of "showing off" by driving around Manhattan in a prewar Chevrolet when he could afford a better car, not realizing that Woodruff simply didn't care.

Woodruff's interest in philanthropy, first stirred by the sight of the old black man's malarial fit at Ichauway, matured quickly with the onset of his mother's final illness. He donated $40,000 to Emory University for a cancer clinic and personally recruited Dr. Elliott Scarborough, an Alabama-born, Harvard-educated oncologist, to run it. More important, he agreed with his mother that her estate should be dedicated to the goal of improving health and education in the South.

In renouncing his inheritance, Woodruff was motivated by more than simple generosity. The disposition of his parents' estate would have an important impact on the control of the Coca-Cola Company, and Woodruff was smart enough to recognize that charity was an instrument he could use to keep that control in his own hands. With no children of his own to provide for, and with little interest in increasing his personal wealth, Woodruff was eager to see his family's fortune used for the betterment of mankind—but only so long as the principal remained in Coca-Cola stock, under his thumb.

Giving money away wisely, Woodruff came to believe, was even harder than earning it in the first place. After long talks with McGill, Emory University's Mizell, Ralph Hayes, and others, he devised the underpinnings of a theory to guide his philanthropy. He wanted to foster progress in the region by improving people's bodies and minds, and he wanted others with wealth to help. If his family sold their Coca-Cola stock to raise money for good causes, Woodruff reckoned, they would be limiting themselves to one-time donations to beneficiaries beyond their control, and they would be doing very little to inspire others to give. Instead, Woodruff envisioned maintaining the family's Coca-Cola stock as a sort of permanent endowment, using the income to make matching grants, challenging others to participate. It soon became a hallmark of Woodruff's style that he would give half—but only half—of the money needed for projects that interested him.

Seeing their potential as a means of maintaining command over the company, Woodruff set out to build a network of charitable foundations whose directors would answer to him and whose duties, in addition to helping people, would include holding on to their shares of Coca-Cola. Woodruff convinced his brothers, George and Henry, to join him in yielding any claim on their patrimony, and he talked his father into creating the Emily and Ernest Woodruff Foundation to maintain and administer the family's estate as a charity. (Misanthropic to the very end, Ernest told a friend he agreed to the plan to give away his money mostly "so that the government would not get it when the final call comes.") Woodruff then appointed himself chairman of the foundation's board of trustees.

Woodruff and his lawyer, Hughes Spalding, led a similar campaign for the disposition of the Whitehead family's fortune. Joseph Whitehead, Jr., the elder of the pioneer Coca-Cola bottler's wastrel sons, died unexpectedly at the age of forty, and much to the surprise of his estranged wife and other relatives his will left everything to the care of orphans. Spalding fended off the widow's threats to "stir up a stink" about Whitehead's private life, sent her off with a $500,000 settlement, and set up a foundation that preserved Joseph Jr.'s Coca-Cola stock.

The second of Whitehead's sons, Conkey, also died young and childless, and he, too, left his estate in a charitable trust administered by Spalding. With her sons gone, and no grandchildren, Lettie Whitehead Evans had a considerable fortune she was willing to dedicate to philanthropic purposes. The problem was, she proved *too* willing. Lonely, susceptible to the importuning of other pleaders, Mrs. Evans frequently changed her will and switched beneficiaries and executors, typically at the behest of the last person who spent time with her. She lived in Virginia, far removed from

Woodruff and the rest of the Coca-Cola family, and Spalding often had to hasten north to dissuade her from some new project, or, as he put it, to chase away "the buzzards who are cultivating Mrs. Evans for their own selfish interests during her declining days."

Woodruff pressed Mrs. Evans to set up a personal foundation to handle her assets and lend discipline to her giving. When she dragged her feet and complained that she had no money to spare to endow such a fund, Woodruff acted on his own and incorporated the Lettie Pate Evans Foundation using $7,500 of his own money. Embarrassed, she agreed to support the foundation, making Woodruff its president and putting him in charge of $10 million of Coca-Cola stock.

Together, the Woodruff and Whitehead family foundations gave Robert Woodruff direct control over more than 10 percent of Coca-Cola's outstanding shares. Yet that was only part of the influence he wielded over the ownership of the company. He also appointed the board of the Coca-Cola International Corporation, the holding company his father had established decades earlier, which still owned more than a quarter of all the outstanding common stock. His father's bank, Trust Company of Georgia, continued to hold the Coca-Cola stock it earned as a participant in the 1919 sale of the company, and the bank also administered scores of individual trust funds and estates with an aggregate of more than half a million shares of common stock, another 10 percent of the outstanding shares.

At any given time, Woodruff had at least half a dozen Coca-Cola directors serving on the bank's board, guaranteeing that the company's interests would be protected. Ignoring the rules of confidentiality, Spalding, a bank director, notified Woodruff whenever an investor planned to sell Coca-Cola stock, and Woodruff would intervene to keep the shares in friendly hands.

When his father's lifelong deputy, Tom Glenn, died in 1946, Woodruff had him replaced as Trust Company's chairman with a loyal friend, John Sibley, Coca-Cola's former general counsel. The bank's concentration of Coca-Cola stock was so heavy some officers privately called it "our problem" and worried they might be sued for failing to diversify. But Woodruff's wishes prevailed and the bank kept its holdings, giving him "working control" of the company.

When it came to preserving Coca-Cola's heritage, Woodruff often used his father's tactics in pursuit of his mother's goals. In 1947, Howard Candler came under legal attack from his sister and brother, who wanted to break up their family's real estate empire and sell the pieces to a New York developer. Hoping to keep the Candler properties intact, Howard turned to Woodruff, who put up the money to have Emory University buy a controlling interest in the Candler Company. Woodruff then sent Spalding to chase off the developer, a task Spalding performed with relish by threatening an endless, financially draining lawsuit that Woodruff would bankroll indefinitely no matter what the actual merits. "These New York fellows scare pretty easily," Spalding declared jauntily after the developer gave up. Then, while Candler was still aglow with gratitude over the rescue mission, Woodruff leaned on him and convinced him to pledge his part of the estate to Emory, a gift worth $5 million.

On a sorrowful note, Woodruff's own brother, Henry, placed his fortune at the service of charity, too. The victim of a series of nervous breakdowns, Henry Woodruff committed suicide on Thanksgiving Day 1947, shooting himself at his parents' old farm outside Richmond, Virginia. His last letter to Nell Woodruff described his agitation over a failed romance. "I haven't asked her to marry me," he wrote. "Am just so afraid we may not get along, and am afraid about many other things. . . ."

Leaving the bulk of his estate to the Emily and Ernest Woodruff Foundation, Henry helped solidify Robert's control over the Coca-Cola Company, but not before Robert came very close to dying as well. Robert blamed himself for the suicide, even though by all accounts he did as much as he could to look after his brother. Henry resisted frequent entreaties to stay with Robert and Nell in Atlanta and their other homes, preferring instead to remain alone on the farm. He had trouble with such mundane matters as buying a car and training a hunting dog, and the courses of treatment he underwent at a sanitarium did not do any lasting good.

Nonetheless, his mother had asked Robert to take care of Henry when she was gone, and he believed he had failed to keep his promise. "It affected him more than anything I've ever seen," said Joe Jones, Woodruff's chief of staff. In the year after Henry's death, Woodruff was moodier and more fitful than ever, frequently falling ill with minor ailments. He began drinking harder and sleeping less. During a stay in New York in August 1948, he was rushed to Roosevelt Hospital with viral pneumonia and a fever of 105. After three touch-and-go days he started a slow recovery, but it was a close call.

McGill, taking a liberty few of Woodruff's other associates dared, wrote him a frank, three-page letter imploring him "to go to the Stork Club less frequently, get more sleep, and quit whipping a tired horse with the number of drinks required to drive tiredness out of the body and mind." McGill urged Woodruff "to conserve yourself for your family, your responsibilities, and your friends," and concluded pointedly, "Mrs. Woodruff is a very charming lady and looks good in any sort of dress or suit, but I don't think she would look good in black."

Recuperating during a long rest-cure at his ranch in Wyoming, Woodruff answered McGill that he accepted the "lecture" and would try to take better care of himself. He did not give up drinking, nor did he shed his perpetual shroud of discontentment, but from then on Woodruff seemed surer about using the wealth and power of his family and his company for public purposes. Somehow his parents' disparate natures consolidated themselves in his mind after Henry's death, just as their estates had been joined in the name of charity. His own brush with mortality strengthened Woodruff's resolve to take the leading role in guiding Atlanta, along with as much of the rest of Georgia and the South as he could, through the rigors of social change that were coming in the 1950s. It would be like a quail hunt, with Woodruff in charge.

But all of it depended on the continuing success of the Coca-Cola Company.

Al Steele bounced back quickly from the failure of Pepsi's "More Bounce" campaign. Seeing that an emphasis on the extra sugar and calories in Pepsi left consumers cold, Steele shifted quickly to a new line of attack. The renegade Coca-Cola man decided to compete with his old company at its own game—quality.

For years, with its "twice as much" theme, Pepsi had been paraded as an inferior substitute for Coca-Cola. Steele turned that image upside down. "Let's get rid of this honkytonk look," he told his top executives one morning. He unveiled a handsome new "Pepsi blue" logo and began applying it on the bottles using paint instead of paper labels. He replaced the company's iron display signs, which tended to rust, with aluminum and strengthened the design of Pepsi's cardboard six-pack, which tended to rip. Most noticeably, he hired Faye Emerson, a statuesque blond actress, to pitch Pepsi on television.

Miss Emerson's show, "Wonderful Town," was not much of a hit with the critics. Debuting on CBS in the fall of 1950, the format called for her to appear for fifteen minutes three times a week solving the "problems" of modern life. The first show featured a lesson on how to ride in a taxi. One of her suggestions was to get in the near door rather than walk around in traffic to the other side—an issue, the *New York Times* observed drily in its review, "that had been worrying a good many of us." She also recommended knowing one's destination and not expecting a cabby to break a $20 bill. But if her advice fell short of the cutting edge, that was beside the point Faye Emerson had a magnificent, arresting bosom, which she displayed to great advantage on Pepsi's behalf in clingy, low-cut evening gowns that suggested a world of sex appeal and glamour.

It was hard to escape the conclusion, the editors of *Advertising* Age wrote, that the program was a vehicle for Miss Emerson's cleavage: "Male viewers can't hear what's said from looking at Faye, and probably don't much care." The star of the show served Pepsi in cut-glass goblets on a silver tray, poured it over cracked ice in a crystal bowl, drank it out of a champagne glass, and generally elevated the product, if not to the level of supreme sophistication, then at least far above the bargain basement

Pepsi's sales recovered and began climbing again. Steele cut costs by going to a smaller bottle and reducing the amount of sugar in his formula, then plowed the savings back into advertising, distribution, and modern plants. "If you want to milk a cow," he explained, "you've got to feed it." He competed with Coca-Cola for a place in the lucrative new field of cup-vending machines, signing agreements to put Pepsi's equipment in movie theaters and army camps and on Pacific cruise liners. He traveled constantly, wooing Pepsi's bottlers.

Most of all, Steele remembered the lesson he learned at the Coca-Cola Company: Soft drinks were not a necessity. "We fill no basic need of man," he liked to say. "Our products don't clean teeth, shine shoes, or add hormones to you." The business depended on salesmanship, first, last, and always. Without constant promotion and catchy, ubiquitous advertising, it would die.

In cataloguing the woes that bedeviled Woodruff and his team at Plum Street, that lesson was a good place to start. They seemed to have forgotten how to sell the product. Radio advertising, never Coca-Cola's strong suit, was in a steep decline. The company's most popular program, a musical variety hour, fell to number 42 among the 126 rated shows, and the others were doing far worse. Singin' Sam had to be dropped, along with the company's soap opera, "Claudia."

Coca-Cola's programs, according to *Sponsor* magazine, became little more than a "clearinghouse" for the clients of Woodruff's friend Sonny Werblin, none of whom had much appeal for younger listeners. The bottlers were supposed to buy air time for Morton Downey on local radio, but they considered his show dull and paid only the bare minimum to put it on low-power stations. Coca-Cola spent $600,000 a year, including Downey's $140,000 salary, producing a show that was doomed to puny ratings.

As for television, the company was willing to experiment—Walt Disney made his first TV appearance on Coca-Cola's Christmas Day special in 1950—but not to make a commitment. At the same time Faye Emerson was using her profile to lift Pepsi's, Coca-Cola's advertising director timidly declined a proposal to sponsor a Western, dismissing TV as "not a national medium."

Nothing was more damaging than the loss of Archie Lee. Weary, saying he needed a complete break, Lee took his wife to Hawaii for an extended vacation in the winter of 1950. When he returned, he learned he was suffering from cancer, and in less than a year he was dead. Lee's lieutenants at the D'Arcy agency failed to uphold his legacy. The man who popularized "the pause that refreshes" was succeeded by a committee of plodders whose idea of a breezy new slogan, unveiled in time for the 1952 season, was the woefully uninspired "What you want is a Coke." Hannagan, the company's press agent, took a stab at creating an ad campaign, but the best he could come up with was a proposal for a TV show featuring "dames who can dance on legs they're not ashamed of."

Coca-Cola seemed to be caught somewhere between the extremes of vulgarity and stodginess. Burke Nicholson, the company's stately senior vice president, proposed a high-school promotion to be known as "Citizens of Tomorrow," in which Coca-Cola would be identified as "a wholesome social binder between young people"—an idea that was, in the argot of the times, hopelessly squaresville.

The company might have limped along indefinitely, avoiding a crisis, had it not been for the squeeze Woodruff put on the bottlers by insisting on holding the retail price at a nickel. The inflationary pressures that had acted on Pepsi finally caught up to Coca-Cola, too, shaving the bottlers' profit margins and in many cases putting them in the red. They had remained fairly stoic as long as they believed their sacrifice would destroy the competition, but now, with every passing day, Steele was proving that consumers would spend 6 or 8 cents, even a dime, for a Pepsi.

As the magic of the nickel wore off, the bottlers grew restive. They were paying 18 cents a gallon for gasoline, up 4 cents from before the war, and costs were rising for bottles, caps, and cases. Their cheap labor was gone, too, thanks to the forty-hour work week and the minimum wage. Some couldn't afford to repaint their trucks. Planning a dinner meeting with a committee of bottlers in the fall of 1950, Harrison Jones warned Woodruff that his guests would be in a rebellious mood and advised that the cocktail period be abbreviated to "prevent any venomous member from having too much false courage."

Woodruff refused to bend. Using persuasion and the subtle threat of reprisals, he got nine of the company's most successful bottlers to write their colleagues a joint letter urging them to hold the line on the nickel. Some of the recipients responded with withering scorn. "It is probably once in a lifetime one receives a letter from nine millionaires all on one sheet of paper," Jeff Martin, the bottler in Lincoln, Nebraska, wrote back. "I think I will have it framed." Unlike them, he explained, he had no spare pile of capital sitting around, and could not afford "a lot of wishful hoping that some miracle would happen. . .to stay at the 5-cent price."

An insurrection was inevitable, and in one respect Woodruff got lucky. His leading adversary, Veazey Rainwater, Jr., son of the early parent bottler, turned out to be a kook. In the weeks leading up to the annual Coca-Cola shareholders meeting on May 7, 1951, Rainwater held a series of "Coke-tail" parties around the country and tried to recruit disaffected fellow bottlers to help him remove Woodruff from control of the company. His effort lost steam when his father disavowed him and his wife sued for divorce, hoping to gain some of his $1 million trust fund before he spent it all on quixotic ventures.

When young Rainwater got up to speak his piece at the annual meeting, he stood alone. Much of his presentation—starting with a proposal that Coca-Cola bottlers wear "drink-o-meters" to verify that at least half of their daily fluid intake consisted of Coke—was laughable. Yet for a company whose annual meetings routinely took fewer than five minutes in an empty boardroom in hard-to-reach Wilmington, Delaware, the spectacle of a bottling scion railing against the management was something quite new and a bit disquieting. The fact was that Rainwater had a long list of suggestions for improvements, many of which were far from ludicrous: quart bottles, Coca-Cola on menus, promotions targeted at housewives, free Cokes in auto showrooms, gift certificates, ads on TV, lightweight coolers for office use.

"Coca-Cola gives us our beautiful homes and fine linens, our gentlemen farms and ranches, our magnificent charities and foundations," Rainwater said at one point, turning an eloquent phrase, "but what are we putting back?" The sheer energy and passion Rainwater brought to his small, feckless mutiny, the boyish enthusiasm of it, seemed to shake loose the cobwebs.

One other interloper made the trip to Wilmington. Woodruff's first cousin, James Waldo Woodruff, Sr., a wealthy and cantankerous businessman from Columbus, Georgia, showed up to complain about stagnation in the value of the common stock. What made his appearance memorable was his opening line. Bill Hobbs, still the president of the Coca-Cola Company, welcomed him to the meeting, and Jim Woodruff asked, "Who are you?"

It was a good question. At the end of his fifth year as president, Hobbs had few duties and rarely made a decision or even a public appearance.

His inaction in the face of the latest health crusade against Coca-Cola was a perfect illustration of the drift in the company's executive suite. In the fall of 1950, a Cornell University professor named Clive M. McCay testified before a select committee in the U.S. House of Representatives that the sugar in Coke caused cavities. And, he said, the phosphoric acid was a dangerous additive. Giving a vivid account that instantly became part of the national folklore, Dr. McCay described how a tooth left in a glass of Coca-Cola would soften and begin to dissolve in a period of two days.

Hobbs was assigned to coordinate the company's response, and his performance can only be described as dithering. Coca-Cola's top chemist, Orville May, explained to Hobbs and the company's other executives that *anything* containing sugar and phosphoric acid—fresh orange juice, for example—would dissolve teeth over a period of time. The point was that people did not hold food and beverages in their mouths for days on end. They swallowed, and their saliva washed away the sugar and acid before lasting damage was done. Otherwise the whole country would be toothless.

Dr. May's argument was sound, but it was just the sort of defensive, unappetizing explanation of the individual ingredients in Coca-Cola that Woodruff had always insisted on avoiding in public. Pope Brock, the company's usually decisive general counsel, admitted he had no ideas "as to just what procedure should be adopted in connection with a reply," saying the question required "mature study and reflection." Hobbs appointed a committee to consider what to do, and its members were still debating several months later.

The bottlers, already agitated over falling revenues, were stirred up anew as their local doctors and dentists and PTAs expressed worry about the possible dangers of Coca-Cola. Adding to the controversy, an article appeared in *Pageant* magazine describing how the "empty" calories in soft drinks displaced "an equivalent number of 'good' calories you need to maintain good health." From his position on the sidelines, Ralph Hayes tried to nudge Hobbs toward a decision. "As an old shuffler myself," he observed, "I'm not decrying paper-shuffling. But the shuffling should finally produce conclusions, policy, and action."

At length Brock and the company's top lobbyist, Ed Forio, pressed Hobbs to take action because "food faddists, communists, crackpots, and the like" were continuing to make news while the company remained silent. Hannagan agreed, suggesting a propaganda campaign that would ridicule Dr. McCay and other nutritionists as advocates of "a Mixmaster diet of worms and castor oil." Still Hobbs stalled.

In the end it fell to the company's elder statesman, Burke Nicholson, to bell the cat and confront Woodruff with the need for change. Nicholson was an unlikely insurgent: He once wrote Woodruff a fawning letter with the salutation "Sir Robert" that said, "Your smile or your frown—each represents for the moment the most important thing in my life. . . ." It was the very improbability of Nicholson as the source of criticism that made his salvo so stinging and effective. The company, he said, was in a state of paralysis, full of "children doing men's work" and old men awaiting retirement. He wrote:

> The flag bearers, holder-uppers of the torch, seekers of the Holy Grail, even the Don Quixotes jousting with windmills, do not seem to be present as of old. Where is the leadership that formerly made people in this institution feel that they belong to a Church to which they gave unquestioned obedience, loyalty and fidelity? Some strong characters must lift up the flag else this Thing recedes into the limbo of just another corporation, just another organized group, and not some great warm moving purposeful crusade.

Nicholson's call to arms left Woodruff shaken. The reproach was aimed at Hobbs, but it plainly included Woodruff, too. A friend who saw Woodruff shortly afterward said it was "the first time in my life I have seen you confused and not knowing just which way to turn."

Woodruff brooded over Nicholson's broadside for several weeks, caught in a mood of lassitude, complaining of headaches and "feeling logy all day," before he finally summoned the will to act. Calling a series of meetings with bottlers around the country, Woodruff announced that he was returning to active management of the company and would be "in the game for keeps." He ordered a new batch of the buff-colored memo cards he used to run the business (literally) out of his pocket, and soon his office at Plum Street was jammed again. One caller complained that visiting him was like "holding a conference with the traffic cop at Five Points at 5 o'clock in the afternoon."

Hobbs was fired. Woodruff installed Nicholson as a caretaker president but made it clear he planned to call the shots himself. He started by outflanking Dr. McCay. If a professor of nutrition at Cornell was bent on maligning Coca-Cola as a health hazard, Woodruff figured, the best way to strike back was to hire a bigger gun who said otherwise. The company's "Chemistry Scholarship Fund" gave a $5,000 study grant to Fredrick J. Stare, chairman of the Nutrition Department at Harvard's School of Public Health, and in due course Dr. Stare wrote an article for *McCall's* magazine advising teenagers to improve their diets by drinking a Coke in the afternoon. With additional grants from the fund fueling his research, Dr. Stare wrote letters to school administrators and other authorities refuting the notion that Coca-Cola caused cavities or dissolved teeth. In time the hubbub subsided.

Resuming command over the company's affairs, Woodruff ordered a variety of changes, including the creation of a long-overdue public affairs office and the purchase of Coca-Cola's first corporate airplane, a DC-3 he christened *Windship* in a play on his mother's maiden name. In Hobbs's wake, Ben Oehlert rejoined the company, and morale in general perked up.

When he turned his renewed energies to the issue of the nickel, however, Woodruff found himself stymied. He grudgingly conceded that many bottlers felt the need to raise prices, but he could see no way for them to do so without dire consequences. If the retail price of a Coke doubled and went to a dime, volume would drop drastically. Consumers might pay 10 cents for a 12-ounce Pepsi, but not for a 6½-ounce bottle of Coca-Cola. And if the price was set in between, at 6 or 7 cents, the logistics would be a nightmare because more and more of Coca-Cola's sales were from vending machines, which were unequipped to deal with pennies. (A bottler in South Carolina tried taping two pennies to the bottom of his bottles and selling them for a dime each, an experiment that fizzled miserably.) The logical move, to a bigger bottle, was an innovation Woodruff obstinately refused to contemplate.

Facing a set of unhappy choices, Woodruff opted for a dramatic long shot. He began exploring the possibility of having Congress authorize the minting of a new, 7½-cent coin.

Woodruff also went to work trying to elect a new president. For the first time in his career, he openly supported a presidential candidate in 1952—his good friend (and the company's wartime benefactor) Dwight Eisenhower.

The two met at a dinner in New York City in the spring of 1945, not long after VE Day, when Eisenhower made a triumphant visit home. The general's affection for Coca-Cola was undimmed. Asked at one stop if there was anything he wanted, he replied, "Could somebody get me a Coke?" And when he'd finished it, he said he had one more request: "Another Coke." He made sure the press corps overheard him, giving the company a nice publicity boost.

Woodruff cultivated a close relationship with Eisenhower and encouraged his budding political ambitions. He was genuinely fond of Eisenhower, but there is no question he also had some very hard-headed, practical reasons for wanting a friend in the White House. If there was any doubt Woodruff's actions had a calculated air, one had only to look at an invitation he sent Ike to visit Ichauway. "Usually our guests are companionable," he wrote, "and in the evening there is bridge, gin rummy or poker." As everyone in his circle knew, Woodruff organized games of gin rummy or poker after dinner every night, but detested bridge and never played. He listed it only because he knew it to be Eisenhower's favorite.

The general visited the plantation in January 1950, and Woodruff lavished attention on him. In later years, Woodruff liked to tell the story of how Eisenhower arose early on his first morning and sent Woodruff's valet, James Roseberry, to tell Woodruff it was time for breakfast. "Mr. Woodruff says down here *he's* the general," Roseberry supposedly replied, "and breakfast will be at eight-thirty." Actually, Woodruff was a good deal more solicitous than that, recognizing in Eisenhower a man whose aura of command surpassed his own. As the 1952 election approached, Woodruff wrote Eisenhower urging him to run, saying his candidacy was "not only essential but inevitable."

Woodruff placed his time, money, and advice at Eisenhower's disposal during the campaign, and even engaged in a rare public quarrel that was reported in the New York tabloids, arguing his candidate's merits over Adlai Stevenson's during a noisy dispute with Averell Harriman one evening at Toots Shor's nightclub.

On election night, Woodruff joined Eisenhower and his top supporters in a suite at the Commodore Hotel in New York to follow the returns and celebrate victory. Around three o'clock in the morning, jubilant but bone weary, Eisenhower circled the room kissing the women goodnight and pumping hands with the men. Woodruff, whose hearing had begun to fade, was bent over with his back turned, engrossed in conversation with Eisenhower's brother, Milton, and failed to respond when Ike spoke to him. Grinning wickedly, the president-elect wound up and kicked Woodruff squarely in the seat of the pants before hugging him and retiring for the night.

At the time, naturally, Woodruff was tickled by the attention, but the episode seemed to be a portent of things to come. In a variety of ways no one could anticipate, Eisenhower's presidency ended up backfiring on the Coca-Cola Company. For starters, the new president showed little enthusiasm about pursuing the company's political agenda. When Woodruff asked him about minting the 7½-cent coin, Eisenhower forwarded the inquiry to the Treasury Department, then dropped the matter as soon as it met resistance in the lower bureaucracy. Even on a trifling issue—Woodruff's request for a change in federal game laws to allow a longer hunting season for mourning doves—the president proved similarly unable or unwilling to help.

The problem was not access. At the behest of Eisenhower's personal secretary, Ann Whitman, the Secret Service issued Woodruff a pass to the White House, a "key to the back door," as he called it, that allowed him to drop in at will. Woodruff typically showed up in the late afternoon for a few cocktails after Ike's golf game at Burning Tree, and he was on the guest list for Eisenhower's regular black-tie stag dinners. Theirs was a warm and lively relationship: After a round of cordials one night, the two were debating so vehemently that Woodruff followed Eisenhower into the family quarters, perched on the side of the president's bed, and badgered him until he changed into his pajamas, climbed under the covers, and ordered Woodruff to leave.

But other than a spirited friendship, and the indisputable propaganda value of having a president of the United States who loved drinking Coca-Cola in front of photographers, it was hard to point to many benefits that accrued to the company because of its close ties to the Eisenhower administration. The costs, meanwhile, proved to be substantial. The president asked a lot of favors of the company, from lobbying help on Capitol Hill to contributions for pet causes. And thanks to the president, Woodruff made a mistake in judgment that drove the company, already in a precarious position, closer to the edge of the cliff.

One of Eisenhower's closest friends was William E. Robinson, the publisher of the *New York Herald Tribune*. A veteran public relations executive and Republican operative, Robinson helped run the campaign and afterward settled comfortably into the president's circle of cronies. As a regular at the White House smokers, he got to know Woodruff and the two hit it off well together.

In the winter of 1953, Steve Hannagan died unexpectedly of a massive heart attack during a trip to Africa, leaving his agency without a leader and the Coca-Cola Company without a publicist. Woodruff arranged to have Robinson take Hannagan's place.

Bill Robinson was an affable man, a good golfer and card player, the sort whose ruddy complexion and slightly hardened features made him look as if his picture might belong next to the phrase "drinking buddy" in the dictionary. And it was after a night of bar-hopping with Woodruff in Manhattan, in fact, that the notion of Robinson running the Coca-Cola Company first cropped up.

Standing in the pantry of Woodruff's River House duplex having a Coke as a nightcap, jabbing the air with a pudgy finger, Robinson began enumerating a long list of criticisms of the way the company was being run. It did not bother him in the least that Burke Nicholson, the president of Coca-Cola, was there, too, listening to the tirade with mounting irritation, nor did it seem to bother Woodruff. "If you think you can do a better job," Woodruff told Robinson, "maybe you ought to have the chance."

The switch was not long in coming. Nicholson was popular within the company—a "harmonizer," in the apt phrase of Ralph Hayes—but hardly a hard charger. A colleague once asked him why he wasn't more aggressive and he replied simply, "I'm doing what the Boss wants me to do." It was obvious, however, that the company could no longer afford to stand pat. By 1954, while Coca-Cola idled, Pepsi's sales had doubled under Al Steele.

As word of the impending promotion circulated through the company grapevine, Robinson's utter lack of experience in the soft drink business raised eyebrows and hackles in the executive suite. Woodruff's senior advisers, including Hayes, urged him to move slowly and tried to warn him that he was repeating the same mistake he'd made with Bill Hobbs. Perhaps, Hayes said, it would be smart to give Robinson at least one interim job as a test before handing him the presidency. Nicholson remarked acidly that he hoped Woodruff would not puff up Robinson as he had Hobbs, "when you almost spoke like the Lord saying of Jesus, 'This is my Beloved Son in Whom I'm well pleased.'"

Nonetheless, on the morning of Saturday, February 5, 1955, two months after he turned sixty-five, Woodruff announced he was retiring. Shuffling seats in the board room, he surrendered his chairmanship to Nicholson, quit the Executive Committee, and gave the presidency of the company to Robinson.

The press reported the changing of the guard as if Woodruff intended to drop from the scene completely. *Time* said Woodruff had "stepped out," leaving the company's affairs in the hands of the "smart, hard-driving" Robinson, and *Business Week* described the move as a clean break equivalent to Asa Candler's sale of the company back in 1919. Woodruff had his furniture removed from 515 Madison Avenue, the company's New York headquarters, and vacated his office in Atlanta, too. Robinson himself clearly believed he'd been anointed, as he granted a series of interviews on his plans before commandeering the corporate DC-3 to fly off around the country and meet the bottlers.

But things were not as they appeared. Two weeks after clearing out of the president's space at Plum Street, Woodruff moved into a bigger office, a suite that was specially built for him, complete with a private kitchen and dining room, in a new wing off the fourth floor of the Coca-Cola building. He continued to come to work as he had before, sitting in a huge leather armchair at a sturdy desk under a portrait of his father, flicking cigar ashes in the general direction of a brass spittoon and punching a set of buzzers on the left leg of the desk that summoned the people he wished to see.

Woodruff, it happened, had retired from New York, not from the Coca-Cola Company. He had come home, determined to spend the rest of his life in Georgia, where his help was needed so badly in politics and philanthropy and where he felt most comfortable. He had no intention of relinquishing power. Retaining his seat on the board of directors, he created a new Finance Committee, appointed himself chairman, and took as firm a grasp on the company's purse strings as his father once had.

"It was a disaster from the beginning," according to Joe Jones. Robinson misunderstood the situation completely, as evidenced by his first gaffe. A few weeks after his appointment, Robinson received a letter from John Sibley asking him to be the guest of honor at a formal dinner in Atlanta, where he could meet the town's leading citizens. It was a command performance, of course, an invitation from Coca-Cola's banker, one of Woodruff's closest friends, politely directing Robinson to present himself for inspection by the men who owned the company and ran the city. The point was lost on Robinson, however, who had his secretary respond curtly that he was too busy traveling.

Actually, had his travels been devoted more to company business, Robinson might have fared better. The bottlers found him charming—"very chatty and friendly," by one account—and his background in advertising and marketing was sorely needed as Coca-Cola clawed to stay ahead of Pepsi. He had a deft wit that helped defuse criticism from the health authorities; the only way Coca-Cola could hurt you, he liked to say, was if a case fell out of the window and landed on your head.

But Robinson was more interested in the golf course and the bridge table than the rigors of running Coca-Cola. After making his inaugural fly-around, Robinson settled back into his old habits and hired an administrator named Curtis Gager (the name rhymed with wager) to be in charge of the company on a day-to-day basis. Gager was a tall, balding man whose steel-framed glasses and flinty expression gave him the appearance of a bird of prey. He had been fired from a top job at General Foods, where he had the reputation of being a hatchet man, and his harsh management style quickly alienated most of his colleagues at the Coca-Cola Company.

"He was a double-barrel, breech-loading son of a bitch," in the description of Delony Sledge, the company's colorful advertising manager, a view that was widely shared. Gager made Sledge, who was known for his vivid, freewheeling speeches, begin submitting his texts for prior approval and editing, and ordered him under penalty of firing to recite them word-for-word. Morale, just beginning to heal after the Hobbs era, plummeted again. Ben Oehlert was given so little work he began reading books in his office.

For their part, Robinson and Gager bemoaned Woodruff's reluctance to innovate. Nicholson's last act as president had been to cajole Woodruff into accepting the idea of larger bottles. Coca-Cola finally came out with a 10-ounce "king-size" and a 26-ounce "family-size," both of which won immediate popularity.* But the old man balked at other necessary changes. Americans had become diet-conscious, yet Woodruff saw no need to compete with the rapidly proliferating ranks of Lo-Cal, Les-Cal, No-Cal, Nu-

* As a measure of the newsworthiness of any sort of alteration in Coca-Cola, a cartoon in the *New York Herald Tribune* showed two men marooned on a desert island watching a jumbo-sized Coke bottle wash ashore. "Good heavens," one of them cried, "we're shrinking!"

Thin, Slim-line, and their ilk by marketing a sugar-free cola. Consumers wanted a choice of soft drinks at the vending machine, yet Woodruff vetoed any expansion into other flavors. And while the competition was making huge strides in perfecting cheap, disposable cans, Woodruff resisted the move away from glass bottles.

One difficult but necessary piece of business Robinson carried out with Woodruff's backing was the firing of the D'Arcy agency. No one had surfaced there with even a touch of Archie Lee's creative genius, and Coca-Cola's advertising had begun to provoke derision. When the company unveiled its $15 million ad campaign for 1955, *Business Week* reported, industry insiders mocked its obvious resemblance to Pepsi's. Steele was siphoning away the young adult market with a sophisticated appeal to upscale, urbane consumers, especially fashion-conscious women, and along came Coca-Cola with a pitch to "Bright Young Moderns," using sleek models dressed in designer clothes from B. H. Wragge and Mr. John.

Robinson transferred the account to McCann-Erickson, and after an association of forty-nine years D'Arcy bowed out gracefully with a simple, dignified ad (its best in ages) that said, "We hand it on with pride. . . ." McCann, one of the hottest agencies on Madison Avenue, was expected to make an immediate splash. The problem was that Woodruff had no clear idea about the direction the new ads should take. He wanted "new phrases and mainly new illustrations" but offered little in the way of specific guidelines. Many of his associates in Atlanta were worried about the snob appeal in Coke's and Pepsi's ads. As Sledge, the latest in a long line of home-grown advertising managers, put it, "We are interested in both sides of the railroad track, in both the salon and the saloon. We want to know Rosie O'Grady just as intimately as the Colonel's Lady." It was fine to stress the quality of the product, in Sledge's view, but dangerous to suggest any special quality on the part of the consumers of the product.

Robinson, on the other hand, liked the elevated tone of the most recent ads. Rather than changing tack, he wanted McCann-Erickson to outdo Pepsi at the same game. At Robinson's urging, the agency came up with a fresh slogan, "The Sign of Good Taste," for a series of ads that showed chic, glamorous people drinking Coke in exclusive settings around the world, notably at the Doge's Palace in Venice and the Taj Mahal. The company's greatest strength, in Robinson's mind, was its social cachet and its reputation for being "superior" to other soft drinks. He wanted consumers to associate Coke with people who were "several cuts above the mean or average," according to one in-house memo, and hoped his strategy would persuade hosts and hostesses that "the serving of anything else is a social blunder."

Given the success of the "Pepsi Challenge" several years later, the great irony of Robinson's approach was that it scared Al Steele half to death. Steele was not at all eager to get into a comparison campaign pitting Coke against Pepsi, and even went so far as to issue a public plea to the Coca-

Cola Company not to "turn down the fastest road to universal disaster—that of damning each other's products." Having just managed to ease Pepsi out of the kitchen and into the drawing room, Steele feared his product would finish second in a glamour contest.

Not that Steele personally had much to worry about on the glitz front: In 1955, after ditching his wife, he eloped to Las Vegas with the actress Joan Crawford, his third marriage and her fourth. They set up housekeeping in New York in a penthouse apartment on Fifth Avenue and spent nearly half a million dollars on remodeling. The finished quarters included a cavernous closet for Crawford's 304 pairs of shoes, another room for her cosmetics and pills, a special shampoo and hairdressing basin with spray faucets, and a massage table and whirlpool bath for him. The couple shared a geranium-pink bedroom with a wood-burning fireplace. Guests at "Taj Joan," as *Time* dubbed the duplex, were asked to remove their shoes to keep the pure white shag carpeting in the living room from becoming soiled.

In the eyes of many Americans, of course, the Steeles seemed more gaudy than glamorous, and the larger competition between Pepsi and Coca-Cola struck a false note as well, with the values of Madison Avenue proving to be at odds with those of Main Street. Woodruff had committed the blunder of refusing to see that American life was changing; Robinson made the equally serious error of misinterpreting what those changes were and how the company should meet and exploit them. One reviewer blistered McCann's "Good Taste" series for replacing Coca-Cola's traditional illustrations of "normal, natural, healthy girls and boys, men and women with. . .grotesque and exaggerated caricatures of masculine women and feminine men." McCann, the critic said, "has succeeded in associating Coca-Cola with the dregs and decadent creeps who populate the so-called international set." According to one account, the company commissioned a confidential survey and found that some respondents thought the models looked homosexual.

That was enough for Woodruff. He had already soured on Robinson and Gager, and the "Good Taste" series was the final straw. Woodruff wanted to drop the campaign, but Robinson balked. News of factional fighting within the company leaked to the press, and the Robinson camp fired a salvo in *Sponsor* magazine complaining about "interests that have reached the age of retirement but refuse to give up domination of management," a disparaging reference to Woodruff.

The company's New York and Atlanta offices stopped communicating. In a humiliating mixup, Plum Street ordered the bottlers to change their truck colors from yellow to red-and-white at the same time Robinson's office in New York issued a directive to keep the yellow. As if no aspect of the company's affairs were too petty to bicker over, Robinson seized custody of the new corporate airplane, a Lockheed Ventura, and kept it in New York where Woodruff couldn't use it.

In the spring of 1958, as he prepared to celebrate his thirty-fifth anniversary with the company, Woodruff holed up at the Cody ranch in Wyoming with a few trusted advisers, plotting strategy. One of his guests was Lee Talley, a veteran Coca-Cola man who'd spent most of his career in the Export Corporation. Talley was a Methodist minister's son from Monroeville, Alabama, a five-foot-four bundle of enthusiasm who spoke of his love for the company and its product in the cadences of the pulpit. Woodruff had considered Talley for the presidency before and hesitated, thinking he lacked seasoning. Now, at fifty-six, Talley was as ready as he'd ever be, and Woodruff picked him to be Robinson's replacement.

Talley was expected to break the news to Robinson in person, a task he accepted with pleasure. Like almost every other Southern-bred, lifelong employee of Coca-Cola, he considered Robinson a disastrous president, and there was an element of personal dislike between the two men as well. (Robinson liked to throw an arm around Talley's shoulder, as if the smaller man were a child, a gesture Talley found infuriating.) Returning from the West with Woodruff and Joe Jones, Talley arrived at Penn Station on the *20th Century Limited* one morning, took a limousine directly to 515 Madison Avenue, rode the brass-trimmed elevator up to the eighteenth floor, and hurried to Robinson's office in the back of the suite without pausing to take off his coat or hat. Striding past a secretary without a word, he went to the desk where Robinson was sitting and said, "You're through."

When word reached Plum Street a celebration broke out. "I happened to be up on the executive floor the day Mr. Talley took over from him," a visitor recalled, "and I'm telling you, it was just like the celebration of Independence Day. I mean the atmosphere—you could feel it. He was a family member, Talley was. It was old home week."

It was not an out-and-out firing. Robinson was bumped up to chairman of the board, where he would continue to earn a six-figure salary. But his authority was chopped off completely, and his next assignment on behalf of the company was a trip to Gary, Indiana, to study the can industry and write a report. Gager was demoted and left powerless. The "Good Taste" campaign was restyled entirely and geared toward mainstream Americans. Illustrations of women wearing fur coats gave way to housewives relaxing with a Coke after vacuuming.

Operating with Woodruff's explicit support, Talley took charge. "For the last ten years we have had a pretty dry spell," Woodruff wrote an old friend—but now that spell was over. With his evangelical energy, Talley revived the spirits of the bottlers (who had disliked Gager so much they once booed him at a meeting) and restored the mood of the home office. Talley began making the sort of unapologetic, infectiously overheated pep talks that had been missing since Harrison Jones retired:

> Sometimes I've stood on the deck of a great ocean liner in the North Atlantic on a stormy night as she pitched and rolled in the heavy seas, with her great engines slowed, and she would

> be just making way. And as I have stood alone there, peering into the inky blackness of the mountainous seas ahead, I've thought about our business in these changing times. . . .
>
> If the ship is strong and seaworthy, and if the crew is stout-hearted and courageous. . .she rides out the storm, and the weather clears, and the seas calm, and on the horizon there comes the faint glimmer of another day, and soon a bright streak of morning sun, and the officers train their instruments upon it. Their position is fixed, and a firm voice goes down the speaking tube to the engine room, "Full speed ahead!" And so it echoes throughout the ship, and once more her giant engines quiver and vibrate with life as her bow once more goes crashing through the seas at full speed to her destination.

It was impossible not to mock Talley for such ponderous metaphors, of course, especially when they came from such a diminutive source. He traveled with a custom-built, two-thirds-size lectern he could see over, and his stature made him the subject of considerable teasing. When he went hunting at Ichauway, astride a mount no bigger than a Shetland pony, Woodruff liked to look over at him in the tall grass and yell, "Lee, get on your horse!" And Talley would respond with unfailing good cheer, "I am!"

Yet Talley could be very determined. His sunny disposition and gentle demeanor disguised a tough inner core. An underling remembered asking Talley once for some time to walk around the block and think over a new assignment before accepting. "Well, make it a short block," Talley snapped, his smile disappearing, "because the decision's already been made." Like everyone else who got to the top of the company, Talley was extremely deferential with Woodruff, but he also had the gumption to disagree with him when necessary and push him to change his mind.

"I believe for the first time in a good while Mr. Woodruff is pleased with his management," a friend wrote Ralph Hayes not long after. Talley took over, and it was true. Many years later, contemplating the significance of Talley's rise to the presidency of Coca-Cola, Joe Jones said simply, "He saved the company."

A few months before he became president, Talley gave a speech in Atlanta as remarkable for its time and place as Woodruff's stand against lynching a quarter-century earlier.

The top executives of the Export Corporation were summoned to Plum Street from their posts around the world to attend a special "homecoming" meeting, a gathering meant to demonstrate that the headquarters of the Coca-Cola Company had returned to Georgia once and for all. The point of the assembly was to signal an end to the influence of the New York office, but the striking thing was what Talley had to say about the company's attitude toward race and creed. Speaking in October 1957, in the heart of the Deep South, he told his colleagues, "A man who holds himself out as the head of a business which seeks the patronage of all men—rich and poor, black and white, yellow and brown, Christians, Moslems, Buddhists, and Jews—must be devoid of racial prejudice and religious bigotry."

The men who ran Coca-Cola in Africa, Talley said, had to have "a genuine respect for and a willingness to get along with and understand Negroes." The same was true in India, in Japan and China, in Australia and Cuba and Brazil. The company had to see and appreciate the "best qualities" of the many different peoples of the world, Talley warned, or else it would not be able to do business.

To understand the profound effect Woodruff and his company would have on the unfolding drama of the civil rights movement in Atlanta, it was necessary to look at Coca-Cola overseas. By the early 1950s, more than a quarter of Coke's sales were in foreign markets. "One by one," Jimmy Curtis reported to Woodruff at the onset of the decade, "the many barriers and hurdles that confronted our business when World War II ended are giving way." With grueling effort, the company overcame the welter of health regulations, trademark laws, import duties, and boycotts that blocked its path to the international stage.

The State Department helped, as did the company's lawyers. At one point Coca-Cola had 630 separate infringement cases pending around the globe, the vast majority of which it won. When diplomacy and lawsuits failed, the company occasionally used strong-arm tactics: In one South American city, where a rival bottler threatened to make political trouble, Coca-Cola's field man played private eye, compiled a list of the bottler's mistresses, and had only to recite a half-dozen names before the fellow backed off, saying, "I get the picture." (The company avoided paying bribes for the most part, not so much out of high moral purpose, as Ralph Hayes once explained in a confidential memo, but because a bribed official could always be replaced and the payoff "would be a shining target for review by his successor.")

More than anything else, the Coca-Cola Company succeeded because it granted its bottling franchises to prominent foreign citizens and hired foreign nationals in its workforce. By 1955, the Export Corporation was selling concentrate to 418 bottlers in 92 countries and territories, yet only a handful of its employees—fewer than one percent—were American. Coca-Cola was in effect a French company in France, a Greek company in Greece, a Mexican company in Mexico. Resistance melted because most of the profits remained on foreign soil.

Dealing with partners from other cultures gave Woodruff and his circle at Plum Street a unique perspective and sense of tolerance that was lacking elsewhere in the insular South. What other businessman in Atlanta could boast of receiving a live cheetah as a gift from his managing director in Nairobi? What other company had a photo of Fidel Castro riding a bus in

Havana drinking a bottle of its soda pop? Who else did business in China through an English export house that sold pig bristles? The Coca-Cola Company simply could not afford to be narrow-minded.

The principal owner of Coca-Cola's bottling works in New Delhi, Bombay, and Calcutta was Yadavindra Singh, the Maharajah of Patiala, governor and spiritual leader of India's Sikh population, a close friend of Prime Minister Nehru and a former chancellor of the Chamber of Princes. Known around the world for his work as a diplomat, Olympic sportsman, and philanthropist, the maharajah lived in a cream-white castle the size of Buckingham Palace, with a 10,000-volume library, two square miles of tended gardens, a private army, and a hunting preserve stocked with partridge and wild boar. He was a member of royalty who stood six foot four and wore a turban, and the painful fact of life was that had he visited Atlanta, Georgia, in the mid-1950s, he might well have been considered "colored" and been denied lodging at the Dinkler Plaza Hotel.

Woodruff got to know men like Singh in every corner of the globe and recognized that they simply did not fit into the South's ethos that people could be categorized as either black or white and treated accordingly. When a group of Atlanta businessmen asked Mayor Hartsfield one day when the city's airport would begin getting international flights, his blistering response reflected the concerns of the Coca-Cola Company. "Not until Atlanta becomes an internationally minded city," he said. "What do you plan to do with the Brazilian millionaire who flies in with some money to invest but happens to be black? Send him to the Negro YMCA? Think about it, friends."

With a vast foreign market and millions of American blacks as customers, the company had every reason to want to avoid racial embarrassments in its hometown, especially after the U.S. Supreme Court ruled in *Brown* v. *Board of Education* that segregated schools were unconstitutional. Until 1954, the men of Plum Street and City Hall had been able to move at a slow, gentlemanly pace of their own choosing as they helped ease the bonds of the Jim Crow laws. Afterward, the city of Atlanta—like the rest of the South—was at odds with the law of the land, facing an accelerated demand for change that triggered a countervailing roar of massive resistance.

While Woodruff and his associates could hardly be called bleeding hearts, they seemed to realize almost by instinct that they could not afford to disobey the federal government. "I certainly have never been out for integration," McGill wrote Woodruff at one point, "but whatever my feelings, I am going to try to stay by the law and the courts." Woodruff liked to use an old saying in Negro dialect to explain his position: "Ah tries to cooperate with the inevitable."

Unlike so many of their counterparts in the South, the Coca-Cola crowd grudgingly accepted the fact that delay was futile. One day in the spring of 1955, just after the Masters golf tournament and about a year after *Brown*, President Eisenhower was on his annual visit to Augusta National, with

Bobby Jones along for company. "Mr. President," Jones asked him, "don't you think we're moving a little fast? Couldn't you arrange to give us a little more time?" According to McGill, who recounted the story years later, Eisenhower cocked an eyebrow at Jones and asked how much time he had in mind, and Jones, realizing how he'd sounded, answered sheepishly, "Oh, three or four hundred years, I guess."

Change was coming much faster than that, and fittingly enough one of the earliest breakthroughs involved the public golf course in Atlanta that bore Bobby Jones's name. Three days before Christmas in 1955, Mayor Hartsfield notified the press and TV stations that he'd decided to integrate the course and invited them to cover the event. The night before the new policy took effect, he met with a selected group of black golfers and urged them to tee off the next day at every course in the city *except* Bobby Jones, where he knew the race-baiters would be waiting. "They told me they had promised the television people they would appear," Hartsfield recounted later. "I said, 'Those TV boys aren't interested in watching you hit the ball. They want to get pictures of you getting beat up.'"

As the mayor anticipated, all eyes were on the Bobby Jones course. Vandals struck during the night, scrawling racial epithets in yellow paint on the benches and pavilions. But Hartsfield had a crew out before dawn, and when morning came there was no trace of the graffiti—nor of any black golfers. As the media packed up their cameras and went home empty-handed, blacks desegregated the other courses without incident.

The leaders of Atlanta's black community joined forces with Hartsfield on several occasions, hatching stratagems aimed at achieving change without setting off acts of violence. In the summer of 1957, for instance, a year and a half after Rosa Parks inspired the Montgomery bus boycott, the Reverend William Holmes Borders and his followers decided they could wait no longer to challenge the law that segregated the city's buses. They demanded to be arrested and were, but Herbert Jenkins, the white police chief, sent a black detective who carefully took them into custody and had them booked, bonded, and out of jail in two hours. The door of the detention room was never closed.

"Atlanta Negroes want to see signs of progress," T. M. Alexander, a prominent leader, explained at the time, "but we are not trying to ram it down the white man's throat. The beauty of Atlanta is that there is a liaison between the Negro and the better class of the white community."

Woodruff's attempt to nourish the same kind of moderation on the state level proved less successful, and in many ways he had himself to blame.

The Coca-Cola Company had posted a lobbyist at the Georgia Capitol ever since "Uncle John" Edmondson began working the corridors for Asa Candler just after the turn of the century, buying drinks and dinner for needy legislators. The top priority was to prevent the General Assembly from imposing a penny soft drink tax that would hike the price of a Coke to 6 cents, a job Edmondson and his successors performed with quiet efficiency for decades.

Race did not enter the equation until 1949, and then only indirectly. Senator George, the company's great champion in Congress, had to stand for reelection the next year. Because of his age, seventy-one, and his increasing remoteness from the voters of the state, he was considered vulnerable. The most powerful of his potential challengers was Herman Talmadge, the son and political heir of Eugene Talmadge, the "Wild Man from Sugar Creek," a four-term governor whose fiery oratory, red suspenders, and overt bigotry made him one of the South's most notorious (and popular) public figures until his death in 1946.

In order to keep Herman Talmadge from running against Senator George, Woodruff was prepared to cut a deal. The younger Talmadge had won a special election to finish out the last two years of his father's final term as governor, and Woodruff hoped to persuade him to pass up the Senate race in favor of running for reelection to a full four-year term of his own. Woodruff also wanted the General Assembly to pass a general sales tax that would eliminate once and for all any chance of a special levy on soft drinks. The question was what Talmadge might ask in return.

On a late summer afternoon in September 1949, Hughes Spalding invited Talmadge to his farm on the Chattahoochee River outside Atlanta for a talk. Talmadge confided that he was willing to run for governor again and favored the adoption of a 3 percent sales tax. The problem, Talmadge explained, was that supporting such a tax would hurt him with the voters. He wanted Spalding's promise, and Woodruff's, that the Coca-Cola Company would back him to the hilt for the Senate seat when it came open in 1956, or earlier if George died or retired.

"We will have to make a pretty firm commitment," Spalding reported to Woodruff, "that when a vacancy does occur in the United States Senate we will go down the line for him. That's about the way it stands." Woodruff accepted the terms. Talmadge won the governor's race in 1950 with the company's backing and led a successful fight the next year for passage of the sales tax.

The deal might have been a small footnote of interest only to Georgia's taxpayers, except that it linked the Coca-Cola Company to Talmadge's other politics as well, which included staunch, implacable resistance to the civil rights movement. Unlike his father, Talmadge did not shout the word "nigger" at rallies or point to black children and call them the enemy, but his efforts were no less hostile to the advancement of black people. A lawyer by training, he became one of the South's leading advocates of states' rights and the notion that "separate but equal" could somehow be salvaged in the courts. His famous pamphlet, "You and Segregation," set it all out in black and white.

The company had no leverage at all with Talmadge, and there is no indication Woodruff or Spalding ever tried to get him to soften his views on race. On the contrary, Woodruff praised Talmadge publicly, once toasting him at a formal dinner as "the best governor Georgia ever had, sired by the second best," a line that later caused the Coca-Cola Company a good deal of embarrassment. Talmadge was succeeded as governor by a pair of protégés, Marvin Griffin and Ernest Vandiver, who escalated the segregationist rhetoric and tactics of the state government through the rest of the decade.

In 1956, as Senator George's term was drawing to an end, Talmadge waited for Woodruff and Spalding to make good on the final part of their deal. George was now seventy-eight and ailing, but unwilling to accept the idea of retirement. He had served in the Senate for more than a third of a century and believed he was still invincible at the polls.

As the campaign took shape, most independent observers agreed that George was doomed. While the senator was attending to his duties in Washington, Talmadge had been stumping the state for two full years raising money, locking up commitments and laying the foundation for a powerful challenge. George had scarcely set foot in his home state and was thoroughly out of touch with the electorate.

When the senator belatedly began campaigning, the results were embarrassing. "Old Walter came up here," Willie Barron, the venerable Coca-Cola bottler in Rome, Georgia, reported to the home office, "and I'm one of the few people he still knows. He hasn't been in Floyd County in twenty years." The senator was far from healthy, and he rambled badly in some of his campaign speeches, even breaking down in tears once or twice.

Woodruff spoke to the senator personally, gently urging him to give up gracefully. When the senator failed to heed the message, Woodruff sent an emissary, Robert Troutman, to explain in clearer, more forceful terms that the game was up: There would be no support for another campaign. George reluctantly withdrew from the race, and Woodruff helped arrange a face-saving sinecure, an appointment for George to be President Eisenhower's personal representative to NATO.

The great likelihood is that George would have lost to Talmadge even if Woodruff and the Coca-Cola Company and all the other "Big Mules" in Atlanta had rallied to the senator's side. And it may be that by pushing George into retirement, Woodruff did him a favor. Still, there was a whiff of betrayal to the affair, a feeling that Senator George was being jettisoned in spite of all the favors he'd done over all the years. George's wife, Miss Lucy, never forgave Woodruff. "Pretends to be his friend all this time," she said bitterly to a family member who worked for Coca-Cola, "but look at this!"

George was dead within the year. Talmadge took his hard-line views on race to the U.S. Senate, where he served four terms, leaving behind a statehouse that remained enemy ground to a million black Georgians.

On the evening of Sunday, December 6, 1959, Atlanta held the grandest stag party in its history.

The occasion was Woodruff's seventieth birthday. While a select handful of women, including Woodruff's wife, Nell, listened by intercom from a room on another floor, 147 of the city's top businessmen, lawyers, bankers, and politicians gathered in the Mirador Room of the Capital City Club, where they dined by candlelight on Chateaubriand and supreme of quail, sampled the Coca-Cola mousse that was served for dessert, and then lit cigars and swirled brandy as the program began.

Bobby Jones served as toastmaster. There were three keynote speakers, each taking a different aspect of Woodruff's life as a topic. Ralph McGill spoke on Woodruff the sportsman. Ralph Hayes, joking that "modern Woodruff, like ancient Gaul, is divided into three parts, and I have only a third of him," described his business career. Bob Troutman discussed Woodruff's philanthropy in a text modestly entitled "A Friend to Man."

Among the dinner's other highlights, a life-size, "talking" bottle of Coca-Cola rolled out on the stage and described itself as an emblem of all humanity. "In the far reaches of the free world," a disembodied voice within the robot intoned, "I am mankind. In the everlasting spirit of the struggle upward, I am a power for good. . . . More faith is afforded me than certain sovereign governments."

President Eisenhower, who was away on a state visit to Pakistan, sent a somewhat less dramatic recorded greeting of his own, and the five members of the host committee presented Woodruff with a silver humidor that had a clock on top, along with cameo etchings of their faces. Every guest received a commemorative album, bound in red leather, that contained a scrapbook of Woodruff's life, along with a snapshot (taken earlier that evening and quickly developed) of himself shaking hands with Woodruff in the receiving line.

No one who attended the dinner ever again made the mistake of equating Woodruff's dislike of publicity with a lack of ego. He reveled in the praise until well after midnight, and a few days later he asked all of the speakers go to a studio to repeat their words on tape for posterity. He wrote Eisenhower that the affair "was the best party of its kind I have ever been to."

Had it been a retirement dinner, the lavish accolades might have seemed more commonplace, the kind of soft packing with which men of accomplishment are often crated and sent to the museum. But Woodruff was not retiring, no more than he had been at sixty-five. He gave strict orders before the dinner that no one was to mention his age, and he scrapped plans for a series of reenactments that might have lent the affair the finality of an episode of "This Is Your Life." He declined to receive gifts.

The point of the dinner was power. Woodruff still had power—more of it, in fact, than ever before—and he meant to use it in the pivotal decade at hand, the 1960s. The guests were there to be reminded that they still worked for him.

Ten

POLITICS

In the spring of 1959, Al Steele took to the road trying to sell his jittery bottlers on "The Sociables," a new advertising campaign that continued to present Pepsi as the favorite soft drink of the fox-hunt and dinner-party crowd. Unlike his counterparts at the Coca-Cola Company, Steele still believed in the upscale approach that had brought his product out of the kitchen and, as he put it, "away from poverty."

The bottlers weren't so sure. Faced with a slowdown in sales, they doubted if snob appeal had much further attraction. Sophisticated young adults were a narrow segment of the market, after all, and there were relatively few men in the United States who actually wore top hats, as some of the models did in Pepsi's newest ads.

For six weeks, as he worked his way east from San Francisco through Denver, Dallas, Chicago, Columbus, Albany, and Charlotte, Steele staged an elaborate "Ad-O-Rama" show every night and gave the same high-octane talk over and over, urging the dubious bottlers to help underwrite the campaign. His wife, Joan Crawford, made the trip with him, bringing along twenty-eight pieces of luggage and a supply of Alpine cigarettes and 100-proof Smirnoff vodka. The two kept up a furious pace, drawing mobs of reporters and holding press conferences everywhere they went. "I hate to use my wife to help me sell," Steele admitted, "but let's face it, she does."

Their last stop was Washington, where Steele delivered two speeches, visited Capitol Hill, and taped eleven separate radio interviews before flying home to New York on the company's Lockheed Lodestar. The next night he went to bed early, saying he was exhausted. Crawford found him in the morning, slumped on the floor, dead of a heart attack at age fifty-seven.

To succeed Steele, Pepsi's board of directors turned to a low-key lawyer named Herbert Barnet, a man whose rise through the corporate ranks had been fueled in large part by his efforts to cut costs and put the brakes on Steele's impulsive spending. The antithesis of Steele, Barnet had no appetite for extravagant productions or pretentious ads. One of his first decisions was to fire Pepsi's advertising agency, Kenyon & Eckhardt, and retire "the Sociables" permanently. The day of the top hat was over, much to the relief of the bottlers.

Yet Barnet had little idea what new direction to take. Thanks to Steele, Pepsi had become a full-fledged rival of Coca-Cola, with more than a third of the national cola market and a mandate to compete for an even bigger share. The question was how. When the Pepsi-Cola Company opened its new headquarters on Park Avenue in February 1960, nine months after Steele's death, the *American Soft Drink Journal* hailed the modern, eleven-story glass and aluminum building as "a dramatic symbol of the forward thinking and action which has marked Pepsi-Cola's rise over the past decade." But really it was more of a monument to Steele, a backward salute to his accomplishments that gave no clue how Pepsi planned to cope with the future.

Both companies, Pepsi and Coca-Cola, were confronted with a swiftly changing marketplace where the old verities no longer held. What had been a fairly simple contest between two soft drinks gave way to a modern business climate in which the customers were in charge. After years of telling consumers what they ought to want, the companies found themselves forced to listen.

One of the most urgent challenges arose from the success of vending machines. People liked the convenience of slipping coins into slots to buy ice-cold bottles of Coke and Pepsi, and the machines became a lucrative source of revenue for the companies' bottlers. But people also expected a variety of flavors—root beer, orange, lemon, ginger ale, and grape—in addition to cola. The bottlers were pressing their home offices to develop new lines they could stock. Coca-Cola's New York bottler, a hard-to-manage maverick named Jim Murray, grew so impatient he started selling his own brand of lemon-lime drink called Veep.

Scrambling to regain the initiative, the Coca-Cola Company broke its seventy-five-year tradition and introduced a new product, Sprite, in spite of Robert Woodruff's private misgivings that the citrus flavor was "too sweet, not sharp enough, and possibly has a disagreeable aftertaste." The company also offered a complete line of popular flavors under the brand name Fanta (the name invented by Max Keith during World War II) and began experimenting with Coke in cans. Every idea Woodruff had stubbornly resisted during the 1950s became fact in the early 1960s, all with considerable success.

Pepsi followed the same dictates, launching a lemon-lime drink called Teem and a line of flavors called Patio. For a time, the two companies seemed almost like allies, setting aside their differences while their beleaguered executives tried to figure out where the public was headed. In 1958, diet drinks had accounted for less than one percent of the sales in the nation's $3 billion soft drink industry. Just four years later, in 1962, a public opinion survey found 28 percent of the American people watching their weight. Royal Crown's Diet Rite Cola made a meteoric debut on the supermarket shelves.

At Plum Street, Lee Talley assigned a top priority to "Project Alpha," a crash campaign to develop a competing diet drink. In less than a year, sugar-free Tab was unveiled at a crowded press conference in the auditorium of the Time-Life Building in New York, where a friendly critic said it tasted "like a good, tart Coke." Pepsi kept pace, bringing out Patio Diet Cola for test-marketing in several cities.

What to do about advertising threw both companies for a loop. The creative department at Pepsi's new agency, Batten, Barton, Durstine & Osborn, struggled with the search for a new theme to replace "the Sociables." According to one of the Coca-Cola Company's spies on Madison Avenue, the best the highly regarded BBDO could come up with in the early going was "Relax with Pepsi," a meager effort reportedly "slapped together on a desperation basis at a top-brass level."

Coca-Cola's executives were no happier with their results from McCann. Talley undertook what he called an "agonizing reappraisal" of the company's advertising and concluded it had lost direction. After dropping the high-society approach, Talley wrote in a candid memo:

> We have been selling our product as a light refreshment in a ski lift; we have been selling it as the base for a Coke Float; we have been selling it as the beverage to be consumed with a hot chafing dish of roast beef hash; we have been selling it as refreshment beside the swimming pool; we have been garnishing it with a slice of lemon or lime; we have been selling it as an adjunct to a sandwich snack after a set of tennis; most recently we have been selling it as the chief ingredient in the wassail bowl—a "Cherry Merry" or a "Lemon Grog."
>
> In my humble opinion, we are losing sight of WHAT WE ARE in trying to be all things to all people. . . .

In Talley's analogy, selling Coca-Cola should be like describing an attractive woman. "She is not a piece of lipstick, a bit of eye shadow, a pretty gown, a girdle, a brassiere, a well-turned calf," he wrote. "It is the total ensemble which is a beautiful woman." Ordering the company's advertising director, Delony Sledge, to get busy right away, Talley explained in simple terms what he had in mind for a new theme: "It must reek with quality and beauty. It must ELEVATE THE PRODUCT and PUT IT ON A PEDESTAL." He said he wanted results in weeks, not months.

Pepsi's agency was the first to solve the social riddle and create a successful new advertising campaign. BBDO's president, Charlie Brower, spent four months and untold thousands of dollars on market studies and motivational research surveys that told him what should have been obvious to anyone walking down a sidewalk past a school: America was feeling the results of the baby boom.

The census told the story. In 1952, a typical postwar year, 1,494,000 people died in the United States and 3,844,000 were born, a replacement ratio of more than two and a half to one. A decade later, those children were entering the fifth grade. Like Coke, Pepsi had been gearing its ads toward adults at a time when the biggest wave of young consumers in the nation's history was beginning to surge into the soft drink marketplace.

"Now it's Pepsi for those who think *young!*" declared BBDO's new slogan, abruptly reversing pitches. Unveiling the idea at a Pepsi bottlers meeting, Brower called Coca-Cola an old-fashioned, "fat-headed" competitor ripe for the plucking, a bit of rhetorical swagger that ended the unofficial truce between the companies and signaled the modern stage of a rivalry that continues unabated to this day. A BBDO account executive explained that the point was to portray Coke "as a drink for people who are out of step, out of touch, out of date." It took BBDO another four years to dream up the "Pepsi Generation," but the theme was in place by the early 1960s: Coca-Cola was the drink of the World War II generation, and Pepsi was the drink of their children.

Refusing to answer the competition directly, McCann launched "Things Go Better With Coke," a deceptively simple campaign that worked because it reinforced the idea of Coca-Cola as a mealtime beverage, because it suggested a role for the soft drink as a catalyst in boy-meets-girl encounters and other social situations, and mostly because the company spent a record $53 million putting it in magazines and on television. Coca-Cola was the most heavily advertised product in the country in the early 1960s, and that fact alone helped account for the company's ability to keep ahead of the rejuvenated Pepsi.

Had the budding generational war between Coke and Pepsi been fought and decided in the early days solely on the basis of which company was actually more hip and with-it and attuned to the tastes of America's under-thirty crowd, Plum Street might well have lost Coca-Cola's TV celebrities seemed slightly out of date, a step or two behind the popular curve, as if they belonged in the Smithsonian instead of the studio. Morton Downey and Edgar Bergen stayed on the air long past their prime years, then were replaced by Eddie Fisher, whose "Coke Time" program became obsolete as the rock-and-roll revolution overtook him. In 1965, hitting a sort of trifecta of un-coolness, the company named Anita Bryant, the former Miss America contestant, to be its "Ambassadress of Goodwill," and arranged an appearance for her on "The Lawrence Welk Show," where she sang the title song from *The Sound of Music*.

Happily for the company, however, its performers were not its only means of reaching the public. Coca-Cola's bottlers understood the importance of cultivating the teenage market and underwrote a syndicated radio program called the "Hi-Fi Club," which broadcast a weekly "hop" from various high schools around the country. More than a million teens sent away for membership cards in the club and participated in its prize contests, winning discount coupons for answering such questions as, "Ricky Nelson's mother is named Ozzie, true or false?" Aiming at an even younger audience, Coca-Cola also sponsored a portion of "The Mickey Mouse Club." L. F. Montgomery, the Atlanta bottler, liked to say that Coca-Cola was there waiting for children as they were weaned off mother's milk, a sentiment that was shared (if not stated quite so bluntly) throughout the organization.

When it came to special events, no one—not even Walt Disney—could match the Coca-Cola Company's knack for mounting an extravaganza. During the planning stages in 1963 before the New York World's Fair, the company sent an executive named Ted Duffield to see Disney about the possibility of collaborating on a pavilion. Duffield recalled being shown into a small office in Los Angeles where Disney offered him a glass of tomato juice, seated him on a brown leather sofa, and presented the concept: a stage filled with foot-tall figurines of the American presidents, starring a mechanical Abe Lincoln standing against a Civil War backdrop reciting a six-minute excerpt from his inaugural address.

Declining politely but emphatically, Duffield hurried back to New York and helped create the "World of Refreshment," an indoor theme park full of startlingly realistic scenes from around the globe, including a village in the Bavarian Alps and a Cambodian rain forest. According to a newspaper report, the exhibit's replica of the deck of a cruise ship was so authentic, down to an underfoot throbbing and the whir of engines, that a visiting teacher shushed her students as they passed by a porthole, saying, "Be quiet now! There are people sleeping in there."

Treating the fair as an occasion of worldwide significance, Coca-Cola published a special newsletter detailing the activities at the pavilion—the number of clippings it generated (more than 1,500), the groups of visitors it drew on a given day (31,500 schoolchildren; 1,500 members of the Daughters of the American Revolution; 200 congressional secretaries), and the names of the celebrities who stopped by: Monique Van Vooren, Paula Prentiss, Jacqueline Kennedy, Gene Tunney, and Art Buchwald. Robert Woodruff made a rare public appearance at the opening ceremonies, accompanied by the reigning America's Junior Miss, Diane Sawyer, who carried a bottle of Coke in her white-gloved hand.

In all the company spent $5 million on the fair, including the installation of the largest carillon in the world, a 610-bell behemoth with 3,600-watt speakers atop a 120-foot tower that played the familiar bars of Coke's ad theme every fifteen minutes, audible for a distance of fifteen miles. Company officials wanted the music to play continuously, but the manufacturer, Schulmerich Carillons of Sellersville, Pennsylvania, balked. "It would have destroyed the dignity of the thing," Schulmerich's musical director explained.

The dignity of the whole undertaking was a matter of interpretation, of course, but the point was that the Coca-Cola Company insisted on having a major presence at the fair. Woodruff, Talley, and every other executive at Plum Street saw Coca-Cola as an American institution, deeply ingrained in the public mind as an idea as well as a product, with a special status that had to be preserved and protected. Advertising alone was not enough.

There were many reasons why the company did well in the early 1960s. For one thing, Pepsi's generational assault triggered a mild backlash among the senior citizenry, who resented the implication that Coca-Cola was for fuddy-duddies. "Frankly," an editorial writer complained in the *Scottsdale* (Arizona) *Daily Progress*, "we're still full of beans, vinegar, and sometimes Coke, and that doesn't make us out of date."

Then, too, there was safety in numbers. Not only were there more consumers than ever before, but they were drinking soda pop at a much faster rate. Per capita consumption of soft drinks in the United States rose steadily from 174 servings in 1954 to 227 in 1963, guaranteeing plenty of demand to meet. And the popularity of Coca-Cola's performers eventually improved. The "Things Go Better" theme song was sung by Nancy Sinatra, Jay and the Americans, and the Supremes, among others, satisfying a wide range of tastes. Going a little too far, perhaps, an ad targeted at black audiences asked, "Why don't somebody lay a Coke on me?"

Mostly, though, Coca-Cola succeeded because it had achieved a special plateau occupied by an elite handful of products that helped define the very essence of what it meant to be American. By 1964, the company could trace a ten-year arc of rising sales that began with the simple expedient of selling the product in bigger bottles and continued with a series of capitulations to the wishes of its customers.

Coke's standing as an icon was an old story, of course. The new wrinkle was the need to keep adapting that icon to the rapid changes taking place in American society. Looking ahead to the next ten years, the challenges promised to be far greater. Not only were tastes evolving, American values were beginning to shift as well, placing all of the nation's institutions in some degree of jeopardy. Like it or not, Coca-Cola was political, and few decades in American history have witnessed greater political upheavals than the sixties.

When researchers aboard the bathyscaphe *Eastward*, combing the ocean floor hundreds of miles off Charleston, discovered a Coke bottle at a depth of 19,200 feet in 1966, news accounts marveled at the ubiquity of the most familiar product on earth. But ecologists despaired.

In spite of all the cunning statecraft practiced by its lobbyists, there had always been one oddly innocent aspect to the Coca-Cola Company's treatment of politics and politicians. Any endorsement was welcome, no matter the source.

For years before and after World War II, the company's publicists blandly repeated the assertion that Hitler liked Coca-Cola, as if to say his taste in soft drinks was the lone humanizing aspect of his personality. From Fidel Castro to King Farouk, any political figure who drank Coke was a welcome sight, friend or foe.

President Eisenhower's fondness for Coca-Cola was so well established as to be taken for granted. When Ike visited New Delhi during his last year in office and posed for photographers sipping a Coke through a straw, Woodruff tossed off a thank-you note to the White House, along with a gentle reminder that the company's long-standing policy was never to show the product being consumed that way. Woodruff believed the use of a straw adversely affected the taste of Coke and implied that the bottle might be unsanitary.

Responding with good humor in a letter marked "Personal—Top Secret," Eisenhower protested. "For the first time I find you somewhat less than understanding," he chided Woodruff. "When I tip up a bottle of Coca-Cola for a good drink it lasts only seconds—with a straw, a lot of talk and more walking, I was able to [attract] more photographs and newspaper correspondents than I could possibly otherwise have done!"

The myth that Coca-Cola was above politics did not survive the 1960s. The trouble began in the summer of 1959, in fact, at the American National Exhibit in Moscow, the scene of Richard Nixon's famous "kitchen debate" with Nikita Khrushchev. The top executives of Coca-Cola Export declined to participate in the trade show, citing their long-running feud with the Communist parties in the Soviet Union and Europe. Bill Robinson argued forcefully that the occasion demanded Coca-Cola's participation, if only to pay the $25,000 cost of publishing a catalogue of American artists whose work would be on display. But he was turned down.

Seeing a rare opportunity open up, Don Kendall, the hard-charging young head of Pepsi's international division, committed his company to provide free soft drinks to every visitor who attended during the show's six-week run.

The decision nearly lost him his job. Just recently rid of Steele, Pepsi's cost-conscious directors had no wish to give away $300,000 or $400,000 worth of free samples, especially when the sale of American products was forbidden behind the Iron Curtain. Kendall saved himself with a visit to the vice president at his hotel in Moscow the night before the exhibit opened. At Kendall's urging, Nixon came by the Pepsi booth the next day and brought Khrushchev with him. Staging a small debate of his own, Kendall got the Soviet premier to taste two kinds of Pepsi, one bottled in the United States and one in Moscow. Naturally Khrushchev said he preferred the Russian version, but what mattered was the photograph that went out over the wires showing him guzzling Pepsi. "Khrushchev Learns to Be Sociable," the caption said, using Pepsi's old slogan one last time with fine, unwitting irony.

Kendall's coup infuriated Woodruff and the other executives at Plum Street, not least because of the vice president's complicity in bringing it off. As the number two man in the Eisenhower administration, Nixon was presumed—wrongly, it seemed—to be part of the team. In the fall, when Nixon launched his own bid for the presidency, he asked Woodruff to meet with him, talk things over, and consider supporting his candidacy. The session did not go well.

Nixon and his wife, Pat, arrived in south Georgia to spend the weekend at a plantation near Ichauway owned by Jim Hanes, the underwear mogul. Woodruff drove over to spend Saturday with the vice president and was immediately struck, unfavorably, by the fact that Nixon did not hunt. Pat Nixon went out and actually got a bird, Woodruff reported later to Eisenhower, but her husband was "not a shooter," and that was a bad sign.

Making matters worse, Nixon committed a gaffe when he sent a follow-up note a few days later thanking Woodruff for giving him a jar of Ichauway's sorghum syrup. As any halfway attentive Yankee visitor should have known, the plantation's special delicacy was pure Georgia cane syrup, not sorghum, and Woodruff (whose life's work, after all, centered on syrup) was always irritated if someone failed to make the distinction. "There is a very great difference," he wrote Nixon, "between our syrup and sorghum, which is generally a heavy, bitter-sweet substance." Perhaps, Woodruff added, "I will get you down here sometime and teach you more about these specialties of the Deep South."

Privately, Woodruff dismissed Nixon as a man lacking a sense of humor. "They never had any rapport," Joe Jones recalled. "That's the best way to put it, I think. Nixon just wasn't his kind of folks."

During the primary season, Woodruff threw his support behind Lyndon Johnson, and then sent Morton Downey to serve as an unofficial ambassador to Hyannisport after John F. Kennedy gained the Democratic nomination. Ever since the Coolidge administration, Woodruff had tried to maintain a cordial relationship with the occupant of the White House, and if that was not possible he found intermediaries to build bridges and look after the company's interests. Woodruff detested Kennedy's father, Joseph, for his wheeling and dealing in general (and specifically for trying to pressure the company into giving him bottling franchises in South America during World War II), but that did not prevent the offer of an olive branch. Hedging his bets, Woodruff also remained courteous toward Nixon and even helped him set up a few fund-raisers in Georgia, just in case.

Once the election was decided, though, Nixon was shunned. The crucial moment came two years later, after he lost the California governor's race. With his hopes of reviving his political career lying in apparent ruins, Nixon sounded out the Coca-Cola Company about a job, using an old navy friend, DeSales Harrison, as the go-between. Don Kendall had approached Nixon about handling Pepsi's legal business, Harrison told his colleagues at Plum Street, but Nixon was interested in representing Coca-Cola, the top company in the industry. The subject was taken up at a meeting in Lee Talley's office, according to one of the participants, "and everybody said, 'No, we don't need that son of a bitch on the payroll.'" The decision to reject Nixon was forwarded to Woodruff, who concurred.

No other political decision in the company's history proved as consequential. For all its battles with Dr. Wiley and his fellow reformers in the federal government, for all the gut-level lobbying the company did at the

Capitol and in statehouses across the land, Coca-Cola had managed for nearly eight decades to avoid a partisan label. Now it got one overnight. Nixon became the senior partner in Pepsi-Cola's outside law firm, and from that moment on the fight between Pepsi and Coke became a fight between Republicans and Democrats.

Because of the overwhelming tragedy that took place later the same day in the same place, few people remember that Nixon was in Dallas on November 22, 1963, attending a Pepsi-Cola bottlers' convention.

In his speech to the group, Nixon deftly maneuvered to push a wedge between the president and vice president. It appeared highly likely, Nixon said, that Kennedy would drop Johnson from the ticket as a liability in 1964—a prediction designed to taunt and embarrass the Democratic administration in Johnson's home state. Seeing Nixon's purpose as soon as the UPI story on his speech clattered across the teletype, an executive at Plum Street arranged to send a copy to Johnson.

But Johnson required no prodding to demonstrate his affinity for Coca-Cola. As vice president, he often drank Cokes in public, and he continued the practice when he became president. Visiting the World's Fair, for instance, he posed for a photograph tipping a bottle to his lips. On another occasion he and his daughter Lynda Bird drank Cokes together while the cameras clicked. Johnson was fully aware of Nixon's association with Pepsi and went out of his way to even the score. During the campaign of 1964, he told reporters Coca-Cola was the soft drink of choice on *Air Force One*.

Never one to ignore a political alliance, LBJ maintained warm relations with Woodruff and rarely missed a chance for a friendly gesture. One of the company's top lobbyists, Ovid Davis, recalled standing under the porte cochere in front of the Sheraton Carlton Hotel in Washington one morning waiting for a cab when a small motorcade of three black limousines came roaring by from the White House:

> The president was in the middle one, and he whipped back around—varroom! You can imagine what that did to the car in front and the one in back. It caused the damndest confusion. And the president stuck his head out and said, "Good morning, boy, how're you?" I said, "I'm very fine, thank you, Mr. President." He said, "How's Bob? Tell him I said howdy." By then the whole street was really in a mess.

Johnson helped the company in tangible ways as well. One of the strangest, longest-running bureaucratic battles in the history of the Food and Drug Administration was resolved in Coca-Cola's favor during Johnson's presidency—more than a quarter of a century after it began.

In 1938, Congress passed a law requiring ingredient labeling for most foods and beverages, a reform the Coca-Cola Company fought tooth and nail. The problem was not so much protecting the secret formula, since the flavorings in Merchandise No. 7X were exempt from the disclosure requirements, but rather in having to certify the presence of caffeine and other controversial additives the company preferred not to acknowledge. ("Coca-Cola," a company official wrote at the time in a candid in-house memo, "can never be explained to the average consumer so that the consumer will be benefited by this explanation.")

When Congress agreed to a brief delay in imposing the law on the soft drink industry, Coca-Cola's lobbyists went to work and quietly managed to stretch the postponement all the way into the 1960s. Consumers' groups eventually raised a ruckus, and the FDA announced belated plans to create regulations putting the law into effect. Treating the matter as a full-scale crisis, the company responded by launching a furious campaign meant to strip the labeling requirement of all meaning.

Ben Oehlert, whose brazen attempt to make Coca-Cola a military necessity had succeeded so brilliantly during World War II, spearheaded the company's effort. Summoning new powers to bend logic, Oehlert first argued that the company could satisfy the law by putting a label on its bottles that said simply, "Contains Coca-Cola syrup and carbonated water." The lone ingredient in Coca-Cola, Oehlert reasoned, was Coca-Cola syrup. This the FDA refused to buy.

Next, Oehlert tried a volley of assertions. Since Coca-Cola was 99½ percent sugar and water, he told the FDA, the remaining ingredients were too minor to merit disclosure. People already knew what was in Coca-Cola, he added, and if they didn't it was because they didn't care. And besides, the only significant difference between Coke and other colas was in the flavorings, which were exempt from disclosure anyway. These pleadings also fell on deaf ears.

Oehlert's final argument was a masterpiece. Since Coca-Cola had always contained caffeine, he asserted, it was by legal definition a "caffeinated" soft drink, and thus there was no reason to list caffeine on the label. Just as it was unnecessary to identify caffeine as an ingredient in coffee, Oehlert said, it was understood that caffeine was a constituent element of cola beverages, and proclaiming that fact on the side of the bottle would be redundant

The government was unmoved. Oehlert arranged a private luncheon in Washington with George Larrick, the FDA commissioner, who confided that he planned to rule against Coca-Cola. If the company wanted to keep caffeine off its label, Larrick said, it would have to pursue an appeal in a public hearing. Reporting the conversation to Woodruff a few days later, Oehlert advised strongly against asking for such a hearing, since "every crackpot and screwball would rush to [attend] and would not confine their comments to the labeling of caffeine but instead would in every way possible libel our product. . . ."

Oehlert's warning was not without basis. The most recent edition of *Fact* magazine, a left-leaning journal published by the activist Ralph Ginzburg, had announced on its cover that Coca-Cola caused "tooth decay, headaches, acne, nephritis, nausea, delirium, heart disease, emotional disturbances, constipation, insomnia, indigestion, diarrhea, and mutated offspring." The text of the article claimed the existence of a "massive dossier of medical evidence indicting Coca-Cola as one of the most poisonous beverages ever found in a bottle that doesn't bear a skull and crossbones." There wasn't much the company could do to prevent such attacks, Woodruff believed, but at least it could deny its accusers a public forum. There would be no hearing.

Using various stalling tactics, the company continued to hold the FDA at bay, until at last a tidy solution presented itself. Commissioner Larrick, a holdover from the Kennedy administration, retired, which gave President Johnson the opportunity to name a successor, Johnson was happy to consult with the Coca-Cola Company before making the appointment, and in due course he picked James Goddard, an assistant surgeon general who happened to be the director of the Centers for Disease Control in Atlanta, where he was on friendly terms with several company officials.

Eleven days after his appointment (and twenty-eight years after the original enactment of the law), Dr. Goddard published a proposed final order in the Federal Register that said caffeinated soft drinks did not have to list caffeine as an ingredient. Coca-Cola had won.

Only it wasn't quite that simple. In attempting to explain exactly what constituted a caffeinated soft drink, the FDA stumbled into the thicket of pretense that underlies Coca-Cola's mystique, with Alice-in-Wonderland consequences. By law, the FDA said, a caffeinated soft drink was any beverage that had the word "cola" as part of its brand name, or that contained caffeine made from the kola nut.

An objection was raised by the makers of Dr Pepper. Had the caffeine in Dr Pepper actually been derived from kola, the seed of the African tree, there would have been no problem. But contrary to the fable created by the Coca-Cola Company over the decades, kola had never been the natural source of caffeine in any soft drink. At the behest of Dr Pepper, the FDA ruling was amended so that all "natural caffeine-containing extracts" were added to the definition.

The absurdity of the situation took a moment to sink in. The federal government now said, in effect, that *any* soft drink that contained caffeine was automatically exempt from saying so on its label. This led inevitably to a new tangle when the manufacturer of Kickapoo Joy Juice, a soft drink that did not resemble a cola at all but was laced with caffeine, asserted a right to protection under the labeling law. With the FDA threatening to reexamine the whole issue, Oehlert negotiated a settlement that allowed Kickapoo to call itself "the original Dog Patch cola," thereby qualifying under federal law as a caffeinated cola drink, free of the requirement of listing caffeine on its label.

Putting an end to one of the company's less edifying episodes, Oehlert had a letter mailed to all Coca-Cola bottlers urging them to let the FDA ruling become final without further objection. It was sound advice, and they took it.

As part of the mania for mergers that swept corporate America in the early 1960s, Coca-Cola acquired the Minute Maid Corporation, the Orlando-based manufacturer of frozen orange juice. Along with thousands of acres of citrus fields, the deal provided Plum Street with the services of an eccentric financier named William Appleton Coolidge.

A small man in his early sixties with a fringe of flyaway gray hair, Coolidge was the heir to a large New England textile fortune. He had invested heavily in the research that led to Minute Maid's breakthrough in frozen citrus processing, and after the merger he wound up with more than $2 million in Coca-Cola common stock and a seat on the board of directors.

A lifelong bachelor, Coolidge collected fine art, including a Rubens and a Van Gogh, which he kept in a dusty old mansion outside Boston that was so dark the paintings had to be viewed with a flashlight. As a cum laude graduate of Harvard College and Harvard Law, with a stint at Oxford's Balliol College in between, Coolidge believed Woodruff and the other members of Coca-Cola's board would welcome his brilliant insights into running the business. He was mistaken.

At Minute Maid, Coolidge was accustomed to leisurely board meetings that went on for two or three days at a time, with members encouraged to brainstorm together, sharing their musings and daydreaming aloud. The atmosphere at Plum Street, where Woodruff ran tight, no-nonsense sessions that rarely lasted a morning, came as a surprise to Coolidge, and a genuine disappointment. He liked Woodruff and was drawn to him, as so many people were. He wanted to discuss his ideas and give counsel.

Woodruff considered Coolidge little more than an overgrown pixie, according to Joe Jones, and teased him for wearing his wispy hair down to his shoulders. Coolidge was unquestionably bright, but he knew nothing about the soft drink business, and Woodruff resisted his attempts to create a more intimate relationship.

One day at lunch in Plum Street's private dining room, chatting informally with the board members, Woodruff let down his guard. Muttering darkly, he criticized the "beatniks" and other outsiders who were coming into Mississippi and the rest of the Deep South, agitating for civil rights reform and stirring up dangerous passions among blacks and whites alike. Southerners of both races felt resentment at being told what to do, Woodruff said, especially by adventurers from the North who seemed more interested in provoking trouble than bringing about worthwhile change.

Coolidge was offended. Responding in a letter a few days later, he said he was "grieved" by Woodruff's attitude. "The horrible tragedy of this whole business," he wrote, "lies in the feeling that fine Southerners like yourself have—that the coloured man does not really seek for his self-respect. I do not know how that is going to be brought home to you. I only hope it is not through bloodshed. . . ." As for his own politics, Coolidge added, "I am always tempted, myself, to join in some such type of protest but have felt that, when the time came, my influence would be greater if I had not committed myself that way."

Coolidge's letter triggered a fury in Woodruff that had rarely been seen before. Emotionally, he reacted as if some wild-eyed nineteenth-century abolitionist had appeared from a time machine and accused him of slave-holding. "I wouldn't want to go into the matter of who profited the most from the practice of hauling Negroes from Africa and selling them to Southern planters," Woodruff fumed, dictating a response to Coolidge. "My impression is that money received from this business formed the basis of several New England, especially Massachusetts, family fortunes. . . ."

Before putting his answer in the mail, Woodruff stopped to review his activities of the past several years. Perhaps he could have done more, he reflected, but certainly he had no apologies to make to a liberal egghead from Boston, especially one who declared with such rectitude that he was denying himself the experience of public involvement in the civil rights struggle. Woodruff hadn't had that luxury.

In 1960, Governor Ernest Vandiver had faced a serious problem. Elected two years earlier on the slogan "No, not one"—meaning not one black child would be allowed to integrate Georgia's public schools—Vandiver found himself under federal court order to desegregate Atlanta's city schools and the state's other public schools and colleges or see them closed. He was looking desperately for a nimble way of breaking his promise when his executive secretary, Griffin Bell, then a young lawyer fresh from King & Spalding, came up with an inspiration. If the Georgia General Assembly created a blue-ribbon commission to hold hearings around the state on the question, Bell was confident the people would think carefully about the consequences and arrive at the conclusion that the schools must remain open, even if it meant integration. The perfect chairman would have to be found to lead the group, and Bell suggested one of his mentors, John Sibley.

Sibley undertook the job with Woodruff's complete support. There was no question of persuading white Georgians that sending their children to school with blacks was a good idea. The only goal was to keep the governor from being arrested and the schools from being padlocked. "Regardless of whether or not we like it or don't like it," Sibley said on WSB radio, accepting his appointment, "we are all bound by it"—the authority of the federal courts.

With no police guard, not even a sergeant-at-arms, Sibley worried that he and his fellow commissioners might end up the victims of a riot, but he pressed ahead and scheduled hearings in all ten of Georgia's congressional districts, allowing everyone to let off steam. John Greer, a liberal state legislator from Atlanta who served on the commission, recalled a rural colleague rushing up to him during one of the hearings: "And he demanded, 'What's all these niggers doing in here?' I said, 'They came to talk, Senator.' And he said, 'Well, that ain't the way I understood it. I thought we were just going around the state and let the whites talk it over, decide what we'd do and then we'd tell the niggers about it.'"

But he understood wrong. The commission worked exactly as Sibley anticipated. After hearing from more than 1,600 witnesses, black and white, its members voted to obey the federal authorities and keep the schools open, a decision the public grudgingly supported.

A few months later, Mayor Hartsfield put out a call to Sibley, Woodruff, and others in the business leadership, asking their help in resolving the most serious showdown yet between the races, over the desegregation of the city's lunch counters. In October 1960, Martin Luther King, Jr., who had largely bypassed Atlanta in his crusades up to then (and who praised his home town for having "a power structure willing to engage in dialogue"), joined a group of students from the Atlanta University Center and staged a sit-in at the Magnolia Room, the popular restaurant on the sixth floor of Rich's downtown department store. Fearful of a backlash from the Klan if he failed to act, proprietor Richard Rich personally had King and the others arrested for trespass.

The ensuing escalation of tensions became a well-known chapter in the civil rights movement, as a segregationist judge in nearby DeKalb County sent King to the maximum security state prison at Reidsville on an old traffic citation, and John and Robert Kennedy intervened to help gain King's release. Hartsfield was left with the delicate task of brokering a long-term solution between the black community and the city's white merchants. King was free, but the students arrested with him had refused bail and were still in jail. "John," the mayor wrote Sibley, with a carbon to Woodruff, "the top twenty-five people of this community—the men, not the boys—have just simply got to cancel a few out-of-town engagements, get together and help me decide what to do."

Like aging Mafia dons, Sibley and Woodruff had been looking around for some time for younger men they could groom to run the city in the next generation. As a test, they gave the assignment of resolving the sit-in impasse to Ivan Allen, Jr., a patrician businessman who ran Atlanta's biggest office supply company and was serving as president of the Chamber of Commerce. Allen opened the negotiations by inviting two lawyers, Bob Troutman, who represented Rich's, and A. T. Walden, a venerable black leader known as "the Judge," to meet with him in his office.

A small but decisive moment occurred during one of the first sessions when Walden asked to use the bathroom. Allen realized with immediate embarrassment that the facilities in his own business were segregated. He could not send Walden into a whites-only toilet without risking an incident with one of his employees. "All hell would have broken loose," he said later. Yet neither did he dare ask Walden to use the poorly maintained black employees' washroom in the basement. Instead, giving an early display of his knack for artful compromise, Allen showed Walden into his own private bathroom.

Over the next few weeks, Allen helped arbitrate a written agreement in which the executives of two dozen of the city's leading businesses agreed to full desegregation of their facilities, including the lunch counters, and the leaders of the black community responded by calling off their boycott. It was not nearly as easy as it sounded. The agreement included a delay of several months in implementation that offended many in the black community, and opposition began growing as soon as the terms were announced. The danger that the truce might unravel came to a dramatic head one night at the Wheat Street Baptist Church, when an angry crowd threatened to spill out the doors and take its protest to the streets.

Dr. King walked in as his father and other older leaders were being jeered. Commanding silence by his mere presence, King told his listeners they had "a contract with the white man, the first written contract we've ever had with him. . .after waiting one hundred years and having nothing to show until now." If anyone broke that contract, he warned, it would not be black people. The deal held.

Other changes followed at an accelerating pace. Hartsfield was ambivalent about seeking another term in the 1961 mayor's race. At seventy-two, he was divorcing his wife of nearly fifty years to marry a younger woman, a step likely to provoke scandal and cost votes. He feared the embarrassment of losing, and he was worn out by the draining political fights of recent years. He stepped aside in favor of Allen, who campaigned on a platform of continuing the seamless relationship between City Hall and the business community.

If anything, Allen proved even more reliant on Woodruff's support than Hartsfield had been. Running with thousands of dollars in contributions from Woodruff and his circle, Allen defeated the arch segregationist Lester Maddox in a runoff in the fall election, winning the city's wealthiest white precincts and taking the black, vote 21,611 to 237.

One spring afternoon a few months after he took office, Allen was relaxing on his front porch at home with his wife, Louise, when a big sedan eased up the driveway.

Emerging from the passenger side, Woodruff joined the Aliens for a drink, made small talk for a few minutes, and then pulled an envelope out of his coat pocket In it was an offer of $4 million to help the city build a public garden and arts center at Piedmont Park.

Woodruff had ambitious plans for Atlanta. For years, he'd been showering Emory University with largesse, underwriting its expenses and expanding its facilities until the medical school and hospital gained national renown. Once, in the 1950s, when the Ford Foundation named him to an advisory board to help dispose of $90 million in grants to medical schools, Woodruff urged that the money be distributed to as many schools as possible. "But don't worry about Emory," he added. "I can take care of Emory myself."

Now he wanted to transform Piedmont Park, the city's central green space, into a cultural mecca. Woodruff hired a full-time philanthropic consultant, a retired educator named Philip Weltner, who drew up the blueprint for a complex that included a theater, symphony hall, and museum, to be centered around a giant fountain in the midst of formal gardens, playgrounds, and restaurants. Weltner envisioned his design as an "outdoor living room" for Atlanta as well as a national tourist attraction, and he christened it with the suitably grand title of "Bois d'Atlante." A second phase called for a funicular, crystal palace, planetarium, and library for the fine arts. Woodruff offered to put up $4 million, anonymously, if the city would include $2 million for the center in an upcoming bond referendum. Mayor Allen quickly agreed.

Atlanta had reached an important turning point. The population of the metropolitan area hit the million mark, the airport became a vital transportation hub, and the rest of the country began to regard the city as the capital of the Deep South. In a perceptive cover story in *Holiday* magazine, writer Frances Gray Patton said Atlanta wanted

> progress and gracious living, big industries and a system of super highways—and it wants to keep its trees. You feel, as you sometimes do when you watch a young boy blossom with strong and contradictory impulses, that for this city any moment could be the crucial one. An idea that captures the civic imagination, a principle embraced or rejected, an act of wisdom or a silly blunder might make all the difference.

The voters rejected the bond issue. To Woodruff's utter shock, they turned down the park plan, along with improvements in the schools, streets, and sewers. It was, he confided to a friend, "quite difficult for me to understand." Yet the explanation was not so elusive. Black voters had reviewed the list of civic projects and concluded that it mostly benefited whites, while whites had seen the Bois d'Atlante as a fancified conspiracy to integrate Piedmont Park.

Nothing involving race could ever be taken for granted in Atlanta. The levels of distrust were too high. The mayor blamed himself for failing to campaign heavily enough for the bond issue, and Weltner bemoaned "the grave danger. . .of finding our town drift into the hands of ill-tempered race mongers and blackguards." To both of them, Woodruff counseled patience. They would try again, when tempers had cooled off.

Crucial moments seemed to arrive almost every day in 1962. In *Baker* v. *Carr*, the Supreme Court affirmed the notion of "one man, one vote" and swept away the system that gave residents of tiny rural counties in Georgia more clout at the polls than people in Atlanta, Columbus, and the state's other big cities. With urban voters newly empowered, Woodruff and his friends saw a chance to elect a moderate as governor and threw their support behind Carl Sanders, a state senator from Augusta. Sanders became a fixture in Woodruff's suite, using Plum Street as a field office where he could raise money and organize his campaign. "I'd come to work, say eight o'clock in the morning, sometimes sooner," Joe Jones recalled, "and Sanders would be sitting there, out in the lobby on the telephone, calling up people asking them for their vote, their support." Sanders came by so regularly he was finally given his own key to Woodruff's private elevator.

Backed by Woodruff and the Atlanta business community, Sanders defeated Marvin Griffin, who was making a comeback try with the backing of the Klan, and put an end to the string of staunch segregationists in the governor's office. A change in the boundaries of Atlanta's congressional district gave Woodruff an opportunity to defeat another ardent segregationist, and he helped recruit Philip Weltner's son, Charles, a thirty-four-year-old liberal lawyer, to run for the seat. When young Weltner won, Woodruff could count the governor of Georgia, the mayor of Atlanta, and the local congressman as progressives who owed their jobs and political allegiance in large part directly to him.

A final moment of truth occurred just after the election. Just as an ornate and oversized hotel, the Kimball House, had symbolized Atlanta's aspirations a century before, the city's new landmark was the Commerce Club, a private facility for members of the Chamber of Commerce built atop a six-story parking garage. The board of the Commerce Club represented the governing elite of Atlanta, its oligarchy of businessmen, all of them white.

For years, the Chamber had entertained the members of the Atlanta delegation to the Georgia General Assembly at a dinner before the annual session of the legislature. In the aftermath of the 1962 elections, as he looked over the invitation list, Mayor Allen realized he had a problem. The city had just elected its first black state senator since Reconstruction, Leroy Johnson, and the club's rules flatly forbade black guests.

Convening a meeting of the board, which included Woodruff, Allen stood and described the dilemma, then made a motion to change the rules and allow blacks to attend events at the club as guests. In the complete silence that followed, Allen failed to gain a second for his motion. "I just stood there," he recalled years later. "Not a word was said." Then Woodruff leaned over and said in a loud whisper, "Ivan, you're absolutely right." The motion was seconded and carried unanimously.

There were, of course, limits to what Woodruff hoped to accomplish. He could do nothing, for instance, to lift the heavy hand of racial oppression in Baker County, which surrounded his plantation and earned the nickname "Bad Baker" among civil rights proponents. The chief election official there once refused to let a black teacher register to vote, warning her—in front of a *New York Times* reporter—that she would be fired if she tried. The U.S. Office of Education issued a report that said integrating Baker County's schools was the "hardest nut in Georgia to crack," as only seven black children had been admitted by the mid-1960s. The sheriff, L. Warren "Gator" Johnson, routinely terrorized blacks throughout the county, including Ichauway.

Woodruff's overseer, Guy Touchtone, was part of the problem. A heavy drinker, Touchtone began abusing Ichauway's black tenants, forcing his attentions on some of the women who lived on the plantation, and inviting Sheriff Johnson on the property to help him enforce his authority when there was trouble. Eventually the blacks complained directly to Woodruff that the situation was "intolerable," and he responded by pensioning Touchtone off.

It was clear to Woodruff that other parts of Georgia were not ready to move as fast as Atlanta. In 1963, President Kennedy called Mayor Allen at his City Hall office and asked him to come to Washington to testify in favor of the public-accommodations bill that was meant to end segregation in the South's hotels and restaurants. Allen, anxious to go but believing it might cost him his political career, turned to Woodruff for advice. "I know it's going to be a very unpopular thing to do," Woodruff said. "But you've made up your mind and you're probably right about it, and I think you should go." At Woodruff's suggestion, Allen recommended a delay in imposing the law in small towns, but even so he was the only elected official in the South to speak publicly in support of the act.

The ensuing criticism of Allen was withering, and some of Woodruff's friends questioned his judgment, if not his sanity, for encouraging the mayor to testify. They also warned him to muzzle his friend Ralph McGill, whose columns in the *Atlanta Constitution* endorsed Allen's position and advocated racial progress. Woodruff, who had steadied McGill for years with a standing job offer at Coca-Cola if the newspaper fired him, fended off the hard-liners. "You'd better keep yourself flexible," he told them. "Things are not going to be like they were."

Coolidge's letter chiding Woodruff about his racial attitudes arrived not long afterward. As he refined his response, Woodruff gradually calmed down. He set aside the draft with its bitter recriminations about the origins of slavery and tried a softer rebuke. "I am sorry," he said, "that you do not seem to have a better understanding of the subject we were discussing." At length he abandoned even that mild answer, and instead sent Coolidge a simple acknowledgment that he'd received his letter, adding, "Thanks so much for sending it along."

When Martin Luther King, Jr., won the Nobel Peace Prize in the fall of 1964, two of Atlanta's white religious leaders, Rabbi Jacob Rothschild and Archbishop Paul Hallinan, arranged a celebration dinner at the Dinkler Plaza Hotel and invited the cream of the city's business leadership to attend. No one accepted.

At the time the invitations went out, Woodruff was at Ichauway recovering from a harrowing riding accident in which his horse had stumbled, thrown him, and then fallen on top of him. At seventy-five, he counted himself lucky to have escaped serious injury with only cuts and bruises. During his recuperation, one of his visitors was Allen, who told him about the dinner and expressed concern that the city would be humiliated if the white community boycotted it Woodruff agreed. He asked Allen and the new president of Coca-Cola, Paul Austin, to return to Atlanta and convene a meeting to rally the troops.

As was the custom in those days, the businessmen held their gathering at the exclusive, all-white Piedmont Driving Club, entirely oblivious to the irony of the circumstances. Austin, the heir apparent to Lee Talley as top executive at Coke, cut an impressive figure. A former Olympic rower, he stood six foot three and was still physically powerful in his forties. As a graduate of Harvard and Harvard Law, he was intellectually imposing as well. He told the assembly of two dozen bankers, lawyers, and businessmen in forceful terms that he wanted them to buy tickets and support the dinner. In case anyone missed the point, he added that he was speaking on Woodruff's authority.

Listening to the grumbles of reluctant assent that greeted Austin's remarks, Allen sensed that not even the weight of the Coca-Cola Company was going to be enough to guarantee a successful turnout at the dinner. Most of the men would buy tickets, he figured, but they would make excuses and send underlings to the Dinkler Plaza ballroom on the night of the event. There would be a scattering of white faces at the tables, but the absence of the elite would be an obvious affront to Dr. King. "Most of y'all will be out of town or sick," Allen predicted, his voice rising in accusation. "But don't you worry. Your mayor will be there."

What happened next was a chain reaction worthy of Rube Goldberg. One of the men at the meeting, a banker, responded angrily to the pressure and began making phone calls urging his colleagues not to buy tickets at all. Among the people he called was Lou Oliver, the head of Sears, Roebuck in the Southeast, a man of progressive sensibilities who was angered in turn by the banker's open racism. "Who does he think he's talking to?" Oliver spluttered, and he recounted the conversation to his secretary. She went out to dinner that night with her husband and another couple and repeated the story, and as it happened the other man was a stringer for the *New York Times*.

On December 29, 1964, the *Times* ran a story from Atlanta under the headline, "BANQUET TO HONOR DR. KING SETS OFF QUIET DISPUTE HERE." Now the dispute was no longer quiet. The article reported that an unnamed "leading banker" was making calls strongly objecting to the dinner and discouraging participation. By coincidence, the government of Haiti was negotiating a loan at the time with Atlanta's Citizens & Southern Bank, and a representative of President-for-Life François "Papa Doc" Duvalier called from Port-au-Prince in a huff demanding to know if Mills Lane, the head of C&S, was the banker in question. As Lane assured everyone who would listen, he was not the culprit. And to prove it, he bought a block of tickets to the dinner.

Within the next few days, the organizers sold out all 1,500 tickets to the dinner, and the occasion is remembered to this day as a high point of comity between the races in Atlanta. As more than a hundred top businessmen looked on, Dr. King accepted a crystal Steuben bowl inscribed with a dogwood blossom, the city's symbol, and gave a speech calling forth the goodwill of millions of Southern whites "whose voices are yet unheard, whose course is yet unclear, and whose courageous acts are yet unseen."

Several Coca-Cola officials attended, and though Woodruff did not, it seems fair to say he was there in spirit.

For those who believed in portents, Woodruff's horseback spill made a trenchant metaphor. Through the first half of the sixties, the Coca-Cola Company was riding high in the saddle, enjoying financial returns commensurate with its successes in politics and marketing. The common stock was split 3-for-l in 1960 and 2-for-l in 1965, as share prices rose handsomely. Annual sales neared the $1 billion mark.

A cycle of bad fortune seemed inevitable, and fittingly enough it began on April Fool's Day 1966. On that date a businessman named Moshe Bornstein called a press conference in Tel Aviv and accused the Coca-Cola Company of refusing to do business in Israel for fear of reprisals and loss of profits in the Arab world. A week later in New York, the Anti-Defamation League of B'nai B'rith released a statement backing up the charges, triggering headlines across the country.

Responding with a touch of panic, the company hurriedly put out a statement over Jim Farley's signature saying the allegations were "unfair and unfounded," and claiming the real reason it did not have a bottling plant in Israel was because the market was too small.

That was not true. As the tangled details of the story emerged, the company was caught in a lie, with predictable, damaging results. In 1949, Coca-Cola had tried to open a bottling plant in Israel, and the government there had blocked the franchise, citing the same foreign exchange worries that affected many other countries in the postwar era. Once the refusal was part of the record, however, the company treated it as a convenient excuse to avoid doing business in Israel, just as its critics charged.

In 1961, a misunderstanding occurred that threatened to stir up a hornet's nest of religious animosities. A civil servant in Cairo named Mohammad Abu Shadi ordered a Coke and was served a bottle manufactured in Ethiopia. Mistaking the Amharic lettering on the label for Hebrew, Shadi publicly accused the company of doing business with Israel. Hoping to douse the ensuing furor and fend off the threat of an Arab League boycott, the manager of Coca-Cola's Egyptian bottling operations assured the press that the company would never allow the Israelis to have a franchise. It was then, in denying their bottler's impolitic statement, that company officials first invented the rationale that Israel was too small a market for a franchise—blithely ignoring the fact that nearby Cyprus, with only a tenth of Israel's population and a lower standard of living, supported a bottling plant quite nicely.

Meanwhile, Moshe Bornstein, the Israeli businessman, was hard at work selling his countrymen a beverage he called Tempo-Cola. His trademark, which used the same Spencerian script as Coca-Cola's, drew the attention of the company's lawyers, who elected to file suit claiming infringement. They won, but it was truly a Pyrrhic victory. Bornstein was understandably angry. The Coca-Cola Company had no interest in a franchise of its own in Israel, yet it was happy to take him to court and saddle him with the trouble and expense of changing the lettering on his bottles. Hoping to get even, he traveled to New York, engaged a lawyer with ties to the Anti-Defamation League, and ventured to the Coca-Cola Export office to demand a bottling franchise. When he was turned down, he returned to Tel Aviv and held his press conference.

The exposure of Coca-Cola's checkered history in Israel was deeply embarrassing to the company. The administrators of Mount Sinai Hospital in Manhattan announced they would stop serving Coke, and the owners of Nathan's Famous Hot Dog Emporium on Coney Island threatened to follow suit—just the sort of angry gestures the company dreaded. Leaders of the Jewish community in Atlanta called on Woodruff and Fillmore Eisenberg, a vice president who was the company's highest-ranking Jewish officer, pressing for explanations.

Within days, after a flurry of high-level meetings in Atlanta and New York, the company announced it was negotiating a bottling franchise in Tel Aviv with Abraham Feinberg, a prominent Manhattan banker and president of the Israel Development Corporation. Working at damage control as furiously as if they were dancing the hora, company officials enlisted an outside public relations agency, Ruder & Finn, for advice about how to "counteract any lingering ill effects on the American Jewish community." An immediate recommendation was the release of photographs of Jim Farley meeting with Feinberg and Georgia-born Morris Abram, the president of the American Jewish Committee. Over the long term, Ruder & Finn proposed in a confidential memo, Coca-Cola should underwrite a pamphlet on ecumenism, open accounts at Israeli-owned banks, and provide free soft drinks at American colleges with high Jewish enrollments.

If the strategy smacked a bit of pandering, it nonetheless signaled the company's desperation to avoid accusations of anti-Semitism. One of Coca-Cola's publicists warned privately that the key was to "minimize the impression that we have either reversed our policy or have knuckled under." But of course that was exactly the impression the company gave (since it was exactly what the company *did*), and the Arab League struck back with swift retribution by moving to place Coca-Cola on its boycott list. The price of peace with Israel and American Jews, it seemed, would be economic war with the Arab states.

The focus shifted quickly to efforts to escape the boycott. Lee Talley directed the preparation of an official “presentation” designed to impress Egyptian President Gamal Abdel Nasser with the benefits Coca-Cola was providing his country. Alex Makinsky, the company’s manicured diplomat, was brought out of retirement and dispatched from Paris to work his charms in Cairo. But he failed miserably. The fact was, Makinsky reported back, Coca-Cola did not generate much economic activity in Egypt. Even though sales were robust, the company’s profits were small because of a pricing squeeze, and most of the revenues were returned to the United States. The Egyptians considered Coca-Cola a symbol of America, Makinsky said, and it was one they could afford to make a target for retaliation.

Turning to the Johnson administration for a favor, Ben Oehlert persuaded the president to aid the company’s effort to escape punishment. Oehlert held a luncheon in Washington for Mustafa Kamel, the ambassador from the United Arab Republic, and invoked Johnson’s name in urging at least a postponement in imposing the boycott. Later Oehlert showed Kamel the three bound volumes of news clippings from the French affair of 1950, warning him of the “outcry” the Arab League risked in attacking Coca-Cola. Kamel expressed a desire “to be helpful to our problem,” Oehlert reported, but was able to arrange only a temporary delay.

By fall, with the deadline approaching for the league to begin its boycott, a sense of futility took over at Plum Street. Not even the intervention of the White House could stall the matter for long, it appeared, and company officials sat back and awaited the loss of their Arab markets. One day in October, an unsolicited letter arrived addressed simply to “The president, Coca-Cola.” It came from one David Heaton, sales manager of Heavyweight Champion Brands, Incorporated, suggesting that Coca-Cola might alleviate some of its troubles in the Middle East by marketing a fruit drink embossed with the likeness of boxer Muhammad Ali. Paul Austin, who received the letter, sent it along to two of his marketing executives.

“This is one of those things that is so ridiculous it almost makes sense,” Austin said in an accompanying memo. “Hopefully, you will find that it is, in fact, ridiculous. Or is it?”

It was. Yet as many of his colleagues at Plum Street were beginning to notice, J. Paul Austin had a very unorthodox way of looking at things. He explained once to a writer from *Forbes* magazine that he liked to “pull all the legs off the centipede and see what he’s really like,” which was another way—an unusual way—of saying he kept an open mind.

Austin grew up in LaGrange, Georgia, and went to work for Coca-Cola in 1948 on the recommendation of his father’s boss, textile manufacturer Cason Callaway. Callaway was a good friend of Woodruff’s, and his sponsorship earned Austin, a thirty-three-year-old lawyer at the time, a place on the fast track for advancement. After the requisite brief apprenticeship loading cases of Coca-Cola on trucks (and outperforming the younger men working beside him), Austin was assigned to the company's Chicago office negotiating bottler franchises.

His colleagues could tell he was marked for a quick rise through the ranks. George Lawson, who later served the company as general counsel, started work in Chicago on the same day Austin did and noticed that their superiors "were sort of circling lightly around Paul," as if anticipating he might be the boss one day. As another associate put it, Austin "came in as more or less a member of the family."

For his own part, Austin sensed that Woodruff was testing him for bigger things. Woodruff paid a rare visit to a bottlers' convention in Chicago not long after Austin's arrival there and made a point of introducing him to the men. The theme of the gathering was the Old South, and without any warning Woodruff surprised Austin by asking him to get up and give a talk on Negro spirituals. As it happened, Austin had studied the subject—it was his senior thesis at Harvard, in fact—and he was able to speak comfortably and knowledgeably for nearly forty-five minutes without notes, leaving the bottlers suitably impressed. Later he told his family he had no idea if Woodruff knew ahead of time about his expertise in the matter.*

Before leaving Chicago, Austin married Jeane Weed, a secretary in the Coca-Cola office. They made a striking couple—she was pretty enough to be a model, and he was handsome, with a resemblance to the actor Robert Preston. Their next stop was New York, where Austin worked in the Coca-Cola Export office. In 1954 he was assigned to South Africa, where he impressed the home office by turning a dismal market into one of Export's sales leaders. By 1958, when Lee Talley took the presidency of Coca-Cola, Austin was the consensus choice to replace him as the head of Export.

The testing continued. Woodruff and Talley liked to sit in the back of the company plane after flights home, sipping martinis in the twilight and talking about company business. It was quiet and secluded out on the tarmac, far from ringing telephones and eavesdropping ears. In 1961, they decided to make Austin the executive vice president of Coca-Cola—Talley's understudy, in effect—with a wide range of new responsibilities that included Tab, the World's Fair, syrup pricing, and advertising.

It also fell to Austin to decide whether to cooperate with the producers of the movie *One, Two, Three*, a sharp-edged comedy starring Jimmy Cag-

* Austin never learned just how closely Woodruff was watching him. Before putting him on the payroll, Woodruff hired a private investigator who compiled a confidential report on Austin's background, disclosing among other things that he had a C-plus average at Harvard, that he voted Republican, and that he was well liked and highly regarded. Woodruff knew perfectly well that Austin was a whiz on spirituals. He was giving him a chance to shine, seeing if he would take it.

ney as an ambitious Coca-Cola manager in West Germany. Oddly enough, the movie worried Austin more than the other projects. He gave the go-ahead, but as the completion date approached he grew nervous. As with all matters affecting the company's image, the film was of intense concern to Woodruff. Austin sat next to him during a private screening in Atlanta a few days before the general release in theaters, fretting that he'd made a mistake. He was greatly relieved to see a broad smile on Woodruff's face when the lights came up, and later he told a friend it was the moment he believed he finally had it made.

Six months afterward, on May 8, 1962, Austin was named president of the Coca-Cola Company. His rise to the top was so fast and smooth it naturally aroused the resentment of men who had been with the company longer. Ben Oehlert, bitter over the loss of his own chance to be president, told people he thought Austin must be Woodruff's bastard son. Others were not so inventive or wicked, but Austin rekindled the same misgivings that had greeted so many of Woodruff's impetuous choices over the years—all of those comets, like Bill Hobbs, who'd burned so brightly, only to flare out.

This time around, Woodruff seemed to understand the wisdom of breaking in the new president slowly. Talley continued to serve as chief executive officer, exercising final authority over Austin and acting as a buffer between him and Woodruff. It proved to be a useful arrangement, because Austin brought an idiosyncratic style to the job that caught people by surprise. After gaining permission to pump an extra $1.5 million into the advertising budget in the summer of 1962, for instance, Austin grandly announced "Operation Flood" and gave a speech to the bottlers explaining, "There is a tide in the affairs of men, which, taken at the flood, leads on to fortune. . . ." Even by the hortatory standards of Talley and Harrison Jones, quoting Shakespeare to the bottlers was considered a bit much, especially over a relatively paltry sum of money.

Austin's intellectualism caused chafing at Plum Street, as did his aptitude and appetite for publicity. Unlike Woodruff, Austin cultivated financial writers and granted interviews; he posed for the cover of *Business Week*. He dispensed his erudition freely, explaining to reporters that management was a "pseudo-science" in which executives could improve themselves by pursuing advanced courses, preferably at Harvard. Woodruff found he had to keep Austin on a tight tether and remind him occasionally who was boss. When the S&H Stamp Company invited Austin to serve on its board, he asked Woodruff and Talley for routine permission, and they brought him up short by saying no.

For the time being, Woodruff decided to keep Talley in place as CEO, holding the younger, more energetic Austin in check. Talley's younger brother, John, was promoted to head of Export, sandwiching Austin and trimming his authority over the company's field managers. Most frustrating to Austin, his ideas for change ran into resistance. Dissatisfied with selling only beverages, he wanted to expand into the food business, and when he got a feeler from Atlanta-based Frito-Lay, the snack company, he pushed hard for a merger. Woodruff and Talley turned him down, a decision that became all the more exasperating when Don Kendall struck again and acquired Frito-Lay for Pepsi. PepsiCo, as the combined business was known, proved to be an immediate success, and Austin made sure the business press in New York found out he was not the one who had dropped the ball.

For the first time since he'd taken the reins of the company forty years earlier, Woodruff found his absolute authority over Coca-Cola's affairs under challenge. Austin turned out to be a tireless, guileful infighter, as adept at office politics as he was ambitious. He kept constant pressure on Talley, who finally began to show the signs of wear and tear. In 1966, when he turned sixty-five, Talley told Woodruff he wanted to retire as CEO and "take a seat on the bench." Nothing Woodruff said could persuade him to change his mind. Talley's wife, Marge, had never liked the round-the-clock demands Woodruff put on her husband. She wanted him to spend his remaining years in peace, sailing the yacht they kept on Chesapeake Bay, and he was ready to go.

Talley was the last of the Coca-Cola executives who could serve both Woodruff and the company with equal, undivided loyalty. Without a trace of embarrassment, he wrote a farewell letter calling Woodruff a "genius" and likening him to Jesus Christ for his "power to draw all men unto you." Woodruff returned the sentiment, presenting Talley with a crystal stone that encased a golden sword. Like King Arthur, Woodruff said, Talley had been the only president in the company's long history able to pull Excalibur from the rock.

Austin's vantage point was entirely different. He paid the appropriate courtesies to Woodruff, but as he looked around the company he saw serious, chronic problems that demanded fixing, many of them Woodruff's fault. The business suffered from the inevitable cronyism that crept in whenever one man ruled an institution for so many years, Austin believed. He saw the Talleys as part of a vein of nepotism that ran through the management, thwarting the careers of abler men.

As he neared his goal of becoming CEO, Austin made a conscious decision that he could no longer afford to be friendly with his colleagues. Knowing he had stables to clean out, he adopted an unsmiling demeanor and began keeping his distance, almost to the point of rudeness. The act was so effective that a reporter described him in a profile as a "gaunt, grim" man, when in truth he was quite upbeat and flamboyant by nature.

Not surprisingly, Woodruff's ardor toward Austin cooled. "You can always tell a Harvard man," Woodruff began needling him, quoting an old saw, "but you can't tell him much." Austin's ego became the topic of pointed jokes among Woodruff's inner circle. One night over drinks in his cabin at Augusta National, Woodruff unloaded on Austin at length, pounding home the point that business leaders ought to display a sense of humility.

Afterward, a friend said, "Paul came back. . .with smoke coming out of both ears."

Yet Woodruff still admired the younger man's abilities, and the fact was that no one else had been groomed to take Talley's place. Had he wished, Woodruff could have blocked Austin's promotion to CEO, but he did not. Other members of the board believed the company needed the kind of fresh blood Austin represented, and Woodruff conceded they might be right.

When the board elevated Austin to his new post, the *Wall Street Journal* reported the news under the headline, "AUSTIN, MAN BEHIND COCA-COLA CO.'S 'ROUGH' COMPETITIVE HUSTLE, NAMED CHIEF OFFICER." The coverage disturbed Woodruff, who was unaccustomed to public assessments of the company's personnel and corporate personality. The *Journal's* story quoted an unnamed, veteran board member who "gleefully" described Austin as a "son-of-a-gun," another breach of protocol that ruffled Woodruff's feathers. Hoping to reassure Woodruff, Hughes Spalding suggested that the article, while "a little out of character for us," might well have a positive impact.

Instead, Woodruff's qualms continued to multiply. One of Austin's first acts as CEO was to circulate the draft of a letter informing Morton Downey that his contract would be dropped when it expired at the end of 1966. Appalled, Woodruff summoned Austin to his office. "You have to talk to him about this first," Woodruff insisted. If it made good business sense, Woodruff said, Austin was free to terminate Downey's long association with Coca-Cola. But doing so by mail was heartless. These things had to be handled with grace, Woodruff said, not just for Downey's sake but for the reputation of the company.

Austin shrugged. In his view, Downey typified the company's difficulties. He was on the payroll solely because he was one of Woodruff's old chums. Politely or otherwise, Austin believed, these people had to be dismissed.

More than a matter of temperament, the root of the friction between Austin and Woodruff was a fundamental rift over the question of ownership. Austin saw the Coca-Cola Company as a publicly held corporation, answerable to its thousands of shareholders and subject to the scrutiny of Wall Street. The books were full of unusual arrangements—a pension for the widow of one of Woodruff's outside advisers, for instance—that could not pass muster under the rules of modern business practice.

Woodruff's view, the polar opposite, was that he owned Coca-Cola himself. An instructive moment came in 1964, during the transition in management, when an opportunity arose to liquidate Coca-Cola International, the old holding company that still owned 23 percent of the outstanding shares of Coca-Cola common stock. Woodruff declined to do so. He had a memo prepared explaining that "the reasons which dictated the creation of International forty-two years ago are just as valid today"—a roundabout way of saying he still shared his father's desire for one-man working control over the company's destiny.

Settling into an uncomfortable stalemate, Woodruff gave Austin day-to-day command of Coca-Cola's affairs, but at the same time he promoted Fill Eisenberg to chief financial officer and assigned him to look over Austin's shoulder and watch how he spent Coca-Cola's money. "Our cash is on budget," Austin protested in a memo to Woodruff. And Woodruff shot back, "I see that our cash is 'on budget' at the end of October. How about the end of the year?"

Given his unhappiness with Austin, Woodruff might have been expected to turn his back on Cason Callaway, the man who sponsored Austin in the first place. Instead, in an odd twist of events, Woodruff spent time, energy, and money in 1966 trying to get Callaway's son elected governor.

With the state constitution barring Carl Sanders from running for a second consecutive term, Woodruff settled on Howard "Bo" Callaway as an attractive successor. In 1964, Callaway had become the first Republican in modern times elected to Congress from Georgia, serving a district south of Columbus. He was good-looking, moderate on race, and pro-business, and as the governor's election approached Woodruff urged him to run. Woodruff also promised to raise $100,000 for him, and Callaway duly announced his candidacy. In theory his chances appeared excellent, since Barry Goldwater had carried Georgia for the GOP in 1964.

But it turned out there was a problem. Callaway was an utterly inept campaigner. The first sign of trouble came when he began telling people about the money. Woodruff's financial backing was supposed to be kept confidential, as even the greenest of Georgia politicians understood, yet Callaway was traveling around the state blabbing indiscreetly, saying Woodruff was supporting him and quoting figures. Ovid Davis, Coca-Cola's lobbyist, was sent to hush Callaway and help polish his stump style, a job that proved difficult. "Old Bo," Davis recalled ruefully, "was a hard-headed S.O.B."

Callaway's shortcomings did not seem terribly alarming at first. The leading Democratic candidate, Ellis Arnall, was a liberal ex-governor who had served in the 1940s and enjoyed a national reputation for enlightened views on race. He would not embarrass the state if he won. The dark horse, however, was Lester Maddox, who had gained his most recent notoriety for chasing black customers out of his Atlanta restaurant wielding a pick handle. In the Democratic primary, Maddox finished a surprising second (just ahead of a little-known state senator named Jimmy Carter), forcing Arnall into a runoff election to decide the nomination.

Events overtook the campaign. On the afternoon of September 6, 1966, a week before the voters returned to the polls, an Atlanta policeman shot and wounded an auto theft suspect during a chase through Summerhill, one of the city's most impoverished black neighborhoods. In an ensuing riot, 16 people were injured and 75 arrested. Thanks to white backlash, Maddox won the runoff easily and became the Democratic nominee for governor.

With Maddox in line for the Governor's Mansion, the outcome of the November general election took on a new urgency. Believing a victory for Callaway was imperative, Woodruff poured more of his resources into the campaign. A private meeting was arranged with some of Atlanta's black leaders so Callaway could make a pitch for their support. Ovid Davis helped coach him on what to say: "Work for me on election day, and I'll work for you for four years." But Callaway made a botch of it. As a couple dozen of Atlanta's most prominent black citizens filed into the room, he blurted, "Come on in, boys," a choice of phrase that was met with stony silence. Then he told them, "I want you to know, I'm going to treat you just like I treat everybody else." It was hardly an inspiring promise.

Davis's frustration with Callaway grew as election day neared. Callaway "is about as cocky as anybody I ever saw," Davis reported to Woodruff. "Bo feels like he has the election won going away." Try as he might, Davis could not convince Callaway that Maddox had a prayer of defeating him. "It got to the point," Carl Sanders remembered, "where Mr. Woodruff and John Sibley and some of them finally just threw up their hands in utter despair because they couldn't get Bo to comprehend. Hell, he had the race won. He should have won it in a walkaway."

Davis did what he could, spreading money here and there, planting a few unfriendly questions for the media to ask Maddox at forums, and trying to keep Mayor Allen and Maddox's other critics from excessive attacks that might backfire. But his efforts were not enough.

When the votes were counted, Callaway failed to gain an outright majority of the popular vote, as required by Georgia law. He finished first, but a write-in campaign for Arnall held Callaway below the 50 percent threshold needed for victory. The outcome of the election would have to be decided by the Georgia General Assembly, where the membership was overwhelmingly Democratic and almost certain to pick Maddox.

"The implications of our world-wide business and Maddox are, of course, absolutely incompatible," Davis wrote in a memo, summing up the thinking at Plum Street. The only hope was to persuade the courts to order another election. In that case, Davis noted, a renewed effort would be made to secure the black vote. "We have the apparatus to get them out," he told Woodruff, "and it has been financed."

But the courts left the matter in the hands of the legislature, whose leaders made it clear they would rather operate with Maddox as a weak, pliant governor than spend four years waging battle with a Republican. At length Davis concluded that further efforts to block Maddox would be futile. So far, he noted, the only whisper of the company's involvement had been a single newspaper report that said "progressive business interests" in Georgia were opposed to Maddox. Better to leave it that way.

Closing the books on a disastrous election, Davis looked ahead four years and recommended that Woodruff buy $100 worth of tickets to an appreciation dinner for Jimmy Carter. "I do not think this boy has a political future," Davis wrote, "but he might."

Then there was Vietnam.

When the escalation of the American military commitment in South Vietnam began in earnest in 1965, company officials had every reason to think Coca-Cola could "go to war" with the GIs as it had in the past. The army requisitioned 382,000 cartons of Coke in cans and established a standing refill order of 9,000 cartons every two weeks. With the availability of 17-day express shipping from San Francisco to the ports on the Vietnamese coast, getting the product to the war zone promised to be fairly easy, and the company hoped to start selling Fanta, Sprite, and Tab to the servicemen as well as Coke.

By the summer of 1966, though, as the buildup of American forces reached full velocity, the unique difficulty of waging war in Southeast Asia became apparent. Unlike World War II, ground won in battle in Vietnam did not remain secure under American control. Guerrilla attacks disrupted every facet of life.

The company's experience trying to provision the troops closely paralleled the frustrations of the military itself. Heavy fighting blocked the supply lines to several cities, holding up shipments of soft drinks and other refreshments. At Da Nang, the post exchange ran out of Coke and beer for two weeks, and the servicemen were complaining.

The company sent a field observer, David Brann, to investigate, and he reported a pattern of "feast or famine." Supplies were plentiful where the U.S. Army swept the highways and maintained the perimeters, he said, but sparse elsewhere. "An area [is] only secure as long as the troops are physically present," Brann explained to Plum Street. "Once they are moved to another area in their 'seek and destroy' operations, the Viet Congs [*sic*] return to cut the arterial roads and transportation comes to a virtual standstill."

His assessment might have served as a synopsis of the failure of the entire American military enterprise. Vietnam was a helicopter war, with no established front lines, only bases and villages that were American turf one day and Viet Cong the next.

Under the circumstances, there seemed little point in trying to associate Coca-Cola with the war effort, since support for it in the United States was just as evanescent. Company officials avoided the kind of publicity they'd encouraged during World War II, and they began looking forward to the day when, as Austin put it, "the Vietnam affair grinds to a halt."

Austin turned his energies to the war of commerce Coca-Cola was waging elsewhere around the globe with Pepsi. The competition between the two cola giants spread to every continent in the 1960s, with Pepsi emerging the victor more often than not.

In Venezuela, where the Coca-Cola bottler had grown especially lax, Don Kendall launched a sales campaign so effective the word "Pepsi" became a synonym for all carbonated soft drinks, including Coke. Trying to recoup, Coca-Cola Export organized a sampling program in Caracas and other major cities and gave youngsters free Cokes and school supplies. But much to their chagrin, the Coca-Cola field men discovered that no matter what they handed out, the children invariably responded, "Thank you for the Pepsi!"

Brazil and Uruguay were not much better, and there was one bleak point during the decade when none of the company's operations in South America made a *centavo* of profit. Before he retired, Lee Talley prepared a memo outlining the company's trouble spots. The "Imitator," as he insisted on calling Pepsi, was "gaining ground" not only in South America, but in Canada, France, England, and the Philippines. Pepsi's export sales quadrupled between 1959 and 1963, and kept rising.

The cola wars extended behind the Iron Curtain as well. At Austin's urging, the company got a quiet okay from the Johnson administration and took the first halting steps toward selling Coke in the Soviet Union. But the process of negotiating the logistics, including trademark protection, quality control, and the shipment of syrup through Brussels (with payment secured by letters of credit from a Belgian bank), threatened to drag on forever. Even then, sales would be limited to foreign visitors at Intourist stops. With Pepsi making inroads among the civilian populations in Yugoslavia and Rumania, it appeared Coca-Cola might fall behind in the Communist world as it had elsewhere.

Doing business overseas seemed to grow more complicated and treacherous with every passing year. In Greece, not long after a group of colonels seized power in a coup, news accounts disclosed that Coca-Cola's press agent in New York, Tom Deegan, had accepted a retainer of nearly $250,000 a year to represent the junta and tidy up its image. Although Austin moved swiftly to dismiss Deegan, the revelation inflicted severe injury on Coke's standing with the Greek public. When the colonels were overthrown, the new democratic government retaliated by imposing a special tax on the company's Athens bottler.

Deegan, meanwhile, went to work for Pepsi.

At home, Coca-Cola's office politics proved almost as byzantine, as Austin moved to consolidate his strength inside the executive suite. One of his gambits in particular became the stuff of legend.

Austin had reached the conclusion that Ben Oehlert ought to leave the company. The situation had been tolerable while Oehlert was stationed in Orlando, running Minute Maid. But after he returned to Atlanta as a senior vice president in 1965, Oehlert made a habit of second-guessing Austin's decisions on everything from lobbying to mergers to marketing, filing memos that poked holes in every project Austin undertook. Once a master of tact, Oehlert experienced a personality change and became, as one of his children put it, "too big for his britches." He held Austin in disdain and grew unguarded about showing how he felt.

Like a frontier town too small to accommodate a pair of gunslingers, Plum Street proved inadequate to contain the two men. Their clashing egos became a major concern within the company, until Austin found an adroit solution: He arranged to have President Johnson appoint Oehlert ambassador to Pakistan.

When Oehlert expressed reluctance about taking the remote posting, Woodruff stepped in personally and persuaded him to go, arguing that the job would be the perfect capstone to his career.*

Woodruff's intervention sent a clear message. In spite of his uneasiness, he had decided his new CEO deserved a chance to manage the company free from constant sniping. Austin took full advantage of the running room. While he had once been forced to seek permission for even the smallest decisions, he now behaved largely as he saw fit. He joined the board of General Electric as an outside director, and when he was named Man of the Year by the International Advertising Association, he told Woodruff he would be flying to West Berlin to accept. He didn't ask.

Forbes, long a source of lavish praise for Woodruff's guidance of the company, reported approvingly in a cover story in 1967 that he had retired for good. "When Robinson and Talley were president," the article said, "Woodruff still made all the final decisions. Now he stands aside and lets Austin make them. . . . Austin is boss." In fact, *Forbes* said, the top executives at Plum Street rarely mentioned Woodruff's name anymore.

The article infuriated Woodruff's old friend Dick Gresham, the minister. "I hate to see your great business acumen flouted by a showman," he wrote. But Woodruff held his tongue. Never one to seek publicity even in the rosiest of circumstances, Woodruff withdrew further behind the curtain that shielded him from the eyes of the public.

As the decade drew to a close, Woodruff suffered a draining series of personal losses that left Austin and many others convinced that his career, and perhaps his life, too, had reached a final stage.

As happens to all people who live into their late seventies, Woodruff watched many of his friends die or grow enfeebled. The worst sight was

* As it turned out, Oehlert liked Islamabad and deeply appreciated all of the trappings of high diplomatic office. In his later years, retired and living in Palm Beach, Florida, he had himself listed as "Ambassador Oehlert" in the phone book and drove around town in a secondhand Rolls-Royce with an American flag mounted on the front fender. But he never forgave Austin. If he could, he told his family, he would have killed the man.

Bobby Jones, the great athlete, once the master of a golf stroke so fluid it seemed a work of art, crippled by a bone spur that dug into his spinal column and left him in constant pain, paralyzed and confined to a wheelchair. Woodruff visited Jones's house most Sunday mornings and could see him wasting away.

More and more, Woodruff gave in to his "sense of futility," as Gresham called it, the dark mood that had gnawed at him all his life. He took more comfort than ever in liquor, so much so that his friends, fearing he might stumble and fall on the winding staircase in his house on Tuxedo Road, had an elevator installed to carry him up to his bedroom at night.

Woodruff's greatest concern, more worrisome to him than politics or business, was the proper disposition of his fortune. Determined to make the wisest use of his money, he came to detest pressure for donations from any source, no matter how worthy. "It always gives me pleasure to do something for somebody, without being asked," he explained once. "I don't like to be asked." His words were misinterpreted by some as evidence of quiet beneficence, when in fact he meant exactly what he said: He did not like to be asked.

Millions of dollars in grants from the Woodruff and Whitehead foundations flowed to Emory and the new Atlanta Arts Center and other causes, but at Woodruff's request the Atlanta newspapers agreed to report that a man known only as the Anonymous Donor was at work. One reason for Woodruff's secretiveness was a desire to protect his brother George, who had three daughters and several grandchildren and feared a kidnapping. More than security, though, Woodruff's goal was to shield himself from the distress of turning down supplicants. Every time his wealth was mentioned, he was swamped with requests for money. He did not like to be asked, because he did not like having to say no.*

Woodruff's demand for privacy took on outsized proportions. When a driver on the City Slicker bus tour, wheeling tourists past the mansions of Buckhead, pointed out Woodruff's house and described him as having "buckets of money" available for philanthropy, the remark was reported to the Coca-Cola Company and treated as a serious violation of civic decorum. The bus company instructed all its employees, in writing, that Woodruff's name was never to be uttered again.

One morning Woodruff opened his copy of the *Atlanta Constitution* and was surprised to see a story in the business section that detailed his holdings

* Woodruff's papers include scores of letters from people begging for money. Most of their stories are tales of horrific tragedy and genuine need—sick or injured children, impending evictions, pleas for scholarships and church contributions—while a few are marvels of ambition and unmitigated gall. One man sought financial backing for his invention, an upholstered wheelchair equipped with a fold-out cot, toilet, and lunch tray. Another wrote, "To get straight to the point of this letter, sir, I have this obsession to become a millionaire.

of Coca-Cola stock. The information came from a proxy statement—in effect a public document—but Woodruff was livid nonetheless. A day or two later, he ran into Jack Tarver, the publisher, waiting for an elevator at the Commerce Club. "Let me tell you something," Woodruff said, openly angry. "I will not have anything written about my wealth in the newspaper." He had moved the Coca-Cola Company out of Atlanta once before, Woodruff added pointedly, and he was prepared to do so again.

Lucille Huffman, Woodruff's longtime secretary, tried to coax him out of his doldrums. He had always been subject to bouts of unhappiness, she reminded him, but in the past he'd treated his low points as an incentive to gather strength and rally. Now, she said, he was giving in to depression. "It is a lonely reward to be placed on a pedestal," she wrote him in a personal note, "but there you are in the lives of so many people, many more than you will acknowledge, and so your right to live as you want to live becomes less and less at your disposal."

Before he could answer her challenge, Woodruff suffered the harshest blow of all. On the night of January 22, 1968, Nell Woodruff was watching television at Ichauway when she began to feel weak. She needed help from one of the servants to get out of her chair and into the bedroom. Moments later she suffered a massive cerebral hemorrhage. She died the next afternoon.

"I have lost my partner," Woodruff said, over and over. "I have lost the one I could count on to be on my side." Her death was shattering to Woodruff. He had been the dominant partner throughout their fifty-five-year marriage, yet in many ways he depended on her. "I tied myself to the tail of a kite," Nell often remarked, and the metaphor could be extended to say that she served to steady him in strong winds.

As with most powerful, magnetic men, Woodruff drew his share of female admirers over the years, but Nell found a clever, gentle way of disarming them: She drew them in as friends of her own, close enough to watch carefully. The Woodruffs' union, by all accounts, was a strong one. His life, she wrote in a birthday letter to him a month before she died, "is a constant inspiration to me. . . . God has been good to me and I am grateful. You have my love—all of it. Your 'little girl.'"

Other burdens fell on Woodruff's shoulders. On Thursday afternoon, April 4, 1968, he and Carl Sanders were visiting the White House, having a drink with Lyndon Johnson. It was a somber occasion, coming just five days after the president's announcement that he would not seek reelection. As they talked, an aide entered the Oval Office and handed Johnson a slip of paper saying Martin Luther King, Jr., had been shot. Later that night, after King died, Woodruff put a phone call through to Ivan Allen in Atlanta, offering to write a blank check to cover any extraordinary expenses the city incurred in connection with King's funeral.

Allen remembered Woodruff's exact words. "Ivan," he said, "the minute they bring King's body back tomorrow—between then and the time of the funeral—Atlanta, Georgia, is going to be the center of the universe. I want you to do whatever is right and necessary, and whatever the city can't pay for will be taken care of. Just do it right." Allen said later it was only in listening to Woodruff that he realized how many mourners—and members of the media—would be descending on the city. Five days later, as Governor Maddox cowered in his office at the Capitol with the blinds drawn, 200,000 people marched through the middle of downtown Atlanta without incident, following the mule wagon that carried King's body, crying and singing "We Shall Overcome."

In the months before and after his wife's death, Woodruff helped bury several friends and intimates: Eisenhower, Elliott Scarborough, Harrison Jones, Hughes Spalding, Ralph McGill, Gene Kelly, and Mattie Heard, the cook with the sweet voice from Ichauway. The grief seemed to overwhelm him. His drinking got seriously out of hand, and his surviving associates began to wonder about his will to live. He aged visibly from month to month, turning gray and looking like an old man for the first time.

One of Woodruff's contemporaries, Red Deupree, the retired chairman of Procter & Gamble and a former outside director of Coca-Cola, liked to tell the story of visiting his doctor for treatment of a case of rheumatism. The medicine he was given irritated his stomach, and he complained on his next trip to the office. "How long do I have to keep taking this stuff?" he asked.

"How old are you?" the doctor inquired.

"Eighty-four," Deupree replied.

"In that case," the doctor said, "not long."

Woodruff appropriated the story and started telling it himself. He laughed when he got to the punch line, but he seemed perfectly serious about the point. He didn't think he had long to go.

Eleven

"OCTOGENARIANS!"

There were several people who could share credit for Robert Woodruff's gradual recovery of spirit.

His new doctor, Garland Herndon, moved into a house next door in Atlanta and began stopping by for breakfast every morning, monitoring his health. At Herndon's insistence, Woodruff cut back steadily on his drinking and set himself toward a goal of quitting completely, an accomplishment Herndon promised would give him "comfort, health improvement, and pride in a feat few are able to accomplish."

Woodruff's old friends rallied to his side and worked tirelessly to cheer him up. Red Deupree swore he actually had Woodruff giggling one night at Ichauway as they sat up playing gin rummy and telling old stories.

And Martha Ellis, one of Nell's nieces, brought the spark of female companionship back into his life. Petite, pretty, and vivacious, Mrs. Ellis had been a favorite of Woodruff's for years. When she was widowed, a year after Nell died, she and Woodruff found themselves drawn together, seeking solace.

Theirs was not exactly an adolescent romance. Woodruff turned eighty in 1969, and she had her sixty-fifth birthday the next year. He found one of her most attractive attributes to be a clear, mellifluous speaking voice, which he could understand easily in spite of his increasing deafness. Yet neither was their relationship entirely geriatric. They liked to ride horseback over the endless trails at Ichauway, as she recalled, "checking the collards and onions, searching for turkey tracks, pausing at the Orange Hole and Alligator Bend to wonder if the creek is rising or falling." In the evenings, they sat by the fire in their robes and pajamas, comfortable with each other, talking in a philosophical vein.

She would write him notes occasionally, reflecting the affection that deepened between them. "Your good opinion of me is a great treasure," she told him after one visit "Your high regard means more to me than you know. . . . God be with you through your sometimes sleepless nights." He kept a photograph of her on his dresser, a picture from her younger years when she wore her hair long and had a flirtatious look in her eyes.

They talked of marriage, and though Mrs. Ellis demurred in the end (fearing an utter loss of independence if she moved into the big mansion on Tuxedo Road), she became his consort and unofficial hostess and steered him back on the social circuit.

For all the positive elements that helped rekindle Woodruff's will to live, however, it seemed the strongest of his motives was a dark determination to keep watch over Paul Austin and make sure he did not ruin the Coca-Cola Company. Woodruff went to his office every day, where he insisted on reviewing the major decisions that affected the business.

Austin proved to have undeniable talent in many of the disciplines necessary to run the company, chief among them an ability to foresee social trends. The environmental movement was especially worrisome to Austin, because he empathized with critics who charged that the company was, as he put it, "littering the landscape." With its mountains of non-returnable bottles, fleets of trucks, and acres of billboards, Austin believed Coca-Cola made an "ideal target" for protest. As the first Earth Day approached in the spring of 1970, he predicted trouble.

Unhappily for the company, Austin's skills did not always extend to finding solutions for the problems he diagnosed. His answer to Earth Day, for instance, was to deliver a speech with the prodigious title "Environmental Renewal or Oblivion. . .Quo Vadis?" to a glassy-eyed group of Southern bankers. He also moved to acquire Aqua-Chem, Incorporated, a water-purification company he thought could be billed as a subsidiary devoted to pollution treatment. The Aqua-Chem merger came with a hefty price tag of 1,754,000 shares of Coca-Cola common stock, an amount Woodruff and the board could hardly believe and approved only with the gravest misgivings.

One of Austin's brainstorms was the development of Saci, a high-protein drink made from cocoa and soy beans, which he hoped to begin marketing in the Third World as a diet supplement In the supercharged political atmosphere that prevailed at the time, the idea backfired. Appearing before Senator George McGovern's Select Committee on Nutrition and Human Needs, consumer advocate Ralph Nader accused the company of plotting to export a healthful drink to other countries while continuing to sell cola—a product with "absolutely no vitamins or proteins"—in the United States. When the company declined to provide a witness to testify at the hearings, Nader taunted, "Coca-Cola has a great many reasons for not appearing. If you ever get them to appear, you will see some of the most shocking deceptions and power plays in the history of this country."

When Austin delegated the responsibility for curing the company's ills, he got better results. He believed, for example, that the round, red Coca-Cola logo had grown overly familiar and needed a facelift. Launching "Operation Arden," named for the Elizabeth Arden line of cosmetics, he assigned a team from the firm of Margulies & Lippincott to come up with a new design. Their creation, a curving ribbon called the "dynamic wave," served in effect to underline the trademark and make it catch the eye again. The company's advertising agency, McCann-Erickson, revived an old, World War II-era slogan, "The Real Thing," and turned it into a hugely successful campaign.

Austin's greatest moment occurred when he ignored his own judgment and deferred to McCann on the concept for a new radio and TV commercial. Hoping to capitalize on the mood of the times, the agency gathered some two hundred youngsters of various nationalities on a hillside in Italy and had them lip-sync the words to a sweet, pacifistic tune, "I'd Like to Buy the World a Coke." When he listened to a recording of the song (which was actually performed by a British group, the New Seekers), Austin found the words and sentiments treacly and seriously considered killing the ad. But he relented, explaining, "That's why we have an advertising department."

Aired in 1971, the song became a sensation, so popular the public began calling radio stations and asking them to play it for free, just as they'd once clamored for Pepsi's "Twice as Much" jingle. The New Seekers and other groups recorded a fresh version, stripped of references to Coke, called "I'd Like to Teach the World to Sing," which eventually sold more than a million copies. Austin got a firsthand indication of the tune's impact a few months later at a White House dinner, when the Ray Coniff Singers performed it as the final number in a medley of their favorite songs. Aware that President Nixon was a Pepsi man, several guests winked and nodded at Austin, and one whispered, "How much did you pay for that?"

Reporting the episode to Woodruff later, Austin joked breezily that he was lucky not to have been marched out by a Marine guard. But it was one of few light exchanges between them. Woodruff was growing more and more concerned about Austin's stewardship of the company. Many of his innovations, notably the purchase of a shrimp farm in Mexico, struck Woodruff as eccentric at best and possibly as evidence that Austin had lost his senses. Instead of swallowing hard and approving Austin's plans, Woodruff and his allies on the board began turning thumbs down.

In a move that misled many outsiders, Austin assumed the title of chairman in addition to president and CEO, but he was deprived of the full power that typically went with those jobs, since Woodruff continued to control the votes of a majority of the directors. Austin kept waiting for Woodruff to resign from the board, or at least to give up his chairmanship of the powerful Finance Committee, neither of which Woodruff showed the slightest inclination of doing.

Early in 1972, Woodruff suffered a pair of strokes that weakened his right side, but he refused to let Dr. Herndon put him in the hospital. Determined to conceal the seriousness of his condition, Woodruff went to Ichauway to recuperate, and later he gave Dr. Herndon and Mrs. Ellis gifts of $1 million each for helping in his recovery. Though his right hand remained limp and he had difficulty walking, Woodruff stubbornly insisted on going back to work, where he had a document prepared asserting that his capacity to serve the company was undiminished.

Tensions reached a head in 1973 when Austin proposed an expensive, complicated land deal in partnership with D. K. Ludwig, the billionaire investor, and Japan's giant Mitsubishi Corporation. Austin wanted to create a joint venture and buy thousands of acres of farmland in Brazil to grow, sugar, citrus, and other agricultural products the company used in its soft drinks. He then planned to sell most of Minute Maid's groves in Florida to developers for a sizable profit.

Woodruff's response, in a word, was no. Without lingering over the details, Woodruff concluded that it was dangerous policy to rely on the political stability of the Brazilian government, and he had a general dislike for taking on partners. Mostly he thought Austin was in over his head, risking $20 million of the company's money on a piece of financial derring-do when he ought to be out selling more soda.

Austin pursued the debate face-to-face during a visit to Woodruff's house in Atlanta. This was a golden chance to raise profits by cutting the cost of ingredients, he said. The military junta in Brazil was "in the saddle," as he put it, and would stay there for at least the next ten years. Brazil was a "treasure house" of raw materials. Ludwig had connections in the right places, and he'd make an excellent partner. Austin reminded Woodruff of his own defiance of the board fifty years earlier in expanding the foreign end of the business. "I'm not in a position to help my directors in quite the same way," Austin added tartly, but he swore his idea was a good one. His parting comment—that he didn't plan to "strong-arm" Woodruff by taking their dispute to the full board—was a curious remark that managed to convey a tone of surrender and insubordination at the same time.

There was no dramatic breach when Woodruff reiterated his veto of the Brazilian project. Not a word of their disagreement was breathed in the financial press. Only a few people in the executive suite were even aware of it. But from that point on, in the language of divorce, the relationship between Woodruff and Austin was irretrievably broken.

Woodruff had been pushing Austin for several years to groom a successor, and now he stepped up the pressure. Coca-Cola had acquired Duncan Foods, a Houston-based coffee company, during the 1960s, in a deal many analysts considered a poor bargain. A joke made the rounds at Plum Street that the only genuinely valuable asset Duncan Foods brought to the table was Charles Duncan, Jr., the attractive young president and scion of the family. As it happened, life imitated humor: Duncan caught Woodruff's attention and became his newest protegé.

With Woodruff's backing, Duncan rose through the ranks of Coca-Cola Export, following the same career path as Austin, who was ten years his senior. In the summer of 1970, Duncan was promoted to executive vice president of Coca-Cola, and the *New York Times* proclaimed him the "rising star" of the company. Duncan moved into an office on the fourth floor at Plum Street and became a fixture at the daily luncheons in Woodruff's private dining room.

"I think that was the kiss of death," Joe Jones said, looking back. Seeing Duncan as a direct threat, Austin unleashed a plague of annoyances on him, some petty, some major, all designed to make his life unpleasant. Austin cut

Duncan out of the information loop, gave orders behind his back, undermined him with other executives, and generally engaged in the corporate equivalent of poking a sharpened stick in his cage.

Duncan's response to the pressure came as a disappointment to Woodruff. Thanks to his personal wealth, Duncan was close to Woodruff in ways Austin could never hope to be.* When Woodruff decided to sell his ranch in Wyoming, he turned to Duncan, asked him to buy it, and named a price. Duncan wrote a check the next day. But that same wealth turned out to be the cause of Duncan's undoing. He was simply too rich to put up with Austin's harassment. Duncan looked to Woodruff to protect him and smooth his way, and when that did not happen he resigned. He went back home to Texas in the spring of 1974, when Woodruff thought he should have stayed in Atlanta and kept scrapping.

For his own part, Austin came to view Woodruff as an obstructionist, a recalcitrant old man who demanded flattery and hand-holding, and whose whims held back progress. With his chief rival gone, Austin gained a little breathing room, yet as he looked at his board of directors he found himself captive to a group of men born in the nineteenth century. Woodruff, John Sibley, Jim Farley, and Abbott Turner, the son-in-law of W. C. Bradley, were all in their eighties. "Octogenarians!" Austin would mutter under his breath, wondering what Wall Street made of a soft drink company with youthful customers, youthful commercials, and a board that belonged in a museum display case. Austin began circulating occasional memos on the subject of a mandatory retirement age for board members, which Woodruff and the others ignored. Once, when Austin raised the subject directly and prodded him to resign, Woodruff replied curtly, "I can't do that."

On a trip to London around that time, Woodruff was greeted by the company's top European officer, Klaus Putter, and his family. Putter's little girl curtsied when she met Woodruff, as if she were being presented to a monarch. And that was pretty much how Austin saw it. Woodruff was a doddering old king who planned to cling to the crown until the day he died.

To replace Duncan, Austin turned to a sweet-natured, low-key veteran named J. Lucian Smith, a native Mississippian who'd been with the company since 1940. Luke Smith's first supervisor had joked that he was "too nice" to advance very far, and for years he had toiled in the middle ranks of management, running the New England bottling operations.

Eventually Smith rose to the presidency of the company's new domestic sales division, Coca-Cola USA, where it appeared he would finish his career. Austin considered him the ideal choice for the role of a caretaker president: He had no enemies, had never shown much ambition—and he

* After the merger with his family's company, Duncan held 220,825 shares of Coca-Cola common stock worth nearly $30 million and was given a seat on the board.

was fifty-five years old, just three years younger than Austin, unlikely to mount a campaign to unseat him as chairman and CEO.

Woodruff approved the promotion, and a measure of calm was restored to Plum Street, at least superficially. Throughout its long existence, the Coca-Cola Company had managed to present a cheerful, sunny face to the world no matter what mischief was erupting in the executive suite, and in 1974 it lifted that tradition to a new plateau. With the nation convulsed over Watergate and the slow disengagement of U.S. forces from the war in Vietnam, Coca-Cola unveiled a series of commercials called “Look Up, America,” designed to bolster the country’s mood with patriotic music and pictures. “It struck the creative team,” a company official said, “that there was almost a yearning among a large segment of the population to hear something good about our country.”

Even more than the “Back to Normal” ads of the 1930s, which encouraged a feeling of recovery from the Depression, the new commercials asserted a role for Coca-Cola in shaping the national psyche—quite a remarkable declaration for a soft drink manufacturer. The executive who oversaw the campaign, Don Keough, was named Adman of the Year by the magazine *Advertising Age*, which seemed a fitting tribute.

Yet no sleight-of-hand could divert attention for long from the contentious atmosphere that prevailed on the fourth floor of Plum Street. Like jealous siblings, Woodruff and Austin feuded over Smith, even though (or perhaps because) he went out of his way to be agreeable with both of them. When Woodruff began inviting Smith to join his lunch group, Austin fumed and finally ordered him not to go anymore. When Woodruff prodded Austin to give Smith a raise, Austin balked, arguing that his $225,000 salary was adequate.

A more heated conflict broke out over Fill Eisenberg. As chief financial officer, Eisenberg reported directly to Woodruff and the Finance Committee, bypassing Austin. Like Woodruff, Eisenberg tended to be old-fashioned about the company’s balance sheet, satisfied to keep a large surplus of $100 million or more on the books as a hedge against hard times. He literally sat by Woodruff’s side at meetings, passing judgment on Austin’s proposals, routinely recommending against them. Naturally Austin was looking for a way to eliminate Eisenberg, and in 1974 he thought he’d found one.

Eisenberg shared Woodruff’s aversion to Wall Street analysts and the business press, a prejudice that flowered into full-scale loathing when the Coca-Cola Company’s financial condition took a turn for the worse in the mid-1970s. Inflation drove up the price of ingredients, putting a severe bite on Coca-Cola’s revenues, and skittish investors started a sharp run on the company’s common stock, driving its value down further and faster than any time since the 1930s.

As the company’s stock tumbled—from a high of 127¾ a share all the way down to 44⅝—Eisenberg got angrier and angrier. His phone was ringing two or three times a day, with one Wall Street specialist after another demanding to know why Coca-Cola was performing so badly, until at last he blew his stack and refused to answer at all. He issued a formal statement announcing that he had decided "to stop all direct contacts with security analysts," pending further notice.

The outcry that resulted was harsh, albeit predictable. Using a word full of freight at the time, *Institutional Investor* magazine accused the company of "stonewalling," and quoted an unnamed source as saying Eisenberg "always treated the Street like dirt anyway." The criticism was leveled not just at Eisenberg personally, but at the Coca-Cola Company's "ancient tradition of secrecy," dating back to the days of Doc Pemberton. The timing of the decree was atrocious, one analyst said, because "confidence in the company is at a low ebb." Eisenberg responded by extending his blackout to business reporters as well.

Austin could see all the goodwill he'd cultivated with financial writers and investment houses drying up overnight. Eisenberg's gag order struck him as embodying everything that was wrong with the old approach, starting with the presumption that the shareholders and the public were to be told almost nothing about the inner workings of the business. This time, Austin believed, Eisenberg had gone too far.

On his next birthday, in March 1975, Eisenberg would turn sixty-five. Austin circulated a memo proposing not only that Eisenberg retire then, but that the corporate by-laws be amended to eliminate his job. Instead of having an executive vice president for finance who reported to Woodruff as chairman of the Finance Committee, there would be two new positions, treasurer and controller, both reporting to Austin, the CEO. Austin even nominated his own pick for treasurer, Charles Lord, and noted pointedly that Lord's first act would be to reverse Eisenberg's policy on contact with Wall Street.

While couched in dry language, Austin's gambit was the closest thing to an outright coup attempt at the Coca-Cola Company since Sam Dobbs had tried to outmuscle Woodruff's father more than half a century earlier. And the result this time was no less certain. Woodruff kept Eisenberg in the job and had him continue reporting to the Finance Committee, which remained a burial ground for Austin's ideas.

When the air at Plum Street grew too stifling, Austin often availed himself of the company plane and took off for faraway ports of call. Like Woodruff, he was drawn to the international side of the business, and he loved the physical sensation of flight, the sense of swift passage through inky nights across great distances.

Often he flew alone, with only the pilots for company. Austin also shared Woodruff's taste for alcohol, and he liked to board the company's new jet-powered Gulfstream, slip off his suit, put on a sweater, and roam the back of the plane, having a drink or two, sometimes more, trying to relax. Ralph Whitworth, the company's senior pilot, once flew Austin straight through from Tokyo to Paris, with refueling stops in Anchorage and Greenland, spending eighteen hours in the air. "He wanted to go places and do things," Whitworth explained.

In addition to his flair for divining social change, the other great gift Austin brought to running the Coca-Cola Company was a keen faith in the importance of foreign markets. Austin became CEO around the time Coca-Cola's export sales caught and began to surpass the domestic side, a trend he thought was inevitable and worked hard to encourage. The company enjoyed considerable growth in Germany, Japan, Brazil, and South Africa during Austin's tenure, and the *New York Times* reported Coke was "fast on its way" to becoming a national drink in India as well.

Austin took a worldly approach to world affairs, hiring an avowed communist as a plant manager in Chile during Salvador Allende's presidency, and currying favor with Imelda Marcos in the Philippines by giving her $35,000 worth of equipment for a nutrition center. Looking at the largest untapped market of all, Austin inaugurated contact with officials in Red China, hoping his membership on the Smithsonian Institution's board of regents would gain him a visa and a visit. He also contemplated the end of the Cuban embargo and sent an emissary to Havana to open talks. Later he went himself and held a clandestine meeting with Fidel Castro.

Inevitably, Austin began to supplant Woodruff as the company's top political operative, both overseas and at home. The election of Richard Nixon in 1968 marked a change of parties—and soft drinks—in the White House. Woodruff no longer had a pass at the gate or a standing invitation to drop by the Oval Office at "milking time," as he called it, for a casual cocktail. In 1972, Nixon made news (and cemented his place in the Plum Street rogues' gallery) by negotiating Pepsi's entry into the Soviet Union.

Austin's route into national politics had its origins in the 1970 governor's race in Georgia. With the one-term limit still in effect, Lester Maddox had to leave office, and the contest to succeed him quickly took shape as a two-man race between Carl Sanders, the immediate past governor, and up-and-coming Jimmy Carter. Aware of Woodruff's friendship with Sanders, Carter sent word through his top adviser, Charles Kirbo, that he would like to visit Ichauway and make a pitch for support from the Coca-Cola crowd. According to Coca-Cola's lobbyist, Ovid Davis, Carter's nose was "still a little bit out of joint" because the business community had spurned him four years earlier. Woodruff replied by suggesting a talk in Atlanta, not at the plantation, which Carter interpreted—correctly—as a brush-off.

Woodruff and his circle backed Sanders to the hilt, leaving Austin the job of building bridges to the governor's office when Carter won. Austin did so gladly, forming a close friendship with the new governor and giving him access to the company's resources, notably its fleet of planes and its network of international contacts. In the fall of 1974, as he began his improbable bid for the White House, Carter fended off suggestions of inexperience and provincialism by tying himself directly to the company.

"Georgia has a particular advantage over some states," Carter said, "in that we have our own built-in state department in the Coca-Cola Company. They provide me ahead of time with much more penetrating analyses of what the country is, what its problems are, who its leaders are, and when I arrive there, provide me with an introduction to the leaders of that country in every realm of life."

The notion of a one-term Georgia governor running for the presidency with a foreign policy built on "penetrating analyses" from the Coca-Cola Company sounded pretty far-fetched at the time, and some officials at Plum Street laughed up their sleeves. Yet Austin stuck with Carter and encouraged his candidacy, and even went so far as writing a letter to several top national businessmen, including Frank Cary, the chairman of IBM, urging support of Carter as "a person of destiny who can and will become a great president."

In the years since then, fearing the taint of partisan politics, the company has tried to play down Austin's association with Carter, suggesting it was little more than a matter of corporate courtesy for a hometown politician. But the fact was that Austin gave early and enthusiastic backing to the Carter campaign, highlighted by a luncheon he threw at New York's "21" Club, along with Henry Ford II and Seagram's Edgar Bronfman, to "introduce" Carter to the national business community.

When Carter won, it appeared Austin had gambled successfully and could reap the rewards that came from having a friend in the Oval Office. Even before the inauguration, Austin and his wife accompanied Rosalynn Carter on a state visit to Mexico. Speculation swirled in the media that Austin was in line for a top job in the administration, possibly even secretary of state, until he made a point of placing a call to Kirbo in Washington withdrawing his name from consideration. Austin sent Woodruff a memo apologizing for the "unsettling effect" his political involvement had created in Coca-Cola's executive suite, when of course he'd enjoyed it thoroughly.

The early days of Carter's presidency were marked by several small kindnesses toward the Coca-Cola Company. According to *Newsweek* magazine, Bert Lance, the budget director, discovered a secretary drinking a Pepsi and told her, "You know, ma'am, our crowd likes a good old Democratic drink—Coke." The president's son Jack found a Pepsi in a White House refrigerator and had it removed.

The title over the *Newsweek* article called Austin "Carter's Chum from Coke" and explained that he was one of the president's closest friends and advisers. Austin protested, saying the two were "not bosom buddies," but he also dropped a delicious tidbit about a recent trip he'd made to see the Egyptian president, Anwar Sadat. "At the end of the conversation," Austin recounted, "I said, 'Do you want this to remain confidential, or do you want me to report directly to my government?' He said, 'I'd like very much if you would report it. That's the reason for our conversation.'"

It was all heady stuff. John Sibley's son Jimmy, a lawyer with King &

Spalding, was on the company jet with Austin when it touched down in Cairo. A band was in place, playing on the tarmac, Sibley recalled, and Austin rushed out the door to accept the greeting. It turned out the tune was the "Marseillaise," being played in recognition of a French dignitary who was leaving at the same moment, but that was beside the point. Coca-Cola was doing business in 139 countries, and its CEO gloried in having the stature of a minister of state.

Woodruff found himself completely eclipsed. His direct involvement in city politics ended when Ivan Allen retired as mayor in 1970, and he had only a passing acquaintance with George Busbee, the governor who followed Carter.

Instead of giving guidance, Woodruff had to satisfy himself with making the city and state the recipients of his philanthropy. In 1971, he presented Allen's successor, Sam Massell, with $9.9 million worth of Coca-Cola stock to purchase a two-acre tract for a park in the middle of downtown Atlanta. The *Atlanta Constitution* dutifully concealed Woodruff's role in the transaction, reporting only that the city's "Anonymous Donor" was at work again.

But the idea of anonymity had begun to chafe at Woodruff. In earlier years, as Mayor Hartsfield once put it, Woodruff's role as a philanthropist was "the worst-kept secret in town." Every citizen of consequence knew about his gifts, and among the people who mattered to him he got the credit he deserved. Any time the Atlanta newspapers reported a nameless donation, Woodruff was assumed to be the source. Once, seeing a story about an anonymous gift that actually had come from the Campbell Foundation, Woodruff rebuked his staff, saying, "I don't remember approving that grant."

Now, however, his lifelong insistence on privacy gave way to a yearning for recognition. In 1974, he agreed to accept the city's highest honor, the Shining Light award, and showed up in person to collect it, walking uncertainly with a cane and clutching the arm of his valet. "Business genius, counselor of presidents, sportsman, humanitarian, benefactor of education, medicine, and the arts," the plaque called him. Six years after accosting the publisher of the Atlanta newspapers with a demand that his name never again appear in print, Woodruff consented to a story on the front page under the headline, "CITY'S 'ANONYMOUS DONOR' REVEALED TO BE WOODRUFF."

Once the dam broke, there were dozens of tributes, and Woodruff savored them all. Some days he would ask Joe Jones, "What's in the paper this morning?" Jones recognized Woodruff's new vanity as more than an acceptance of mortality or an interest in his place in history. Woodruff had been at the center of things for half a century, Jones thought, and wanted to stay there. He craved affirmation of his vitality and importance. Jones tried to tease him, saying he'd outlived his enemies, but Woodruff's true fear was outliving his usefulness. A friend found him crying one day, fretting that his life had lost its purpose.

To Woodruff, old age brought absolutely no benefits whatsoever. He hated being feeble, hated growing deaf. His eyesight got worse and he began complaining that he was blind. A friend wrote to suggest books with oversize print, and he dictated a stark rejoinder: "I never cultivated the habit of reading books. My preference has been to concentrate on doing things myself rather than read about other people doing things."

He became crotchety, ill-humored much of the time. Joe Jones, who had served him loyally for four decades as a male secretary and all-purpose factotum, gradually assumed a far larger role as chief of staff, handling many of Woodruff's affairs and occasionally reminding him of the realities of his advancing years. In the winter of 1975, as the city of Atlanta languished in the grip of recession, one of its business leaders, Billy Sterne, the president of Trust Company, called on Woodruff to "reenter the scene" and give counsel again as he had in the Hartsfield and Allen years. After Sam Massell's lone term, City Hall had passed to Maynard Jackson, Atlanta's first black mayor, and relations between the administration and the business community were strained.

"There's no way for you to 'reenter' the scene," Jones told Woodruff. The city's reigning businessmen were the sons and grandsons of his old friends, and he hadn't even met the latest batch of politicians. "In what way would you become involved?" Jones asked. "What would be the text of your remarks at, say, a Commerce Club board meeting?" Trying to become active again would be a burden on Woodruff, Jones said, implying the corollary that Woodruff was also in danger of making himself a burden on others.

Ignoring the advice, Woodruff agreed to speak to the directors of the Commerce Club, in the same room he'd once helped desegregate. He told the old Red Deupree story—"Not long!"—and urged his listeners to get busy, form a committee, and become involved. The speech was not an embarrassment, yet it had little impact. Aside from a white paper produced by a local think tank, nothing came of it. The day of the Big Mules had ended.

Woodruff made one final, graceful gesture before exiting the political stage. At a time when most businessmen refused to have anything to with Mayor Jackson, Woodruff went to a meeting and made a point of shaking his hand and posing with him for a newspaper photographer. "What would mother and Aunt Emie say if they could see Atlanta's Negro mayor sitting beside you?" one of Woodruff's cousins wrote him, astounded at the tableau that appeared in her copy of the afternoon *Atlanta Journal*. "Guess I was born too soon!"

A little over a year later, when the editors of the *Journal* compiled a list of the ten most powerful people in Atlanta, they included Paul Austin. But they left Woodruff off, explaining that he'd taken "a few steps down" the ladder.

Looking back, trying to pinpoint the onset of the terrible sicknesses that drained Austin of his energy and memory, and that eventually claimed his mind, some of his colleagues remembered the General Electric board meeting that took place in March 1975.

At the peak of his career at the time, with no hint that anything might be wrong, Austin joined in a discussion with his fellow GE directors about the outlook for the national economy over the next few years. No one in the room was very optimistic, but the "Austin scenario," as he called it, stood out as a grim vision of apocalypse.

The recession would continue and worsen, Austin said. Millions of Americans, most of them black, would be left unemployed. When their unemployment benefits ran out, the inner cities would go up in flames, consumed by riots far worse than anything seen in the summers of the 1960s. Police and firemen, helpless to protect themselves, would abandon their posts en masse. The U.S. Army would have to restore order at bayonet point. All three branches of the federal government, the White House, Congress, and the courts, would cease functioning, and a high-ranking army officer would seize command. Taking Charles de Gaulle as his model, he would impose a form of limited dictatorship on the country.

When he finished talking, Austin was greeted by silence. Word of his performance leaked back to Plum Street, where he was pressed for an explanation of the "disturbing" nature of his prophecy. There was nothing at all unusual about his lecture, he insisted, defending himself in a memo that was circulated around the top levels of the company. If the other GE directors were quiet after he spoke, he said, it must have been because they agreed with him.

There were other episodes, notably a talk in which Austin predicted that half of the country's colleges would soon close, never to reopen. But he was a florid man by nature, an Ivy League intellectual who loved to play iconoclast, and his earliest lapses were dismissed as Austin being Austin, dabbling in sociology, making breathless pronouncements just for the shock value. Perhaps a martini or two at lunch accounted for the occasional extra dose of melodrama.

Two or three years passed before Jeane Austin began noticing clues that something was seriously wrong with her husband. Usually brimming with energy, he started tiring easily and going to bed early. His golf game deteriorated. He had trouble remembering things. One day he brought home a stack of memory improvement books and placed them by his armchair.

Perhaps, if the company hadn't been in such turmoil, Austin's condition might have been diagnosed and treated. But he was bent on maintaining power, so he stayed away from the doctors who could have helped him, denying there was any problem. Most of his associates assumed he was drinking more, succumbing to the pressures of the executive suite. No one knew he had developed a treacherous pair of diseases, Parkinson's and Alzheimer's, and that he stood on the verge of a swift, ghastly descent

Coca-Cola's corporate health seemed to be following Austin downward, as if it were susceptible to some strange malady of its own. In April 1975, with the company still reeling from the plunge in its stock prices a year earlier, Pepsi unveiled an odd piece of mischief, the "Pepsi Challenge," in Dallas. With a meager market share there of only 6 percent, trailing not only Coke but Dr Pepper as well, Pepsi officials were desperate enough to try an off-the-wall approach. Combing, the city, they rounded up several dozen professed Coca-Cola drinkers and conducted a taste test, asking them to choose between sodas marked "Q" and "M." As a hidden camera rolled, slightly more than half the participants chose "M" and were surprised to discover it was Pepsi. Their responses were then fashioned into commercials and aired on local TV.

The scientific validity of the Pepsi Challenge was open to interpretation, of course. Its original purpose was merely to show that more than 6 percent of the population of Dallas would like the taste of Pepsi, a perfectly reasonable theorem. Nationally, Coca-Cola and Pepsi enjoyed rough parity in supermarket sales, so the results of the challenge should not have been considered earth-shattering. Yet for some reason the commercials had a memorable impact. "More Coke drinkers like Pepsi than Coke," the tag line went, and it made for effective television.

The Coca-Cola Company's response bordered on the irrational. Instead of pretending to ignore the competition—its policy for more than three decades—the company churned out a bewildering set of statements and commercials aimed at disparaging Pepsi's results, starting with a claim that people had a psychological preference for the letter *M* over the letter *Q*, unfairly skewing the outcome. Pepsi's agency, BBDO, hit back immediately with a new set of taste tests using the letters *L* and *S* that also detected a preference for Pepsi. Coca-Cola answered that salvo with a faux-comic spot in which people explained why they liked the letter *L* better than the letter *S*. Then, for reasons that defied logic, the company ran another commercial claiming that people preferred Fresca to Pepsi, a comparison of differing flavors that the *National Observer* dismissed with one word: "silly."

Taking on a life of its own, the Challenge spread to eleven cities over the next year, boosting Pepsi's sales in most instances and frightening Coca-Cola's bottlers half to death. The term "Cola Wars" came into popular usage, as puzzled observers tried to figure out the rationale behind the sniping and hard-sell tactics in an industry that had long relied on pleasant words and pictures and more or less peaceful coexistence. The affair was a "taste bud donnybrook," *Time* said, a case of "sheer zaniness." Rance Crain, the editor of *Advertising Age*, called publicly for a cease-fire, saying the ads were "confusing, silly, and derogatory," and likely to damage Madison Avenue's tender credibility.

The long-term results of the Challenge were hard to measure, since the two companies typically competed with price-cutting and other marketing tactics at the same time, affecting the sales figures. By most accounts Coca-Cola suffered little lasting, tangible damage. Its share of the national cola market held steady while Pepsi enjoyed modest gains at the expense of smaller, lesser-known cola labels. As a matter of psychology, however, Pepsi inflicted a severe wound to the Coca-Cola Company's self-esteem. For years, the "Imitator" had been disparaged around Plum Street not just as an inferior product but as the embodiment of moral laxity, a copycat bent on stealing Coke's good name. Now Pepsi claimed it was better than Coke, and consumers seemed to be agreeing. Finding no effective way to respond to the Challenge, Coca-Cola announced in late 1976 that it would simply stop trying.

The company's advertising, veering away from the "Real Thing" in search of a fresh angle, stumbled along with a passive, forgettable slogan, "Give me a smile with everything on it, and I'll pass it on."

As if to punctuate the notion that Coca-Cola had lost its handle on the nation's taste, Austin committed the company to be the sole backer of a Broadway musical, *1600 Pennsylvania Avenue*, which opened to terrible reviews in the spring of 1976 and closed after only three performances, losing $1 million. "Tedious and simplistic," Clive Barnes wrote unsparingly in the *New York Times*, as the company sheepishly declined comment.

On the international front, Coca-Cola suffered the loss of an important market when Indira Gandhi lost power in India in 1977. Moving to appropriate the profits from Coca-Cola's syrup factory and twenty-two bottling plants, the new Indian government ordered the company to cede majority ownership to local shareholders, a step that jeopardized the secrecy of the formula. Rather than take the risk, the company spent $2 million grinding up its bottles and pulled out of a market with sales of 900 million drinks a year. The one positive note in the episode was a spate of publicity about the sanctity of the formula—modest consolation for having to abandon a subcontinent.*

At the same time it was suffering a spate of reversals in public, the company embarked on a campaign of internal change, one that would have been painful and wrenching enough in the best of circumstances, even if its two top men hadn't been incapacitated and at odds with each other. As it was, Plum Street started a battle with its bottlers that grew almost as bitter as the civil war Ernest Woodruff set off in 1920.

Once again, the price of ingredients played a central role in the hostili-

* Woodruff's lifelong aversion to change had calcified, reaching the point that it included his own dwindling weight When he stepped on the scales in the morning and asked his valet, Cal Bailey, to kneel down and check the reading, the soft-spoken black man would call out dutifully, "One seventy-five, Mr. Woodruff, same as always!"—even though the needle had fallen below 150 pounds.

ties. Under the perpetual contracts they'd preserved in court in the 1920s, the bottlers paid the company a fixed amount for Coca-Cola syrup. Sugar was subject to a sliding scale, depending on domestic prices, but the other "merchandises" remained at the same level set more than half a century earlier. In theory, at least, as the inflation of the late 1970s pushed costs up higher and higher, the day was coming when the bottlers could force the company to sell them syrup at a loss.

As a practical matter, most bottlers recognized the futility of driving their parent company into bankruptcy and were willing to discuss modifications of the old arrangement. The devil was in the details. Foremost on everyone's mind, the Federal Trade Commission had begun an attack on the very concept of exclusive territories for the bottlers. In 1971, the FTC filed antitrust complaints against Coca-Cola, Pepsi, and six other soft drink companies, charging that the licenses they gave their bottlers were in effect local monopolies that reduced competition and led to higher prices.

While they stood shoulder-to-shoulder with the bottlers battling the FTC, company officials also believed that the fear of losing their franchises would make the bottlers more malleable and likelier to give ground. Luke Smith was assigned the challenge of getting the contracts amended, and he surprised his colleagues with the determination he brought to the task.

At first, Smith enjoyed swift, steady progress. He traveled across the country holding meetings with the bottlers, explaining in his soft-spoken, earnest manner that the home office simply couldn't afford to keep selling syrup at the old fixed price while inflation drove the cost of ingredients through the roof. As one bottler recalled, Smith argued convincingly "that they couldn't live with what we had, and the system was going to go down the drain."

Most of the bottlers trusted Smith and appreciated his reasoning. Many agreed to amend their contracts, eyen though those contracts had been in their families for generations, handed down like heirlooms from parent to child to grandchild. Eventually, though, Smith ran into resistance. Some of the big bottlers, led by Charles Millard, the chairman of the New York bottling company, balked at giving the company so-called "free-will" pricing, insisting instead on limited increases tied to the consumer price index. One of the most influential old-line bottlers, Crawford Johnson III of Birmingham, Alabama, joined forces with Millard, placing Smith's project in jeopardy. Soon the discussions between Smith and the bottlers grew heated—"bombastic," in the description of one participant—as positions on both sides hardened.

With the issue moving swiftly from a technical dispute to a companywide crisis, the one thing Smith desperately needed was a clear set of instructions from the top, a bargaining position ratified and supported by the chairman and board of directors.

He got the opposite.

In the spring of 1978, Woodruff and Austin were barely communicating. Neither man was in complete possession of his faculties. A morbid contest had begun to see which one would outlast the other, with control over the Coca-Cola Company as the prize.

At eighty-eight, Woodruff still commanded the loyalty of the "Old Guard" on the board, having fended off most of Austin's attempts to appoint directors of his own. Making a show of strength, Woodruff arranged to have Dr. Herndon, his personal physician, placed on the board, while turning down the names of several proposed outside members, including Henry Kissinger and Shirley Temple Black.

Yet Austin remained the chairman and CEO. He still ran the company on a daily basis. He finally succeeded in pushing Fill Eisenberg into retirement, opening the door for approval of some of his projects by the Finance Committee. On Austin's recommendation, the company went into the wine business, bought a plastic bag company called Presto Products, and undertook plans to invest in several independent Coca-Cola bottling operations.

As far as the outside world could tell, Austin's health was fine. He capped years of work on the international front by gaining exclusive rights to supply soft drinks at the 1980 Olympic Games in Moscow, then topped his coup by announcing that Coca-Cola would become the first American consumer product sold in China. Austin's friendship with President Carter seemed to be flourishing, so much so that the *Washington Star* hinted at impropriety. Not only had the White House paved Coca-Cola's way into the Soviet Union and China, the newspaper charged, but it also had given $300 million in foreign aid to Portugal, which in turn lifted a fifty-year ban on the sale of Coke.

Insiders, of course, could see that Austin was behaving erratically. But they didn't know why. A friend recalled meeting Austin for lunch at the Piedmont Driving Club in those days, "and he wouldn't make any sense at all. Then he'd have a couple of martinis, and he'd begin to make a little bit more sense. . . ." Apparently, his friend surmised, the problem was advancing alcoholism.

For the company's executives, life became a high-stakes guessing game. Austin was sixty-three, facing the prospect of retirement on February 14, 1980, his sixty-fifth birthday. To everyone's amazement (and without a word of explanation) Woodruff abruptly asked the board to give Austin an extra year. But would he stay on after that? And if not, would he be able to pick his successor?

Luke Smith wasn't the only one wondering. A half-dozen ambitious men had risen to prominent positions within the company, and they'd begun mapping strategy and plotting allegiances, calculating their odds of getting to the top, partly as a matter of personal aspiration but also because the Coca-Cola Company genuinely, desperately needed new leadership.

Wall Street observers, sniffing change and trying to handicap the field, put their money on Don Keough. A broad-faced Irish Catholic with an easy, beatific smile, Keough had joined the company in the Duncan Foods merger and was now a vice president in charge of operations in the Western Hemisphere. Born on a farm in Iowa, possessed of a gift for public speaking that rivaled Harrison Jones's, Keough seemed to personify Coca-Cola's all-American appeal. When he spoke of the "shared experience" Coke represented in people's lives, it had the ring of truth. At fifty-one, he was young enough to run the company for a decade.

But who could say? For more than half a century, the one immutable certainty about advancement at the Coca-Cola Company had been the need to play up to Woodruff. Since the days of Bill Hobbs, Woodruff's weakness for buttery words and adulation had been obvious to everyone. He was conscious of it himself. "I've had a hell of a time," Woodruff admitted to a nephew, "picking the right people for big jobs in my company." In a way it was understandable. The people who flattered Woodruff usually believed what they were saying, or at least tried very hard to make themselves believe it, since that was human nature. No one wanted to be a hypocrite.

Smith's wife, Claire, became very fond of Woodruff, even going so far as to write him a thank-you note when he accepted an invitation and came to their house. "We not only respect and admire you," she gushed afterward, "but most of all, *WE LOVE YOU*. Thank you for sharing your time with us!!!"

Keough matched the effusion. When he was invited to Ichauway, he lavished his host with gratitude. "I'm a very lucky man, Mr. Woodruff," he wrote, "for a great many reasons. One very special reason, which will always be special, is that I have been privileged to know you—and therefore to know all the best of human character."

Looking back, it was easy to mock the flowery excesses of the time, but careers turned on the whims of a man who craved attention and kind words, and who returned those feelings and often rewarded them in material ways.

With little else to guide him beyond Woodruff's adamant insistence on preserving the Coca-Cola empire, Smith took an extremely hard line in his negotiations with the bottlers. He refused to consider the pricing index suggested by Millard, the New York bottler, and eventually their talks broke off. The campaign to amend the contracts reached an impasse.

Frustrated, Millard approached Keough, who saw no reason for being so obstinate. Keough thought a sliding scale for syrup afforded the company adequate protection, and he quickly reached agreement on a compromise that satisfied Millard and most of the other holdout bottlers. Going behind Smith's back, Keough took the deal to Austin, who approved it and got Woodruff and the board to give their assent. That was that. Over the next few months, scores of bottlers signed new, amended contracts.

Understandably, Smith felt betrayed. He blamed Austin for switching the rules on him in the middle of the game. He stopped speaking to Austin, making an already uncomfortable situation even more strained. The resolution of the bottling imbroglio should have brought peace to the Coca-Cola Company. Instead, like the sharp noise that triggers an avalanche, it set off a series of repercussions that changed the business forever.

Austin's condition began to worsen at an accelerated pace. His judgment grew impaired. Early in 1979, he told Woodruff he planned to switch the date of the company's annual meeting so he could attend a party in celebration of Coca-Cola's fiftieth anniversary in Germany. Woodruff pointed out that the day of the annual meeting was fixed in the corporate by-laws, and could only be changed by a vote of the board. Doing so, he said, "would be unwise and unfortunate."

Then, just two years after naming his own man, Charlie Lord, as chief financial officer, Austin announced that he wanted to make a change. He was unhappy with Lord, he told Woodruff, and planned to install another man above him as an executive vice president in charge of finance. Woodruff asked what was going on, and Austin replied defensively. He'd been running the company for years, he reminded Woodruff, making "adjustments" in the corporate hierarchy. There had been "no Black Fridays, just evolutionary moves here and there." There was no cause for alarm.

The press began speculating about Austin's tenure. The hometown newspaper, the *Atlanta Journal-Constitution*, reported that Austin was "silent" about a successor and "leaves the impression that he is in no hurry to let an heir apparent emerge, even though such an attitude inevitably has encouraged a lot of rumor-spreading in the business community and a bit of jockeying for position within the company."

In fact, Austin did have a successor in mind. During his posting in Johannesburg twenty years earlier, he'd hired a white South African named Ian Wilson to be his chief accountant, and the two men had become fast friends. In the years since, the aggressive, sharp-edged Wilson had proven himself a skilled manager. He took over Coca-Cola's operations in Canada and spruced up the balance sheet there, then moved to Atlanta as an executive vice president, adding the Far East to his growing portfolio of responsibilities.

Wilson understood the importance of currying Woodruff's favor if he hoped to advance. Displaying perfect deference (if not perfect grammar), he wrote after one visit, "You left both Sue and I different people, touched by the special, and very human attitude and approach you convey." When they entertained visiting bottlers from Japan and Thailand, the Wilsons occasionally invited Woodruff to dinner, knowing he would command the esteem of the Asians by dint of his great age.

For his part, Woodruff seemed fond enough of Wilson. He invited him to Ichauway and included him in his luncheon group from time to time. But Woodruff gave no sign of readiness to make Wilson the next head of the Coca-Cola Company. When Austin suggested putting Wilson and another executive on the board of directors, Woodruff declined. Luke Smith remained first in the line of succession, with every likelihood of becoming chairman and CEO. Stymied, seeing that he needed more time to fashion the outcome he wanted, Austin began entertaining the idea of postponing his retirement indefinitely.

For a while, he had his way. In July 1979, Woodruff suffered a loss of lucidity and then contracted pneumonia. When he went into Emory Hospital, many in his circle assumed he would not come out. His brother George, who had always been leery of the lawyers and trustees who would gain control of the family fortune when Robert was gone, took steps to liquidate the Emily and Ernest Woodruff Foundation. After living all his life in the shadow of Robert's legendary philanthropy, George arranged to make a gift of the entire corpus of the trust fund—Coca-Cola stock worth more than $100 million—to Emory University. It would be the largest single gift ever given to a school, a fitting farewell.

"Everyone thought he was dying," Woodruff's private nurse, Edith Honeycutt, recalled. The overseer at Ichauway called the staff together to tell them their boss had seen his last quail season.

And, back on Plum Street, Austin fired Luke Smith.

Physically and mentally drained after his war of attrition with the bottlers, Smith began a two-week vacation in August 1979. He spent the time relaxing on his houseboat on Lake Lanier, an hour north of Atlanta, and was about to return when he got the word. On the day he was due back at work, Austin put out a press release announcing that for "personal reasons," Smith had decided to take early retirement and would resign immediately as president. With no avenue of recourse, Smith was forced to accept the verdict.

Only Woodruff did not die. His medical crisis eased. His pneumonia gradually began clearing up, and he was able to return home to his bedroom in Atlanta to convalesce. In the fall, he was taken to Ichauway, where he regained some of his strength, improving bit by bit until at last he got up, got dressed, and insisted on mounting a horse.

He remained a very frail old man. Two men had to hoist him into the saddle, and he could ride only a few paces. When he tried going on a quail hunt, Joe Jones remembered, "he couldn't see or hear well, or turn quickly enough to hit anything." A handler had to hold him up so he wouldn't fall. The important point, though, was that he lived. The events that ensued were a mystery to outside observers, and incomprehensible at times to the participants themselves—which was hardly surprising, since the two main players were suffering from the ravages of age and dementia—yet the key to it all was quite simple: Woodruff lived.

Austin acted first. With his nemesis Smith out of the way, he moved to assimilate power. At the company's regular board meeting in November

1979, Austin proposed the appointment of six vice chairmen, all reporting to him, with the understanding that one of them would emerge as his successor. While Woodruff looked on, still a little muddled from his illness, the board accepted the plan.

Everywhere, from Wall Street to *Business Week* to the Coca-Cola Company's own cafeteria, people scrambled to make sense of the unexpected developments. The main challenge was sorting through the six contenders: Keough, Wilson, and senior managers Al Killeen, Claus Halle, Roberto Goizueta, and Ira "Ike" Herbert. Only Keough was well known outside the company, and the press anointed him the front-runner. A handful of insiders recognized Wilson as Austin's personal favorite and placed their bets accordingly. The others were considered long shots.

Of all the names on the list, the most obscure belonged to Goizueta (pronounced Goh-SWET-uh), a reticent, aristocratic Cuban who'd joined the company in Havana in 1954 as a chemical engineer. After fleeing Castro for the United States in 1961, Goizueta worked his way up through the technical side of the business and eventually earned an executive vice presidency, taking charge of the legal department and general administration as well as the laboratory.

The *Wall Street Journal*, which kept close tabs on the succession battle, gave Goizueta little chance of winning, noting that he was "at a disadvantage because he has never managed one of the company's soft-drink units." In fact, he had no marketing experience at all. He had never worked on an ad campaign, never roused the bottlers with a speech, never fought for shelf space at a supermarket. He'd never sold a single bottle of soda.

For those who liked portents, however, it seemed noteworthy that alone among the vice chairmen, Goizueta knew Coca-Cola's secret formula. By policy of the board, only the company's top two chemists were allowed to memorize the "strategic information," as it was called. Goizueta had undergone the rites of initiation in 1974, replacing a senior vice president who suffered a heart attack on a trip to London.

Goizueta's new status brought him closer into Woodruff's circle. Along with the other acolytes, Goizueta began attending the 12:30 luncheons, and before long Woodruff asked him for a photograph to add to the collection of favored executives he kept at his Tuxedo Road home. As he gained further promotions, Goizueta had the good sense to thank Woodruff each time, knowing the old man had given his approval. When he traveled, Goizueta sent Woodruff postcards.

To those who knew him, Goizueta's rise was not surprising. He could seem a little shy when he first met people, ill at ease with small talk, quick to light a cigarette and turn the conversation to a safe, familiar topic. Yet he had a keen, observant eye and an understanding of human nature not always found in men of science. Once, he recalled, he and Austin were in Woodruff's office, engrossed in a discussion about the business, when Woodruff abruptly interrupted, turned to Joe Jones, and barked, "Joe!

How many shares of Coca-Cola do I have?" Jones answered with the exact number, and Austin observed later that Woodruff must be slipping further, losing his memory and ability to concentrate. Goizueta responded that he thought it was simply Woodruff's way of reminding both of them he still owned a big chunk of the company.

Like others in the company with ambition, Goizueta cultivated a close relationship with Woodruff. He told people unblushingly that Woodruff reminded him of his father, and he beamed when Woodruff began calling him "partner"—even though Woodruff referred to most of his junior associates that way. But Goizueta also had genuine admiration for Woodruff, an appreciation of the extraordinary skills, now dimmed by age, that he'd displayed running the company for so many years. "He was a *sponge*," Goizueta said, marveling at Woodruff's capacity to listen intelligently and draw information out of others.

Goizueta tried to learn from Woodruff. He was struck, for instance, by the way Woodruff rarely set a deadline when he gave an underling a project. Instead, Woodruff would ask the man how soon he could finish, and most times, in his eagerness to please and impress the boss, the fellow would place himself "on the hook" by volunteering to meet the earliest possible completion date.

At a time when some executives began referring to their visits to see Woodruff as "the duty," Goizueta actually looked forward to spending a half-hour with him every other day or so. Woodruff received guests at home most afternoons in a sitting room with a fireplace on the second floor of his Tuxedo Road mansion. Goizueta stopped by frequently, drawing out Woodruff's thoughts and reminiscences, sipping a vodka and tonic while they chatted. Woodruff often reached forward and clutched his visitor by the forearm, holding him with a surprisingly strong grip, and Goizueta guessed he did so because touch was his only remaining active sense, now that his eyesight and hearing and appetite were all but gone.

Woodruff's conversation often consisted of little more than his favorite aphorisms—"The world belongs to the discontented"—and some of his listeners concluded he'd grown senile. Only a handful, including Goizueta, realized that he possessed a sort of subterranean awareness, a lasting, deep-seated interest in the company's welfare that had scarcely subsided a bit

In the winter months of January and February 1980, Woodruff was unhappy. The dismissal of Luke Smith gnawed at him, reviving his bad memories of the ouster of Charles Duncan. The company's continuing financial difficulties bothered him, especially a steady shrinkage of the cash reserves.

And he hated the new Coca-Cola skyscraper Paul Austin was putting up.

At a Finance Committee meeting in 1974, Austin had unveiled plans for a twenty-six-story tower to accommodate the company's burgeoning workforce.

The old brick home on Plum Street and a newer eleven-story structure, a utilitarian glass-and-concrete box that went up next door in the late 1960s, were proving inadequate as the payroll hit 1,500 employees and kept growing. The new tower, Austin predicted, would meet the company's needs for at least a decade, perhaps longer.

In a sunnier frame of mind at the time, Woodruff gave his approval. "I guess it looks all right," he said. Then he joked, "I don't suppose John Sibley and I will have much interest in what's going on by then anyway."

"Mr. Chairman," Sibley shot back, only partly amused, "I'll speak for myself on that subject!"

As it happened, they'd both lived on into their nineties, and now the building was nearing completion. The day approached when Woodruff would have to be moved out of his familiar, beloved suite on the fourth floor of Plum Street into new quarters. Suddenly it was no longer a laughing matter.

Joe Jones called the architects and designers together and explained carefully that they would have to reproduce Woodruff's office, dining room, kitchen, and conference room *exactly*, in precise scale, with every last detail identical, or else the old man would become confused and agitated, which would mean serious trouble for everyone.*

Duplicating Woodruff's suite wouldn't be possible, one of Austin's men said. There would be slight variations because of the tower's shape, and the layout of rooms would have to be reversed. In that case, Jones replied, he would need an advance set of blueprints and drawings, so he could begin the long, difficult process of acclimating Woodruff to the idea of innovation. But the design team let the matter lapse.

By the time the tower was ready for occupancy, Austin had placed his wife, Jeane, in charge of decorating. She got her first hint of Woodruff's simmering displeasure one morning when she called Jones to ask a question about the furnishings for the new conference room. Woodruff, Jones warned, had not been inside the new building, had not been shown the floor plans, and wanted nothing more or less than to remain in the same surroundings he'd had for the past quarter-century.

On March 3, 1980, Woodruff was escorted into his new suite on the penthouse level of the tower. By any standard of taste, the architects had created a spectacular space atop the new building: a three-story atrium with a skylight, fine art on the walls, and offices overlooking a panorama of Atlanta's skyline and forested neighborhoods. To Woodruff, though, the

* After the Coca-Cola Company's withdrawal, a state-owned enterprise began selling an ersatz cola called "77," in honor of the year of political change. Its poor flavor and lack of popularity led a cartoonist for an Indian newspaper to depict a tube of "78 Toothpaste" under a sarcastic announcement, "Great Things to Come." Limited supplies of smuggled Coke began selling for 35 cents a bottle, triple the previous price.

light and paintings and pretty views meant nothing. He prowled his rooms like a detective combing the scene of a crime. The lighting, he grumbled, was too dim in the office and dining room. The kitchen was too small and in the wrong place. The dining room was too small. The portrait light on his favorite dog painting needed to be brighter.

Then Woodruff went into the bathroom, shut the door, and tried his new toilet. It was several inches lower than the old one, too close to the floor for comfort. It annoyed him tremendously.

Joe Jones dutifully recorded all of Woodruff's complaints and forwarded them immediately to Mrs. Austin and her design consultant, John Chaloner. They responded within days by installing new lighting, but as Chaloner explained with exquisite patience, they couldn't very well change the sizes of the rooms, since those were governed by the dimensions of the building. As to the toilet, he said, modern plumbing technology and federal health regulations required the use of the lower models. Chaloner said he would be happy to make further inquiries on the subject and take up the matter with Paul Austin when he got a chance, but he offered little hope of a solution.

Chaloner's answer was perfectly reasonable (if a bit patronizing), but it was emphatically not what Woodruff wished to hear. He picked up the phone and rang Goizueta, who listened carefully and dispatched a carpenter and a plumber to Woodruff's suite that very morning, where a riser was built under the toilet, lifting it to the exact, precise, identical height of the old one. Woodruff was assuaged. The metaphor, that by fixing Woodruff's throne, Goizueta had placed himself one step closer to inheriting the company's, was too good to miss.

Austin, meanwhile, was oblivious. With his diseases progressing, the move to the tower left him even more disoriented than Woodruff. He wandered through the wrong door one morning and demanded of a startled colleague, "What are you doing in my office?" Once an impressive speaker, he began stumbling through his public appearances. His facial expression grew wan and uncertain. In an episode that quickly made its way through the grapevine, he had the company pilots fly him to New Orleans, only to forget why he'd wanted to go after he landed.

His wife tried to protect him. She began spending her days at the company, working out of his office. The tower stood as the signature piece of Austin's regime, almost literally the capstone of his career, a granite monolith with the familiar Spencerian script of Coca-Cola's trademark carved into the peak of the facade, illuminated in red, visible for miles across Atlanta. With a good eye for art (though no formal training), Mrs. Austin tried to make the interior just as distinctive. She commissioned a set of four-seasons tapestries for the lobby, found a pair of seascapes for the boardroom, and covered the walls with Russian, Moroccan, and South American oil paintings from a dealer in New York. In all she spent $6 million, and when she was done every room in the building bore her touch.

She made the tower into quite a symbol, and of course that meant it was a target, too.

The problem was the proprietary attitude Mrs. Austin developed toward the new complex and the house rules she began issuing. Word spread that she was trying to run the business as well as decorate it. No sooner had Woodruff's commode been fixed than his chauffeur was shooed away and told he could no longer park in front of the building, on Mrs. Austin's orders. One of the company's top administrators, Charles Adams, resigned in frustration, citing her interference with his duties.

Her worst blunder was an edict banning Coca-Cola's secretaries from eating their brown-bag lunches (and drinking their Cokes) in the little landscaped plaza across the street. A secretary herself when she'd met her husband, Mrs. Austin seemed to want to keep the clerical help tucked away out of sight, where they would not tarnish her neat and tidy showplace. Her explanation—that she was worried about attracting pigeons from the Varsity, a landmark drive-in restaurant a half-mile away on the other side of Georgia Tech—brought ridicule. Someone tacked up a sign in the lobby asking wickedly, "Why worry about pigeons in the park when there are turkeys in the tower?"

One of the company's veteran secretaries, disturbed by the stuffy atmosphere and worsening morale, wrote a stinging letter of complaint to Austin on behalf of "the little people" and mailed a carbon copy to Woodruff, who responded by issuing an order of his own. From that moment on, he said, Austin's wife was forbidden to enter the building.

The final straw came shortly afterward, when Austin proposed a $100 million debt offering to help pay for the tower, whose price tag had reached $120 million. For nearly sixty years, Woodruff had prided himself on keeping the company liquid. It was an old-fashioned notion, perhaps, but the idea of borrowing money, especially for a needless luxury that contributed nothing to Coca-Cola's earnings, struck him as crazy. "You must be broke," he told Austin.

The clock on Austin's extra year as chairman and CEO had begun ticking on February 14, 1980, his sixty-fifth birthday. Barely three months later, Woodruff decided the selection of a successor could not be postponed any longer. John Sibley, at ninety-one a year older than Woodruff, convinced him it was essential to put new management in place before they and the other old-timers died. Woodruff agreed. He asked Austin to recommend one of the six vice chairmen for the post of president, which had remained vacant since Luke Smith's departure.

Austin nominated Ian Wilson, setting off a crisis. Wilson had detractors throughout the company, men he'd offended in one way or another with his brusque personality, or who feared that a white South African would damage the company's image—or who thought Wilson might perpetuate Austin's reign, depriving them of a chance to start their own. The company's deputy financial officer, Sam Ayoub, a native Egyptian, was openly contemptuous of Wilson. "Everybody knows he's sharp," Ayoub said, "but he didn't have the quality of being a human being."

Confident that Woodruff would accept his choice, Austin and his wife took the Wilsons out for a celebratory dinner in Atlanta, and afterward Wilson left town for a month-long tour of the Far East, where he dropped hints to his managers that they could look forward to following him up the ladder.

In his absence, Joe Jones and others set to work trying to persuade Woodruff to pick someone else. Jones ridiculed the memo Austin prepared in support of Wilson's qualifications, noting that it placed business acumen near the bottom of the list, below Wilson's golf game. On a more serious note, questions were raised about Wilson's legal residency in the United States and whether he'd pulled strings improperly in obtaining his green card from the Immigration and Naturalization Service.

As recently as the previous winter, Woodruff had entertained Wilson at Ichauway, praising him effusively as they sat and had cocktails in the gun room. But now Woodruff began hearing vigorous objections to Wilson from a variety of quarters, including Dr. Herndon and other members of the board. His enthusiasm dimmed. "Mr. Woodruff," Ayoub explained, "had a very strong feeling that an executive has to take care of his people. And he felt [Wilson] was going to create problems, and there would be friction between people, and morale would go to hell."

Woodruff summoned Austin to his office and told him Wilson was unacceptable.

Had his health been better, Austin might have challenged Woodruff, but the fact was Woodruff still held sway over the board. Remarkably, after fourteen years as CEO of Coca-Cola (and a decade as chairman), Austin could command the votes of only three or four directors. Woodruff controlled the rest. His brother and doctor were on the board. So were a pair of Austin's most virulent enemies, Luke Smith and Fill Eisenberg. Two of the oldest members, Sibley and Abbott Turner, had retired, but they'd been replaced by their sons. The membership, typified by George Craft, a son-in-law of Hughes Spalding and former chairman of Trust Company, was a microcosm of the rich families and ruling institutions whose holdings constituted millions of shares, and whose loyalty to Woodruff spanned generations.

Instead of Wilson, Woodruff and his inner circle decided they wanted Goizueta to be the new president, and Austin was instructed to convene a special meeting of the board to make the choice official. As they gathered in the new pecanwood-paneled boardroom of the Coca-Cola tower on the afternoon of Friday, May 30, 1980, a few of the outside directors were puzzled. No one had bothered to tell them the succession fight was over. Austin made a motion to elect Goizueta president, Woodruff signaled his concurrence, and in minutes the session was over, without discussion, debate, or dissent. Goizueta entered the room afterward and made his way around the long, narrow table, shaking hands.

Wilson, who had just returned to Atlanta after his travels through Asia, was utterly mystified by the sudden collapse of his fortunes. He went to see Joe Jones to find out what had happened, and Jones replied, "Ian, you'd have to go ask Mr. Woodruff about that." Wilson made a trip out to Tuxedo Road to see Woodruff, who was polite but vague, revealing nothing to Wilson about the campaign that had been waged against him.

The *Wall Street Journal* described Goizueta's ascension as "another confounding executive shuffle," a phrase that neatly summed up the confusion prevailing among Coca-Cola's employees and bottlers, the financial media, the investment community, and the public at large. The company no longer formally boycotted security analysts and business reporters, as it had under Eisenberg, but an aura of secrecy continued to surround its affairs. Over the weekend that followed the special meeting, a spokesman declined to arrange interviews with Goizueta and the other principals, explaining, "They just don't have time right now."

The first order of business, inside the company and out, was to get a handle on Goizueta. He did not make it easy.

When he sat down with reporters in the coming weeks, he seemed to delight in striking an enigmatic air, one moment sounding like a technocrat and the next like a South American novelist with a metaphysical bent. As a manager, he told the *Atlanta Journal-Constitution*, his goal was "to be in the midst of a crowd, but to have the independence of solitude." To illustrate the importance of skepticism, Goizueta handed out lead coasters that a flim-flam artist once sold him as silver at an airport in Mexico. He spoke in aphorisms. In his new job, he said, "I'm like the golfer who has to keep his head down and concentrate on his follow-through."

His foreign birth did not sit well with all members of the Coca-Cola family. Arguing that "this is an American company, manufacturing an American product, in the American way," the bottler from Huntsville, Alabama, wrote Woodruff urging that Don Keough be given the presidency instead. Coca-Cola, the bottler said, needed "the strong leadership of a dynamic American salesman." Others questioned Goizueta's abilities in the marketplace. "The man's never done anything," the Memphis bottler complained. "His big claim to fame was that he ran the United Way in Atlanta."

In one important sense, of course, the doubters had it completely wrong. Coca-Cola had long since ceased being an "American" company. Seventy percent of its revenues now came from foreign sales. Far from being alien, Goizueta was a sort of citizen of Coca-Cola, born in Havana (where the first offshore shipment of syrup had arrived in 1899) and naturalized in the United States after the revolution in his homeland. His education included a year at a New England boarding school, where he learned impeccable English. He earned his degree in chemical engineering from Yale.

As a company man, Goizueta's pedigree included working with the legendary Gene Kelly, the pioneer organizer who helped set up Coca-Cola's fledgling operations around the world. Goizueta remembered the tightfisted Kelly visiting Havana in the fifties, refusing to stay in a decent hotel or hire a private car. Kelly rode the streetcar and would bury his face in the newspaper when the conductor came around, so that Goizueta had to pay the nickel fare for him.

By any measure, including his custodianship of the secret formula, Goizueta qualified as an insider. In the company's highest councils, his was a familiar face. One reason Goizueta beat out Keough and the other marketers was that they spent a great deal of their time on the road, selling, while he remained in Atlanta, attending to Woodruff and his advisers and gaining their trust.

In the final analysis, Goizueta's selection turned out to be the oldest story in business: He appealed to the owners. No one had ever counted up the number of Coca-Cola millionaires in Atlanta, but they were legion. Georgians owned more than 40 percent of the outstanding shares of common stock. As the *New York Times* once put it, the company was a "Southeastern money tree."

At the time Goizueta became president, the value of Coca-Cola stock had shrunk by half. All across Atlanta, shareholders waited impatiently for a hike in dividends and an improvement in stock prices. At Emory, Trust Company, King & Spalding, in the Whitehead foundations, and among scores of families, the old worry about overconcentration in Coca-Cola common stock stirred again.

Goizueta tried to warn reporters not to mistake him for a mere "technical man." His mission was strategic, he said—to cope with inflation, recession, and foreign exchange, to boost earnings in the company's divisions, to smooth relations with the bottlers, to expand into new, profitable product lines and enterprises, and most of all to improve the performance of the stock. "Finance, technical, marketing, and team spirit," he told a visitor, waving his hand in a circle to accentuate the sweep of his duties.

As reports of the tension in Coca-Cola's boardroom filtered into the newspapers in the days after his election, Goizueta found himself portrayed in some accounts as a compromise pick in a showdown between Woodruff and Austin. He bridled at the suggestion that he might have been a second choice, or that he was someone's puppet "I've always taken a great deal of pride in being my own man," he said. "I've gotten to this position by being my own man and I expect to be my own man from now on."

But he wasn't his own man yet.

When Woodruff first suggested making Luke Smith the new chairman of the board, some of the other directors thought he was kidding. "We won't have to pay him much," Woodruff observed, noting that Smith had been given a large financial settlement and consulting fee when he was ousted as president

Before long it became clear Woodruff was serious. He wanted Goizueta to be president and CEO, but not chairman. In years gone by, Woodruff had recycled some of his retired officers—Burke Nicholson, Bill Robinson, Lee Talley—as figurehead chairmen who presided at meetings without wielding any real influence over the company's affairs. He proposed doing so again. It was his way of preserving the clout of the Finance Committee.

Having roused himself to action, it seemed, Woodruff intended to keep exercising his old prerogatives, signing off on the company's major decisions. His renewed desire for involvement alarmed his closest associates. John Sibley, in particular, believed the whole point of naming Goizueta president was to elevate him quickly to the chairmanship and place him in complete charge. "I think Sibley wanted to be sure. . .that Austin was in fact retiring," Joe Jones recalled.

Woodruff and Sibley had a complicated relationship. Sibley felt enormous respect for Woodruff, but he'd also earned a large measure of independence during their sixty years working together, and he thought it was time for Woodruff to give the next generation (or more accurately, the one after it) a chance to take over.

Instead, Woodruff's interest in Luke Smith added a new layer of uncertainty to the succession question. With Austin's extra year as chairman due to run another nine months, through March 1981, Sibley foresaw the potential for continued maneuvering and jostling among the board members and upper management. He argued in favor of designating Goizueta as chairman-elect, and got the leaders of Trust Company to send a message of endorsement by electing Goizueta to their board of directors.

For his own part, recognizing he was not yet home free, Goizueta continued a personal crusade for Woodruff's approval. He lavished attention on the old man, papering him with upbeat memos and even sending him an occasional poem. Running what amounted to a political campaign, Goizueta also solicited the backing of the bottlers and sent some of their wives gifts of porcelain boxes. "It never does any harm to get on the good side of our main bottlers," he explained to Woodruff, as if reciting his lessons.

A battle of leaks broke out in the press, with one faction of unnamed sources speculating that Austin might leave before his year was up and another that he might stay on afterward. Caught in the middle, the company's public relations office declared neutrality, releasing a formal statement that said Austin would serve the period scheduled, no more, no less.

In a page-one story with a memorable headline—"'THE CIGAR' HAS COME BACK"—the *Wall Street Journal* divulged many of the background details of the split between Woodruff and Austin, painting a vivid portrait of Woodruff's dissatisfaction with the new tower, the debt offering, and Mrs. Austin's decorating. The question of the chairmanship, the newspaper reported, remained wide open. The article treated Woodruff benignly, but as Austin had warned so many times, the company nevertheless suffered the embarrassment of appearing to be in thrall to the stubborn impulses of a ninety-year-old man.

A little more than a month later, on July 19, 1980, the stalemate was broken with abrupt finality when Luke Smith died of a heart attack at the age of sixty-one. The loss appeared to deflate Woodruff. With his personal candidate for chairman gone, he quickly acquiesced in the decision to promote Goizueta to CEO and chairman. Observing proprieties, the board allowed Austin to retain the titles until his year was up, but his career was effectively over. The company announced Goizueta's accession with great fanfare, leaving no ambiguity. He was the new boss.

The aura of confusion hanging over the company began to lift. At the same time he gave his blessing to Goizueta as Coca-Cola's new leader, Woodruff also agreed to the liquidation of Coca-Cola International, the old holding company that had given him (and his father before him) working control over the business. Coca-Cola International still owned 15 percent of Coca-Cola's common stock, and its dissolution was a sign that Woodruff had abandoned any further intention of wielding a one-man proxy.

Now Goizueta would get to be his own man. In a small step with big implications, the board voted to make Goizueta a member of the Finance Committee—without bothering to tell Woodruff. The change offended Woodruff, who complained that expanding the committee was "contrary to his concept" of how things should be done. But the board declined to reverse its action.

Goizueta, meanwhile, went about the task of consolidating his authority. As his first act, he decided to tackle Woodruff's fabled distaste for incurring debt. The Coca-Cola bottling company in New York, an independent, publicly owned corporation, appeared ripe for an unfriendly takeover. Like most bottling operations, it was vulnerable to being "milked" by a raider who would hike prices and slash the advertising budget for short-term profit, ignoring the long-term consequences. Goizueta wanted to buy a controlling interest in the company, take it private, and then resell it to friendly owners. To do so, he would have to borrow more than $200 million.

Firmly, patiently, Goizueta outlined the plan to Woodruff, explaining why it made sense to pay interest so long as the return on the investment was higher. To Goizueta's considerable surprise, Woodruff grasped the point easily and gave his approval. The deal went through in December 1980, before Goizueta had formally assumed his new position.

In a fresh round of interviews, Goizueta began speaking with a stronger voice. "It is the curse of the engineer," he told the *Financial Times*, "that the fellow who drives the locomotive and the fellow who designs it are both called engineers." He had more in mind, he seemed to be saying, than just running the Coca-Cola Company. He planned to redesign it as well.

If anyone missed the point, he repeated it in plain English. "We're going to take risks," he said. "What has always been will not necessarily always be forever."

Twelve

NEW COKE

On his first trip to Ichauway, mistakenly believing the plantation was a grand country estate, Roberto Goizueta showed up wearing a yellow ascot and not knowing how to shoot. He spent his first afternoon at the skeet range taking target practice on Coke cans, then went out quail hunting the next morning, properly attired, and bagged a couple of birds.

He was a quick study in business, too. As he prepared to take command of the Coca-Cola Company, Goizueta conducted what came to be known as the "Spanish Inquisition," a two-week interrogation of top managers in every area of the business. He prowled the tower asking questions, critiquing the system at the same time he learned it. "I used to get mad at him," Sam Ayoub, the financial officer, recalled. "He wanted to know everything that was going on in the company."

By the time Paul Austin's final month as chairman and CEO expired at the end of February 1981, Goizueta was itching to take over. He commissioned studies by several outside consultants, all of whom confirmed the conclusions he'd already reached. Coca-Cola's executives were paralyzed by indirection, and the company's operations and financial policies were outmoded, in some cases almost medieval.

Goizueta hastened to assemble his own management team. A year earlier, over drinks at the bar of the St. Regis Hotel in New York, he and Don Keough had agreed that if one of them rose to the top spot, the other would serve as his number two man. Keeping his end of the bargain, Goizueta got the board's approval to offer Keough the jobs of president and chief operating officer.

Keough accepted, but not before giving the matter careful thought. Because of his quick smile and warm, ebullient nature, Keough was often underestimated and seen as a sort of corporate greeter, a gifted public speaker who had little to contribute when it came time for the harsh realities of the business. Nature had conspired to give him a face that closely resembled Ed McMahon's, as if he were born to play the perfect sidekick. Even Woodruff misjudged him. "Use Keough to handle the bottlers," Woodruff once advised Goizueta, a remark that stung Keough's feelings. That was how Woodruff had used Harrison Jones.

The comparison of Goizueta and Keough to Woodruff and Jones—a taciturn boss and a glad-handing front man, "Mr. Inside" and "Mr. Outside"—was inevitable (and accurate up to a point), yet it shortchanged Keough. True, he could tell an audience an old joke and make them laugh anew, and he gave inspirational speeches worthy of the pulpit. But he could also be very steely, as he showed in outflanking Luke Smith during the negotiations with the bottlers. He knew marketing inside out and had strong ideas about strategy for the company's future. The nice-guy portrait that emerged frustrated him so much he prodded reporters to give him a sharper edge in their stories. Quoting an unnamed source, one account in the hometown *Journal-Constitution* described Keough as "rough, tough, not Mr. Smooth." And a bottler said, "Don Keough is just plain tough. He's just as mean as he has to be. If you get in his way, he'll eat you alive."

Several years later, contemplating the succession from the vantage point of retirement, Keough said the decision to pick Goizueta as chairman had been "absolutely correct." If he did not think so at the time, if he resented finishing second, he nonetheless appreciated how his skills and Goizueta's might dovetail and benefit them both. The package he was offered—president and chief operating officer, with a seat on the board of directors—promised to elevate him to a near partnership with Goizueta, and he took it.

Looking at the two men, it was easy to see the study in contrasts: Goizueta with his dark good looks and tall, slender frame, his tailored suits and fastidious habits and syrupy Spanish accent; Keough with his open, jolly manner, his double chins, and the flat, nasal voice of the American Midwest. Their personalities were different, too. On an early venture together, inspecting the company's assets, they spent a day in Lebanon, Pennsylvania, watching the assembly of steam boilers at a plant owned by Aqua-Chem, the subsidiary Paul Austin had insisted on buying. Goizueta was fascinated by the manufacturing process and the quality of the engineering, while Keough, failing to suppress a yawn, pronounced the whole thing an awful bore. Yet they had no disagreement whatsoever about what to do with the plant. It wasn't making enough money, and they agreed it had to be sold. Aqua-Chem's other line, they noted ruefully, was the manufacture of desalinization plants—machinery whose purpose, providing fresh water for bottling in desert nations, made little sense for Coca-Cola in light of the Arab boycott.

Their differences aside, both men were intense, impatient, and absolutely focused on the bottom line. During the year they'd spent as vice chairmen (being paraded around like "prize bulls," in Keough's cutting phrase), they had formed an alliance of necessity. To appreciate how crazy things had become, Goizueta liked to say, shaking his head, one had only to reflect on the fact that Austin assigned Keough, the company's greatest natural salesman, to administer affairs in Latin America, while Goizueta, a native of Cuba, was given a range of merchandising tasks. "Don and I had to get very close," Goizueta explained, "because all of a sudden he was traveling Latin America and I was dealing with marketing issues, and it didn't make any sense." And so they had teamed up, with nothing less in mind than picking the company apart and rebuilding it from ground zero.

During the Austin years, the Coca-Cola Company had accumulated quite an assortment of unrelated enterprises, including inland shrimp farms, private-label coffee, and factories that made plastic straws, moist towelettes, and carpet shampoo. The "cats and dogs," as Goizueta called them, were diverting time and energy from the main job of selling soft drinks. Few of the sidelines made money, and Goizueta put out the word that all of them were for sale.

Overseas, Goizueta discovered that in many countries the company was warehousing more than a year's worth of inventory—bottle caps, ingredients, and other items—under an outdated policy meant to protect against shortages of Coca-Cola if shipments arrived late. In the past twenty years, he determined, not a single major delay had occurred, yet in the meantime the capital cost of maintaining the huge stockpiles had risen to $22 million a day.

At home in the United States, the company's bottling system was antiquated, dating back to the days when route salesmen drove their trucks from one small mom-and-pop store or gas station to the next, chatting with the proprietors, writing up orders, and unloading cases of Coke by hand. Now the major outlets were supermarket chains, whose executives negotiated million-dollar orders directly with the home office in Atlanta. "The guy on the truck," Keough observed drily, "didn't see the head of Winn-Dixie very often."

The FTC's attack on exclusive franchises had frozen the bottlers in place for nearly a decade, making it impractical for them to consolidate their territories or invest in modernizing their equipment. Not until the summer of 1980, when Congress approved special legislation exempting the soft drink industry from the antitrust laws, was the way finally cleared for widespread restructuring.

Other challenges abounded. Surprisingly, for a company that prided itself on doing business in more countries than belonged to the United Nations, Coca-Cola's sales reports from overseas often took weeks to arrive in Atlanta, defeating any hope of hedging against foreign currency fluctuations. The board, nervous about the company's growing reliance on foreign earnings, wanted Goizueta to concentrate on enhancing domestic revenues. Yet demographers in the United States were making ominous predictions of a falloff in soft drink consumption in coming years, as the baby-boom generation grew older and grayer.

Not even the company's apparent successes were spared scrutiny and gimlet-eyed criticism. In 1979, McCann-Erickson had produced one of the most popular TV commercials of all time, a vignette in which "Mean" Joe Greene, the Pittsburgh Steelers' glowering defensive lineman, broke into a dazzling, sunny grin after a little boy insisted on giving him his bottle of Coca-Cola. Two years later, the new management team decided to cancel the "Coke and a Smile" campaign, deeming it pleasant but ineffective, too feeble a response to the Pepsi Challenge.

At the center of things, fueling the mood of crisis, was a stark statistic:

During the past decade and a half, Coca-Cola's market share had remained stagnant while Pepsi's kept rising. In supermarkets, where shoppers had an unrestricted choice of soft drinks, Pepsi had actually climbed ahead of Coke as the preferred cola, and only its greater availability in vending machines and at fast-food outlets (led by McDonald's) kept Coca-Cola in first place overall.

On March 28, 1981, just four weeks after becoming chairman, Goizueta summoned fifty of the company's top managers to a resort in Palm Springs, California, where he hoped to convince them the time for radical change had arrived. His demeanor was a handicap. Like Woodruff, he felt uncomfortable giving speeches and tended to rely on slogans and aphorisms that concealed his inner fire. He distributed a written "Strategy Statement" that appeared at first glance to be a garden-variety sermon on the virtues of hard work, intelligent risk-taking, and the need to keep an eye on the bottom line.

It was only when Goizueta began denouncing the company's "sacred cows" that his listeners pricked up their ears and recognized how passionately he meant what he said. He recalled the 1950s, when the company had stubbornly refused to offer consumers a larger bottle, and vowed that no fixed rules or corporate commandments would ever again hogtie the Coca-Cola Company. There would be no more taboos. For emphasis, perhaps just for the shock value, he said he was even prepared to change Coca-Cola's secret formula.

In one of his earliest meetings with Woodruff, Goizueta recalled, someone raised the question of using synthetic caffeine from mineral sources in Coca-Cola to save money. "We only have one formula," Woodruff replied stiffly, slamming the door on the subject.

Goizueta did not share the old man's unyielding constancy. He felt no particular reverence toward the formula. Learning it hadn't awed him. Old Doc Pemberton, he liked to say, had not necessarily created the best-tasting soft drink in the world back in 1886. As a chemical engineer, trained in the laboratory, Goizueta approached the business of making soft drinks with a practical attitude, almost literally with a sense of clinical detachment. If he could improve the syrup or cut the cost of manufacturing it, no shiver of sentimentality was about to stop him.

At the time he gained the chairmanship, Goizueta had been running the company's technical division for seven years. He'd already won a campaign to replace half the cane sugar in Coca-Cola with a new, cheaper form of sweetener called high-fructose corn syrup, or HFCS, a move that saved the company more than $100 million a year. When Woodruff fretted about making the change, Goizueta enlisted John Sibley as an ally, and Sibley reminded Woodruff that they had used other sweeteners in the past when necessity demanded, notably beet sugar during World War II. "This is just another kind of sugar, Bob," Sibley argued, carrying the day.

Now, as the man in charge, Goizueta gave the green light to a far more dramatic venture. Starting in 1975, under the code name "Project Triangle," company officials had begun experimenting with a new diet cola to replace Tab. Though it had performed well since its debut in 1963, perennially leading the diet market, Tab suffered a serious flaw—its name. Because of the legal superstitions still gripping the company at the time, no one had dared christen the drink Diet Coke or Diet Coca-Cola. In fact, since it contained no caffeine and no kola extract, the Legal Department was afraid to call it a cola at all. The name Tab was a nice play on the idea of people who wanted to keep "tab" on their weight, and it passed muster with a computer programmed to weed out words that might give offense in other languages. But there was no getting around that fact that it failed to mention the most powerful trademark in the world.

Goizueta, Keough, and their deputies figured a diet drink bearing the name Coke would soar automatically to a huge share of the market—a view bolstered by a clever field test. When asked to taste plainly marked samples of Tab and Diet Pepsi, consumers preferred Tab by a narrow margin, 52 percent to 48 percent. When those same consumers were given Tab in a can labeled "Diet Coke," however, their enthusiasm jumped and they favored it more than three to two. Meanwhile Goizueta had the chemists in his lab working on a new formula for the diet drink, so it would taste better in fact as well as fancy.

In the spring of 1980, the company was poised to launch Diet Coke when Austin suddenly got cold feet. Keough, who was traveling in Buenos Aires at the time, received a telex from Atlanta abruptly canceling the project without a word of explanation. Perhaps, he speculated, Austin simply wasn't up to the rigors of introducing a new product. Goizueta believed that another executive, Al Killeen, had frightened Austin about the legal consequences of putting the Coca-Cola trademark on a diet drink. Others thought Austin's big worry was a threat that the new product would "cannibalize" sales of Tab and Coke. Whatever the case, Austin's last important act as CEO had been to kill Diet Coke.

Goizueta meant to reverse the decision. He went to work on Woodruff, hoping to persuade him that introducing Diet Coke was a good idea. The two had begun joking with each other about who wielded the ultimate authority in the company. "You're the boss," Woodruff would say, and Goizueta would answer that he was not, that he was merely the chairman. "The boss," he told Woodruff, "is the one who *names* the chairman."

In reality, as Woodruff recognized, Goizueta had assumed power quickly and was moving to dismantle the old regime. The octogenarians on the board had to be retired, Goizueta felt, not just to avoid embarrassment on Wall Street, but because of the very real threat of legal liability in the event the company's directors were shown to be incapable of hearing and understanding the matters they voted on. After arranging final three-year terms for Woodruff and a few of the other elders, Goizueta had the board adopt new by-laws that prevented the reappointment of directors after their seventy-first birthday.

Growing more infirm every day, Woodruff dropped off the Finance Committee in the spring of 1981 and stopped coming to the office except on rare occasions. Yet Goizueta went out of his way to continue cultivating Woodruff's support. Every other day or so, Goizueta made the pilgrimage to Woodruff's house to visit with him in his sitting room and keep him informed about the affairs of the business. Woodruff was his "greatest ally," he said years later, and he never lost his instinctive desire to please the old man and gain his approval. One of Goizueta's favorite stories was the time he said to Woodruff, "I think we're going to have a good year," and Woodruff answered, "No, no, you *will* have a good year." Rather than finding the remark fatuous, Goizueta respected Woodruff's positive attitude. If the old man spoke in bromides, well, Goizueta's grandfather did, too. So did Goizueta, for that matter.

The corporate climate began changing with gathering speed, as old attitudes and practices were abandoned. John Hunter, one of the company's brightest field men, came in from the Philippines complaining about the poor performance of Coca-Cola's independent bottler there, San Miguel Breweries, whose owners were far more interested in selling beer than Coke. Invited to attend a meeting of the Finance Committee, Hunter proposed spending $30 million for a 30 percent stake in San Miguel and a joint-operating agreement. Tight-fisted Fill Eisenberg, who still served as a director and member of the Finance Committee, expressed shock. "Thirty million in the Philippines!" he erupted. "Of all the places!" But Goizueta cut him off. "Yes," he said firmly, "in the Philippines."

In the early summer of 1981, the company's chief financial officer, John Collings, died of a heart attack and was replaced by his deputy, Sam Ayoub, the Egyptian-born mathematical wizard. Ayoub shared Goizueta's personal affection for Woodruff and also Goizueta's belief that Woodruff could be persuaded to lend his support to almost any undertaking so long as it made sense and was carefully explained. In days gone by, Austin and Eisenberg had often clashed in front of Woodruff, with Austin pursuing new ventures and Eisenberg checkmating him by keeping the corporate purse snapped shut. Now Goizueta and Ayoub filled those jobs, and they took a completely different approach—they cooperated.

As the company's need to borrow money ballooned, Ayoub sought to reassure Woodruff that the return on their investment would surpass the interest they were paying. When Woodruff gave his assent, Ayoub recalled, "everybody was surprised. [But] all he wanted to know was what are you going to do with the money, and how are you going to do it?" The fact that two men with foreign backgrounds and alien accents found it easy to explain themselves to Woodruff, when that goal had proven so elusive to Austin, a fellow Georgian, was a fine irony. Within a year, the company pumped more than half a billion dollars into bottling operations.